



Annual Report
and Financial
Statements

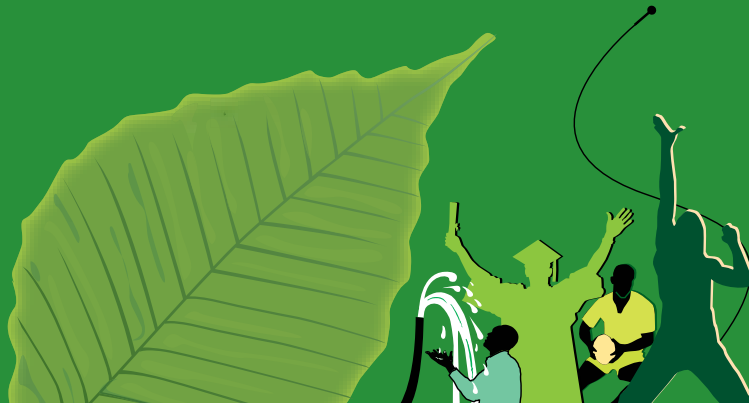
2008



EABL has an annual turnover of Kshs 30 Billion and it has the largest share of the beer industry in the region. The group employs more than 1000 people across East Africa



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**We have affirmed our
commitment to the environment
by launching...**

GREEN GOALS 2010

AN INITIATIVE OF EABL

EABL has launched its Green Goals 2010 initiative. This is a project that will result in us being a greener and cleaner company by the year 2010.

The initiative has six pillars, which are:

- **Caring for our environment**
- **Enhanced compliance and enforcement of environmental standards**
- **Recycling**
- **Reduction of gaseous emissions**
- **Waste reduction**
- **Saving water and energy**

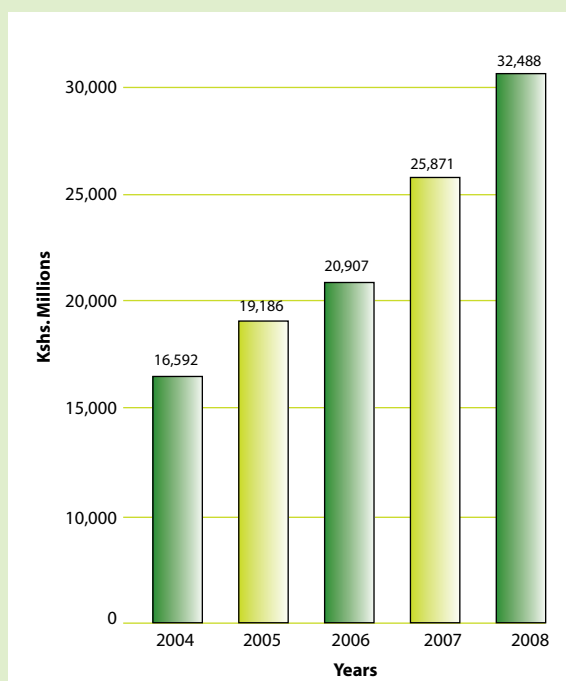
**Reduce • Re-use • Recycle
Let's go Green!**



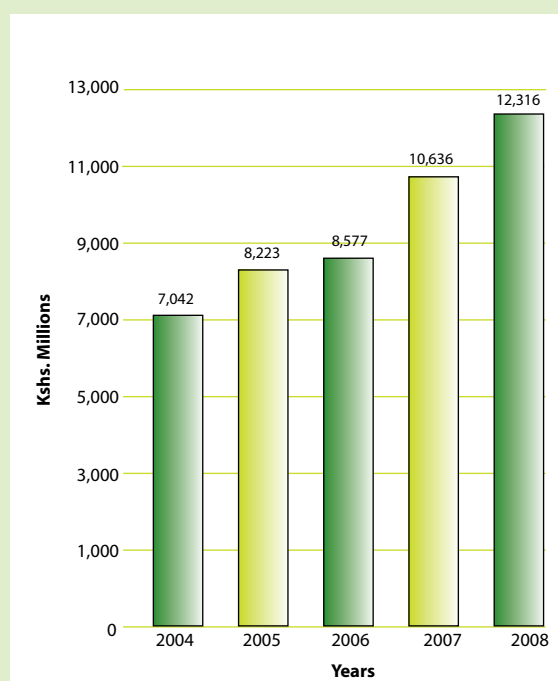
**EAST
AFRICAN
BREWERIES
LIMITED**

Financial Highlights - 2008

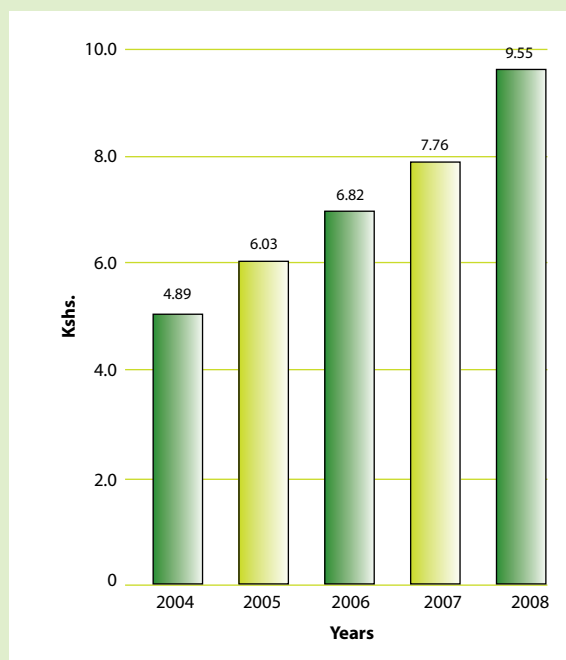
Net Sales Value



Profit Before Tax



Earnings Per Share



Dividend Per Share



Foreword – Outperforming in a Challenging World



Gerald Mahinda
Group Managing Director

"Our production levels broke all previous records this year, totalling 4.63 million hectolitres - a gain of 15% compared to the previous year. We credit the increase to strategic investments in technology, our people and our partners".



Jeremiah Kiereini
Chairman

OUTPERFORMING

The past year has demonstrated once again that EABL is a company leaping from strength to strength. Our production levels and sales volumes soared; our investments in new equipment generated impressive returns; we contributed to meaningful community improvements and we weathered a post-elections crisis. Throughout the year, our employees demonstrated once again that they are the key to our success.

Our production levels broke all previous records this year, totalling 4.63 million hectolitres - a gain of 15% compared to the previous year. We credit the increase to strategic investments in technology, our people and our partners. And while production soared, packaging kept pace after a fifth racking line was installed. The racking line helped us to expand our keg line capacity by 20%.

Cumulative domestic sales volumes rose 15.1%, measured by metric cases sold. Brands like Senator Keg demonstrated sales growth 40% greater than last year's totals. We launched the non-alcoholic

Alvaro brand this year, to great popular acclaim, and we recruited a dedicated sales team to build our non-alcoholic brands, while another team will focus on beers, spirits and the emerging supermarket chains.

DONATIONS

The elections crisis in early 2008 affected every business in Kenya, ours included.

We were deeply saddened by the tragic violence that rocked the country, and we quickly mobilised our resources to help many Kenyans affected by the disruptive events by providing a donation of Ksh 4 million to the Kenya Red Cross Society through the EABL Foundation.

ENRICHING LIVES

Our Foundation was active on many other



EABL Green Team in a tree planting activity at Ndakaini dam.



fronts as well. We partnered with NGOs and community members to construct ablution blocks in Muthurwa and Eastleigh, both near Nairobi, and in Mengo Parish, in Kampala, Uganda. In total the EABL Foundation provided water to 336,000 people. In addition, the development of an optical centre in Arusha Tanzania is in its final stages of completion. Our Foundation Scholarship programme surpassed the 100 needy student mark this year and every year we will be providing 20 scholarships to needy students within the region. Our Green Goals campaign was launched by His Excellency the Vice President Kalonzo Musyoka. The campaign reaffirmed our commitment towards environmental conservation.

RESPONSIBLE DRINKING

Our commitment to responsible drinking was renewed and strengthened through our “Someone for the Road” campaign to promote the use of designated drivers.



A WEID! Campaign signboard showing EABL cooperation with local administration.

We also surveyed our WE ID campaign and found that our approach is highly effective in deterring anyone under 18 years from consuming our alcoholic brands. In total 500 outlets and 2500 bar staff have been trained on the WE ID campaign training

“Our commitment to responsible drinking was renewed and strengthened through our “Someone for the Road” campaign to promote the use of designated drivers. We also surveyed our WE ID campaign and found that our approach is highly effective in deterring anyone under 18 years from consuming our alcoholic brands”

programme. We will be doubling our investment in this area next year.

The distributor financing scheme helped improve the financing of distributor operations and we marked significant gains in the distribution of Guinness, Tusker Malt, White Cap and Citizen despite post-election disruptions. We also introduced dedicated spirits vans at the distributor level which enhanced our route-to-market operations.

TRANSFORMING STAFF

Our people are the mainstay of our business, and we continue to invest in leadership building and skills development to build our talent pool in-house. We are now an exporter of talent to Diageo companies in Nigeria and Ghana as well as Diageo's London headquarters. The business maintains an e-learning facility, a powerful company intranet and robust incentive programmes which all contribute to staff engagement.



Uganda Minister for Water, Hon. Maria Mutagamba fetches water from one of the commissioned water kiosks in Mengo Kisenyi.

Foreword – Outperforming in a Challenging World



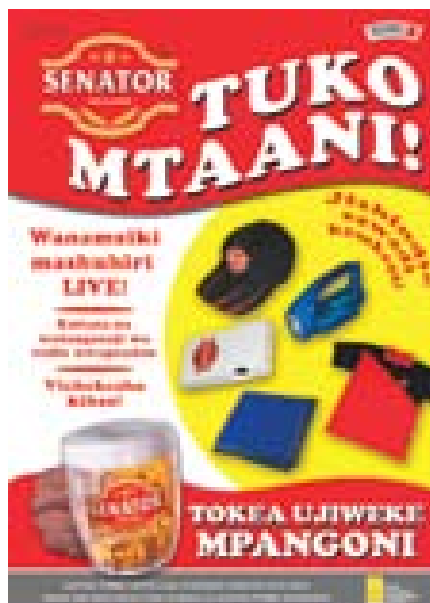
Some of the Dual Purpose Vessels at the brewhouse.

OUR BRANDS

For Kenya and Uganda, we have invested in another racking line to boost packaging capacity for our Senator Keg brand, and in another 80,000 bottles-per-hour line as well as more Dual Purpose vessels, Bright Beer Tanks and an additional utilities plant. This will increase our total capacity by over 30%.

As consumer demand for our products soars, we look forward to gains in capacity, efficiency and productivity that will allow us to reach consumers as never before.

Our brand marketing teams are constantly developing innovative strategies to meet consumer needs - Smirnoff Ice RAEV IT UP, Guinness GREATNESS and Senator Keg's "Tuko Mtaani na Senator" are just some examples of successful, competitive strategies.



APPRECIATION

We take this opportunity to thank the EABL Board and as well as to recognise with appreciation the contribution of the outgoing directors and the support of the Governments of East African for their consistent support across the region. The contribution of all our consumers and business partners must also be acknowledged with appreciation.

Please join us in celebrating another year of gains and opportunities for East African Breweries Limited.

Jeremiah Kiereini
Chairman

Gerald Mahinda
Group Managing Director

ONE COMPANY, ONE CULTURE

The unity of our organisation is crucial to our strategic initiatives and success. In order to embed 'One Company, One Culture' into our business, we will begin an internal brand engagement programme to drive desired organisational behaviours in the first quarter of financial year 09. Already, our Value Survey results demonstrate an incredible shift for financial year 08 and our staff "Super Engagement" level across the organisation has dramatically improved.

LEADERSHIP

We believe that inspirational leaders build great businesses. We focus on embedding modern leadership standards and capabilities in all of our people managers. We nurture situational leadership capabilities aimed at managing people for success across the entire organisation and we strive to use the best consultants and tools to build and grow our leaders. With all of these interventions, we see the emergence of desirable leadership traits



Staff with the backing of EABL Foundation donate sanitary towels through the Kenya Red Cross to internally displaced persons in Kenya.

that will make our leaders the best in this part of the world and globally.

TALENT DEVELOPMENT

Our investment in our people has started to pay dividends and we are currently net exporters of talent to Diageo; eight

EABL staff members are currently running the implementation of SAP in Nigeria and Ghana. Several other employees are working in various capacities at Diageo headquarters in London. We have also stepped up the exchange of talent between Kenya and Uganda to grow and expand our talent base and expose employees to different business environments within the region.

In addition, our e-learning facility continues to inspire a sizeable number of employees who can access world-class self training materials from the convenience of their desks.

INTRANET RE-LAUNCH

Recognizing the importance of our company intranet as a reservoir of information and an interactive communication tool, we have re-designed



EABL staff engage in a team building activity.

and re-launched the site. Our intranet portal is now more attractive, user friendly and easy to navigate. The site is also branded in a familiar EABL style and the information is up-to-date and appealing.

INCENTIVE DRIVEN GROWTH

Following the historic implementation of our incentive plans, we continue to improve upon our efforts to drive individuals, teams and business units to meet their mission targets. The incentive plans complement our performance-related pay principle, through the Partners for Growth (P4G) framework. Incentives have proved to be valuable performance drivers in our business and we will continue to enhance them in the future.

GOVERNANCE SUPPORT INITIATIVE

The Company continues to value good governance as the foundation of its performance. To this end, we have dedicated resources to ensure that the business complies with existing regulatory requirements both internal and external at all times. This is a proactive measure aimed at ensuring that the business does not breach regulatory and company business codes. This unit is also charged with training staff on our Code of Business Conduct, because as a business, we expect that all management and staff should fully understand the Code. This process is already underway.

STAFF WELFARE

We continue to improve the welfare of our staff by adopting progressive programmes that ensure that our company earns the

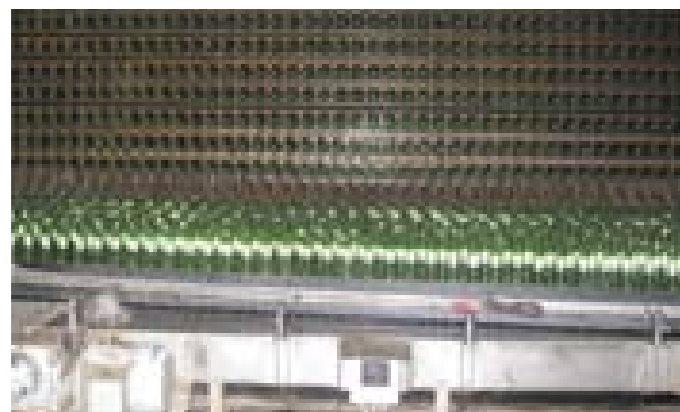


reputation of “employer of choice”. In June 2008, EABL won a commendation from the Global Business Coalition for our HIV/AIDS Workplace Programme. We have also implemented “zero harm” initiatives, to demonstrate that “valuing each other” is a top priority. We hired a safety consultant to help improve our safety systems and

standards to grow a culture of safety amongst all our staff and so that our safety standards are world-class. Each of our Business units now has a Safety Manager and we have hired a regional safety resource to drive the safety agenda on a regional basis.



EABL bottle washer - 1950s



EABL bottle washer - 2008

PRODUCTION

During the last financial year, a number of milestones were achieved at Kenya Breweries Limited. Key among these were notable record-breaking production levels fuelled by strategic investments. Looking ahead, we are planning a number of additional investments that will boost our capacity by 30% and improve cost savings and quality at the same time. Our commitment to world-class beverage manufacturing and marketing is ongoing and unwavering.

During financial year 08, Kenya Breweries recorded the highest-ever production at 4.63 million hectolitres, 15% higher than financial year 07. The production increase resulted from the successful installation of a second Mash Filter and two Dual Purpose vessels in October 2007, a total investment of Ksh 470 million.

In the Filtration area, the business also installed one filter in November 2007 with a second to be commissioned later in the year, which will raise our filtration capacity by 30%. Our investment in this area totalled Ksh 394 million.

PACKAGING

In packaging, the company increased its keg line capacity by 20% at a cost of Ksh 56 million during the year by installing a fifth racking line. We have budgeted for another line in financial year 09 to meet increasing demand for our Senator Keg brand, a beverage that we developed as a safe and affordable alternative to illicit alcohol.

In Uganda we installed and commissioned a second packaging line in October 2007 raising the Uganda Breweries Limited packaging capacity by 40% from 1 million hectolitres to 1.4 million hectolitres per year.

In financial year 09, the business will install another 80,000 bottles-per-hour line, six Dual Purpose vessels, four Bright Beer Tanks and an additional utilities plant. These investments will be worth Ksh 3.4 billion. The entire project will be commissioned in November 2008 and will increase our total capacity by over 30%.

COGS

Cost of Goods Sold (CoGS) was greatly affected by the post-election violence in Kenya and rising inflation affecting fuel, electricity and raw materials costs. The situation could have been worse for EABL but the company took a proactive approach through process, utilities and innovation. Stringent waste management also helped cushion the business against the possible losses.

Finally, we rolled out our Perfect Plant campaign in Kenya and Uganda in June and July 2008, with the aim of driving manufacturing excellence tools and techniques in our business.

QUALITY ASSURANCE

We continue to use the finest quality ingredients in processing of our alcoholic and non alcoholic brands in East Africa. We pride ourselves in the use of the very finest quality Equatorial barley, malt and local raw materials.

To guarantee quality during processing, we have invested in world-class production plants and process-controls, which ensure that all our products are processed in accordance with world-class manufacturing standards.

In all our business units, we have implemented end-to-end quality assurance systems from raw material management, operation management, distribution processes and glass manufacturing. These systems are based on national, international and internal license to operate standards of Quality Food Safety and Environment.

In addition to International Standards, we have also met and surpassed all local quality standards. Across the Group, great emphasis has been made in the area of quality management and all units are ISO 9001: 2000, EMS 14001: 2004, HACCP or 22000 accredited. These certifications confirm that we operate world class processing plants that assure of superior quality products, which demonstrates our commitment to the consistent delivery of quality products to our consumers all the time.



Dual Purpose Vessels (DPVs) at the Ruaraka plant.

A quality culture continues to be instilled in all areas of production and each and every member of staff is required to be responsible for ensuring that every product leaving our sites meets the highest international quality standards.

SAFETY

Safety of our people and partners is of paramount importance and at EABL we

strive to maintain a Zero Harm culture by continuously improving our performance on safety standards.

WASTE MANAGEMENT

At EABL we understand that our success is dependant upon our ability to protect and enhance our people, brands and our communities. To this end we are committed to supporting environmental sustainability and biodiversity through continuous improvement and prevention of pollution as demonstrated by our heavy investment in state of the art Effluent treatment plants. We are committed to reducing the impact of our waste streams by the increased utilisation of the “reduce, reuse and recycle” strategy.



State of the Art Brewhouse: Investment in new plants has contributed to the enhancement of safety and quality.

BRAND BUILDING ACTIVITIES

To meet our growth objectives and deliver a step change in the consumer experience, we executed ground breaking and innovative marketing campaigns across East Africa and launched exciting new brands during the year. These activities delighted consumers and enhanced the equity of our brands.

KEY BRAND BUILDING INITIATIVES:

TUSKER

TUSKER PROJECT FAME

The 2nd edition of the Tusker Project Fame reality show was hugely popular generating high levels of excitement and engagement across Kenya, Uganda and Tanzania. Tusker Project Fame provides a platform for East Africans to showcase their musical talent, offering the unique opportunity for the winner to sign-up with an international recording label. This year's shows generated some of the highest viewership across TV audiences. It climaxed with an exciting final that resulted in a Ugandan winner and Kenyan runner-up.



Tusker Project Fame contestants.



The prize giving ceremony at the Tusker Safari Sevens 2008.

The regional impact of Tusker Project Fame strengthened the credentials of Tusker as an exciting and leading brand in East Africa.

TUSKER SPORTS SPONSORSHIPS

We continued the tradition of nurturing and celebrating talent with Tusker sponsored sports events. Preceded by a build-up of a series of countrywide events, the Tusker 'Night of Champions' event

showcased both local and international athletes and proved a thriller for local audiences. There was significant coverage around the event in various media. A number of athletes that competed in the Tusker event went on to win medals in the recent Olympic games.

On the golfing calendar, Tusker Malt Lager sponsored the only 'European Challenge Tour' golf tournament held in Africa. This world-class tournament, held at Nairobi's Karen Country Club, attracted many professional golfers from around the world, including Kenya's top golfers. We were honoured with the presence of The President of Kenya His Excellency Mwai Kibaki and Prime Minister The Right Honourable Minister Raila Odinga at the event.

The Tusker Safari Sevens, a key event on the international 7-side rugby calendar, attracted teams from various countries including Fiji, France, Japan

and South Africa. This was our 13th year of sponsoring the event. As a testament of our commitment to developing talent through the years, the Kenya sevens team triumphed over the Emerging Boks of South Africa in an exhilarating final driving huge pride and celebration amongst Kenyans. The event received vast coverage in both local and international media.

In Tanzania, the widespread popularity of the "Tusker Challenge Cup" football event continued to be a crowd puller, generating significant Public Relations coverage around Tusker and the event. Also impacting on the growth of the brand was the launch of the new Tusker long-neck pack in Tanzania which offered a platform for "new news" around Tusker lager generating significant consumer interest and increased appeal.

GUINNESS

The Guinness brand team rolled out key marketing activities across Kenya and

Uganda. The team launched the 2nd phase of the impactful GREATNESS campaign across various media in both countries. Recognising the increasing popularity of the English Premier League, Guinness became the official broadcast sponsor of the league across Africa. The association of Guinness and football strengthened the brand credentials driving high levels of brand awareness. The "Rivalry" Guinness TV advertising, shot on location in Kenya, was rated in a leading local daily as one of the best TV commercials and was aired in East and West Africa.

PILSNER

Pilsner continues to have regional presence in Kenya, Uganda and Tanzania. In line with the repositioning strategy to drive consumer re-appraisal for Pilsner lager, the brand team rolled-out a "new-look Pilsner" with a refreshed label across the region. This initiative generated high levels of consumer interest and strengthened brand equity.

SENATOR

In both Kenya and Uganda, marketing activities focusing on urban informal settlements were rolled out. The hugely popular "Tuko Mtaani na Senator" promotion was launched in Kenya in the informal settlements. This promotion brought the Senator experience to life through using music, games, comedy and dance. The event delivered exciting and quality entertainment to the consumer. The innovative and functional promotion offers – solar powered mobile chargers, non-battery operated torches – were highly relevant to the target consumer, which enhanced the promotion's appeal. In Uganda, the Senator brand team brought



Tusker Keg trunks at an outlet.

to life the brand promise to 'demonstrate belonging and pride' through national cultural galas dubbed the "Senator Cultural galas". These well attended events provided exciting entertainment featuring competitions between cultural dance troupes at local and regional events and culminated in a national gala event.

MALTA GUINNESS

New TV advertising was launched for Malta Guinness in Kenya and Tanzania. This generated high awareness levels and excitement for the brand and stimulated significant increases in trial consumption. The brand was the title sponsor of the 16th Africa Cup of Nations Womens Volleyball Championship held in Kenya. This event pitted Africa's leading volleyball teams from 9 countries including Egypt, Nigeria, Tunisia, Kenya and Uganda in an exciting event which Kenya emerged victorious. During the year, the intensely exciting Malta Guinness Street Dance Africa kicked off across the continent, and in Kenya, it provided numerous Kenyan dance



A Senator Keg barrel.

troupes an opportunity to showcase their impressive talents. In Tanzania the brand was successfully launched in a new pack which also coincided with production being expanded to three sites in Dar es salaam, Arusha and Mwanza.

SMIRNOFF

The Smirnoff Ice RAEV IT UP national consumer promotion generated high interest and engagement amongst target consumers. This promotion reinforced the brand's credentials as the premium Ready-to-drink spirits beverage in Kenya. In Uganda, Smirnoff launched the 'Clearly Original' advertising campaign and followed this with a clearly original activation platform – the Playstation challenge. The Smirnoff Street Rave parties were also rolled out.

UGANDA WARAGI

The Uganda Waragi brand team embarked on a 'mixability' campaign to overcome the potency barrier that the product presented historically. The 'UG-Mix-A-Million' National Consumer Promotion implemented in July encouraged consumers to mix Uganda Waragi (popularly known as UG) with their



A toast to the launch of EABL new non-alcoholic drink , Alvaro.

favorite soft drink mixer so that they can responsibly enjoy a sessionable drink.

BELL LAGER

In Uganda, Bell Lager consumers were rewarded by "bringing home their favourite music artistes" through the national PAM Award caravans that preceded and succeeded the country's leading social event – PAM Awards. The caravans dubbed 'Party with the Stars' lasted 4 months, increasing affinity and rate of sale for the brand.

V&A

In Uganda, the new advertising campaign

for V&A was launched. The campaign – 'Says a lot about you' included the introduction of a new look label and TV, Radio, and Print campaign. This was immediately followed by the crowning societal event 'Divas Unite' that involved hosting 3 'Divas' from Rwanda, Uganda, and Nigeria – all successful artistes in their own right with their distinctiveness being their philanthropic drive.

INNOVATION

Alvaro, a non-alcoholic natural malt drink was launched in April in Nairobi, Kenya. The successful launch has generated positive consumer response at both trade and consumer levels.

Alvaro was launched successfully in April 2008. It is a non-alcoholic natural sparkling malt drink and comes in two varieties: pineapple and pear. Subsequent to its launch it has registered a resounding success, with 8,000,000 bottles having been consumed in the three months of its existence. EABL is currently in the process of increasing its capacity to meet this unprecedented demand.



Contestants celebrate a win at a marketing promotion.

Sales Highlights

After a very successful year of sales in EABL, the following were some of the key highlights that were instrumental in delivery of the good results we have seen. Key among these remains distribution optimization/route to market, focus on off-trade and customer focus.

DISTRIBUTION OPTIMIZATION/ROUTE-TO-MARKET

We continued to focus on improving route-to-market, distribution and capability building. Some of the key areas of focus were off-trade & Carbonated Soft Drinks (CSD) distribution initiatives. Senator Keg also demonstrated dynamic growth throughout the year, delivering 40% more than the previous year's totals in Kenya and closing with very strong growth in Uganda.

On spirits, there was an enhanced route-to-market through the introduction of dedicated spirits vans by the distributors in Kenya and Uganda. In Uganda increased focus on spirits in the second half of the year, and the strong performance by



EABL interact with distributors at a workshop to discuss key business issues.

Uganda Waragi and V&A saw spirits achieve strong growth over the previous year.

There was also enhanced alignment of the sales and marketing teams that resulted in executional excellence of the marketing and sales initiatives. Tusker Academy was launched – a key enabler in building capability for both our distributors and retail partners in the region.

CUSTOMER FOCUS

During the year we reorganised our sales structure and increased the number of sales personnel in the team. The off trade personnel was also strengthened, and a dedicated team to focus on non-alcoholic products put in place.

The Distributor Financing Scheme was implemented making it easier for distributors to access credit facilities and thereby improving the collection system for the business. The financing programme was also extended to our distribution partners in Senator Keg and the non-alcoholic category and this has significantly unlocked growth.

During the year EABL acquired 150 brand new vehicles for the entire sales force, which will ensure enhanced service delivery to our key partners.



Sale of EABL products at a retail outlet.



ACHIEVEMENTS

East African Maltings Limited (EAML) recorded a number of successes during the year, including a significant increase in malt production and the development of new barley varieties, in an environment where safety health and operational standards were considerably improved. The following achievements were recorded for the year:

BARLEY VARIETIES

We produced 33,000 tons of malt in the year, a 13% increase compared to the previous year's output. Our productivity provided EABL's brewing units with a steady supply of locally manufactured malt and barley despite the challenges presented by a disruptive international malt market, which included scarcity and escalating prices.

EABL was first to trial in a newly introduced crop insurance product in East Africa to our barley farming community.

Our agronomists developed two new high-yielding barley varieties with improved brewing characteristics.

We continued to expand barley production in Uganda. Currently there are 5,000 acres under barley farming, and we have commenced production trials in Nebbi in Northern Uganda.

EAML operations were certified to ISO 18000 and ISO 22000 in the year. The ISO certifications recognize that our company has met international standards for occupational health and

safety management, and food safety management respectively.

INVESTMENTS

Moving forward, EAML intends to increase capital expenditure on the malt plant to boost production to greater than 36,000 tonnes, build sustainable relationships with barley farmers through enhanced crop husbandry programmes, high yielding varieties and steady revenue streams.

EAML is creating partnerships with international experts to introduce best agricultural practises aimed at an enhanced quality agenda "seed to your favourite brand".

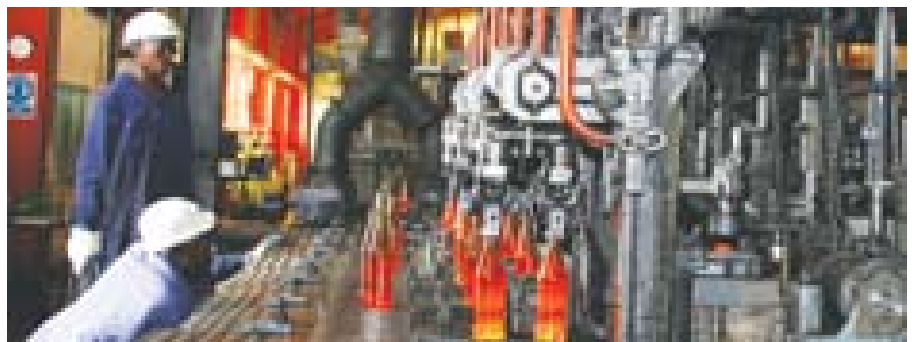
Central Glass

EABL's glass production subsidiary, Central Glass Industries Limited, continued to perform exceptionally well throughout the year. We sold close to 37,000 tons of glass in financial year 2008, our best performance in the history of the business and we reached full furnace capacity in financial year 2008, with capacity fulfilled well into 2009.

ENERGY

We invested in and commissioned a new, modern printing line whose decorating lehr is gas-fired. The gas lehr will help to mitigate rising electricity costs. We also updated many of our plant control systems during the year, including our glass forming equipment.

Energy costs were a serious challenge during the final quarter of the year, driven mainly by heavy fuel oil (HFO) increases. Using raw material substitutes helped us to alleviate some of the pressure caused by these increases.



Bottle moulding at Central Glass.

Other energy saving initiatives include the use of batch substitutes such as calumite, which aid melting. Foremost also in this category are broken bottles also known as cullet. Central Glass remains the largest glass recycling plant in Eastern Africa.

STANDARDS

The business has continued to support and upgrade all our quality systems namely ISO 9001:2000, EMS ISO 14001:2004 (Environmental Management System), CODEX HACCP Principles 1997 (Hazard

Analysis & Critical Control Points) and OHSAS 18001:1999 (Occupational Health and Safety Management System). Our dedication to quality anchors our production capacity and attracts a diverse array of customers in East and Central Africa, including customers in Ethiopia, Malawi, Tanzania, Eritrea and Zaire as well as Angola in Southern Africa. Our customers include EABL, SABMiller, Heineken, The Coca Cola Company, Pepsi and GSK among others.

Corporate Social Responsibility

The EABL Foundation has grown tremendously in the past three years and is serving to enrich the lives of over 500,000 East Africans. Some of our recent projects include:

WATER OF LIFE

"Water and Sanitation" was adopted as last year's agenda with the Foundation undertaking projects in Nairobi and Kampala.

MUTHURWA WATER PROJECT

To date, this is the largest project undertaken by the Foundation. Muthurwa market is located in a busy area east of Nairobi city centre, adjacent to a bus and matatu terminal. The market and bus terminal serve a large number of traders and commuters. The Foundation partnered with Maji na Ufanisi, an NGO, to construct two ablution blocks including water

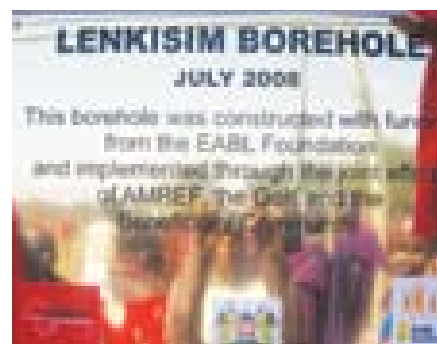
points, washing areas and toilets. A total of 100,000 people are expected to benefit from the project.

MENGO KISENYI WATER PROJECT

More than 30,000 people in Mengo Parish benefited from this water and sanitation project in the heart of Kampala, Uganda. The project provided the local community with three toilets, 18 water kiosks and 10 standpipes. The Foundation partnered with community members and Community Integrated Development Initiatives (CIDI) to construct and supervise the project. CIDI provided invaluable technical expertise.

EASTLEIGH WATER OF LIFE

EABL Foundation worked with Water Canada and Maji na Ufanisi to establish a water and sanitation programme in Kiambiu Village in the Eastleigh section of Nairobi. The project's goal is to improve



A plaque representing the completion and commissioning of Lenkisir water project.

sanitation for residents of the Kiambiu informal settlement through sustainable water and environmental services.

Many of the people living in Kiambiu village struggle to obtain clean, affordable water. Several of the existing water supply points are situated in unhygienic locations, posing a health hazard to users. Sanitation is also a challenge, since bathrooms and toilets are scarce. The EABL Foundation, Water Canada and Maji na Ufanisi worked together to provide an estimated 20,000 people in Kiambiu with access to clean water and communal ablution blocks.

SKILLS FOR LIFE

EABL SCHOLARSHIP PROGRAMME

TESTIMONIAL: DAVIS KARAMBI

One of the EABL Foundation's scholarship recipients, Davis Karambi, graduated with honours from Strathmore University last year. Davis was one of 10 bright but financially disadvantaged students offered a scholarship through the EABL Foundation in 2003. Since 2003, the Foundation has provided scholarships for over 100 needy students.



Group Managing Director Gerald Mahinda breaks the ground at the Muthurwa water project, looking on (left to right) is Diageo President Stuart Fletcher, Mayor of Nairobi Goffrey Majiwa and Nairobi P.C James Waweru.



Presentation of computers to Nairobi Kileleshwa Police Station by EABL Foundation.

Davis completed primary and secondary school with the help and generosity of his teachers and neighbours in Eastern Province. He was thrilled to win an EABL Foundation Scholarship to study business at Strathmore University. Davis performed commendably both inside and outside the classroom, contributing much of his time to community service as well as his studies.

"It was through the community that I have been educated. I feel the need to return the favour and help others," he said after he was awarded the Vice Chancellor's award for community service during his graduation.

"The work of the EABL Foundation continues to bear fruit. I am grateful to them for this opportunity," Davis added.

Davis is currently working with the Clinton Foundation HIV/AIDS Initiative and is involved in a project to build a secondary school in his village.

HEALTH

Our Health agenda is on track with the Optical centre in Arusha Moshi nearing completion. When completed, the centre will provide medical eye care to a population in excess of 30,000 people.

ENVIRONMENT

EABL GREEN GOALS

The environment has increasingly become a concern both at the local level and globally. Companies like EABL are taking stock of their impact on the environment including factors influencing climate change. EABL believes that all companies should analyze their operations and their overall impact on the surrounding environment. Businesses must take deliberate steps to ensure that resources are managed as efficiently as possible for a sustainable future. The Green Goals campaign will help EABL to become a greener and cleaner company by 2010.

Protecting the environment makes good business sense. Reducing environmental impact and using resources more efficiently is good for a company's bottom line. For example, planting trees and securing forest cover sustainability will benefit both the business sector and communities in the long term. Recycling creates jobs for more people.

EABL is one of the leading companies in East Africa. As part of our corporate citizenship commitment, we are spearheading a campaign whose goal is to meet the needs of our consumers and neighbours in an environmentally sound and sustainable manner, through the establishment and continual improvement of environmental performance indicators in sourcing, manufacturing and distribution.

Our specific goals are:

- Work to prevent pollution
- Minimize the environmental impact of our products and operations



H.E. Vice President Kalozi Musyoka witnesses EABL commitment to environment sustenance through Green Goals 2010 initiative.

Corporate Social Responsibility

- Define responsibility for waste management, pollution control and energy conservation and put in place action plans for accomplishment
- Enhanced compliance with working governance and legislation and ensure EAB-specific environmental standards are met or exceeded
- Work in cooperation with industry members, government agencies, relevant environmental bodies, suppliers, customers, parent bodies and the public to promote and achieve a high standard of environmental care
- Communicate this policy and additional relevant information to all employees and maintain a continuing programme of training to raise the level of awareness and promote an understanding of responsibility for environmental issues.

ALUMINIUM CAN CAMPAIGN

EABL unveiled a campaign to mop up and recycle used aluminium cans as part of our ongoing Green Goals Campaign. The can collection and subsequent recycling is being undertaken in partnership with a local environmental company, Greenloop International. The aluminium from the recycled cans is used to make sufuria cooking pots, widely used throughout East Africa.

"Protecting the earth has become the most important legacy that we can leave for future generations," said Ken Kariuki, managing trustee of the EABL Foundation.



"It is not only the right thing to do, it also makes good business sense. Recycling and energy management not only reduce our carbon footprint, they also reduce our operating costs."

The aluminium recycling project helps to protect the environment and provides a source of income for street children who earn money for collecting cans.



Collected aluminium cans awaiting recycling into sufurias and other cookware.

PROMOTING RESPONSIBLE DRINKING SOMEONE FOR THE ROAD

EABL has reenergized its efforts to promote designated drivers. Our new 'Someone for the Road' campaign encourages people to appoint a designated driver before they go out for a drink, or to volunteer themselves.

A designated driver is responsible for driving friends to and from a beverage establishment. A designated driver will remain completely sober the entire time to ensure that the other passengers can enjoy their drinks responsibly and also return home safe.

The 'Someone for the Road' campaign includes outdoor and outlet messaging as well as radio campaigns. The campaign is currently running in Kenya and will soon begin in Uganda.

WE ID

To date, the WE ID campaign has trained 500 outlets using the WE ID module training programme. A recent survey by Research International showed that the responsible drinking messaging is highly effective; trained outlets have responded positively and compliance checks demonstrate that outlets are implementing various components of the WE ID programme.



We keep our bottles green

With the help of our subsidiary, Central Glass Industries (CGI), we have the capacity to collect and recycle every piece of glass bottle into re-usable bottles. Which means that we are able to keep our environment cleaner and greener. Even with bottles, we can go green.

Central Glass Industries has the largest glass production facility in East Africa.

Reduce • Re-use • Recycle
Let's go Green

GREEN GOALS 2010

AN INITIATIVE OF EABL



**EAST
AFRICAN
BREWERIES
LIMITED**



Gerald Mahinda
Mkurugenzi Mkuu wa Kundi

“Viwango vyetu vya utoaji vilivunja rekodi zote za awali mwaka huu, kwa jumla ya hektolita milioni 4.63 - hii ikiwa faida ya asilimia 15% ikilinganishwa na mwaka uliotangulia. Tunaonelea ongezeko hili lilitokana na uwekezaji kimkakati katika teknolojia, watu wetu na washirika wetu.”



Jeremiah Kiereini
Mwenyekiti

UTENDAJI BORA

Mwaka uliopita umedhihirisha kwa mara nyingine kwamba EABL ni kampuni inayoimarika hatua hadi nyingine. Kiwango chetu cha utoaji na kiwango cha mauzo kiliongezeka; uwekezaji wetu katika vifaa vipya ulileta mapato ya kufurahisha; tulichangia uimarishaji wa jamii wenye maana na kukabiliana vilivyo na mzozo wa baada ya uchaguzi. Katika kipindi cha mwaka wote, wafanyakazi wetu walidhihirisha kwa mara nyingine kwamba wao ni muhimu katika ufanisi wetu.

Viwango vyetu vya utoaji vilivunja rekodi zote za awali mwaka huu, kwa jumla ya hektolita milioni 4.63 - hii ikiwa faida ya asilimia 15% ikilinganishwa na mwaka uliotangulia. Tunaonelea ongezeko hili lilitokana na uwekezaji kimkakati katika teknolojia, watu wetu na washirika wetu. Na huku Utoaji ukiongezeka upakiaji uliandamana na ongezeko hilo baada ya mtambo wa tano wa upakiaji kuanzishwa. Mtambo huo mpya wa upakiaji ulitusaidia kupanua uwezo wa bidhaa yetu ya keg kwa asilimia 20%.

Viwango vya mkusanyiko wa mauzo ya humu nchini yaliongezeka kwa asilimia 15.1%, ambapo yalipimwa kwa masanduku ya kimetriki yaliyouzwa. Bidhaa kama vile Senator Keg zilidhihirisha ukuaji wa mauzo

kwa asilimia 40% zaidi ya jumla ya mwaka uliopita. Tulianzisha bidhaa isiyokuwa na kileo ya Alvaro mwaka huu, huku kikipendelewa sana, na tuliajiri kundi la uuzaji lililojitolea kuzingatia haswa bidhaa zetu zisizokuwa na vileo, na kundi jingine kuzingatia mvinyo, pombe kali na maduka makubwa ya uuzaji bidhaa yanayoibuka.

MICHANGO

Mzozo uliotokea baada ya uchaguzi mapema mwaka 2008 uliathiri kila

biashara nchini Kenya, ikiwa ni pamoja na yetu. Tulisikitishwa sana na ghasia ambazo zilikumba nchi, na tulijikusanya haraka kusaidea Wakenya wengi walioathiriwa na matukio hayo kwa kutoa mchango wa shilingi milioni 4 kwa Shirika la Msalaba Mwekundu la Kenya kupitia Wakfu wa EABL.

KUIMARISHA MAISHA

Wakfu wetu ulishughulika pia katika masuala mengine mengi. Tulishirikiana



Kundi la mazingira la EABL katika shughuli ya kupanda mti katika bwawa la Ndakaini.



na Mashirika yasiyo ya kiserikali, NGOs, na watu wa jamii kujenga majengo ya kuogea na vyoo huko Muthurwa na Eastleigh, karibu na Nairobi, na katika Parokia ya Mengo huko Kampala, Uganda. Kwa ujumla Wakfu wa EABL ulitoa maji kwa watu 336,000. Kadhalika kustawishwa kwa kituo cha matibabu ya macho mjini Arusha, Tanzania kuko katika awamu ya mwisho ya kukamilika. Mpango wa wakfu wetu wa misaada ya masomo kwa wanafunzi maskini ulipita kiwango cha wanafunzi 100 mwaka huu na kila mwaka tutakuwa tukitoa misaada 20 ya masomo kwa wanafunzi maskini katika eneo hili. Kampeni yetu ya mazingira ya Green Goals ilizinduliwa na Mheshimiwa Makamu wa Rais Kalonzo Musyoka. Kampeni hiyo ilidhihirisha upya kujitolea kwetu kudumisha mazingira.



Bango la kampeni ya WE ID linalo onyesha ushirikiano wa EABL na utawala wa eneo.

UNYWAJI WA UWAJIBIKAJI

Kujitolea kwetu kuhakikisha unywaji wenye uwajibikaji kulirejelewa na kuliimarishwa kupitia kampeni yetu ya “Mtu kwa Barabara” yaani “Someone for the Road” kuhamasisha utumiaji wa madereva walioteuliwa. Kadhalika tulichunguza

kampeni yetu ya kudai vitambulisho yaani WE ID na kugundua kwamba mtazamo wetu unafaa kikamilifu katika kuzuia yeyote aliye chini ya umri wa miaka 18 kunywa bidhaa zetu za pombe. Kwa ujumla maeneo 500 ya uuzaji pombe na wafanyakazi wa baa 2500 wamepewa mafunzo kuhusu

Kujitolea kwetu kuhakikisha unywaji wenye uwajibikaji kulirejelewa na kuliimarishwa kupitia kampeni yetu ya “Mtu kwa Barabara” yaani “Someone for the Road” kuhamasisha utumiaji wa madereva walioteuliwa. Kadhalika tulichunguza kampeni yetu ya kudai vitambulisho yaani WE ID na kugundua kwamba mtazamo wetu unafaa kikamilifu katika kuzuia yeyote aliye chini ya umri wa miaka 18 kunywa bidhaa zetu za pombe.

kampeni ya mpango wa mafuzo wa WE ID. Tutaongeza mara dufu uwekezaji wetu katika nyanja hii mwaka ujao.

Mpango wa ufadhili wa ugawaji ulisaidia kuimarisha shughuli za ufadhili kwa wagawaji na tulipata faida kubwa katika ugawaji wa Guinness, Tusker Malt, White Cap na Citizen licha ya kuvurugwa na ghasia za baada ya uchaguzi. Pia tulianzisha magari yaliyojitolea ya kugawa pombe kali, na kuimarisha shughuli zetu za usafirishaji njiani hadi maeneo ya uuzaji.

KUGEUZA WAFANYAKAZI

Watu wetu ndio nguzo ya biashara yetu na tunaendelea kuwekeza katika ujenzi wa uongozi na ustawishaji maarifa ili kujenga mkusanyiko wa watu walio na vipawa na maarifa ya juu kazini mwetu. Sasa tunapeleka nje vipawa vyetu kwa makampuni ya Diageo huko Nigeria na Ghana na pia makao makuu ya Diageo huko London. Biashara hii inadumisha kifaa cha mafunzo kwa njia ya mtandao, mpango madhubuti wa mtandao wa kampuni



Waziri wa maji wa Uganda, Mheshimiwa Maria Mutagamba achota maji kutoka kwa mojawapo ya vioski vya maji vilivyoanzishwa huko Mengo Kisenyi.



Baadhi ya vyombo vya utekelezaji mara dufu katika jumba la utengenezaji vinywaji.

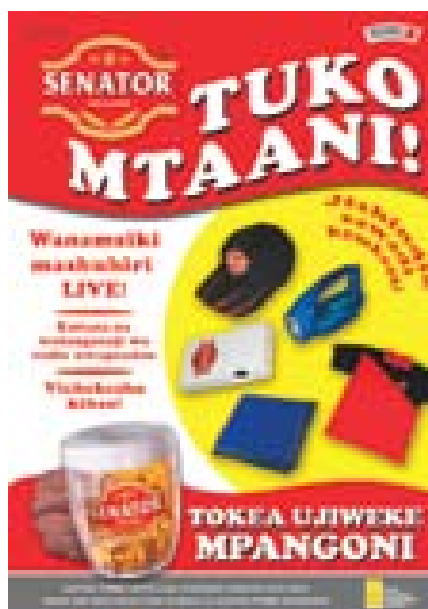
na mipango ya kutoa motisha ambayo huchangia ajira ya wafanyakazi.

BIDHAA ZETU

Kwa Kenya na Uganda, tumewekeza katika mtambo mwingine wa upakiaji kuimarisha uwezo wa upakiaji kwa bidhaa yetu ya Senator Keg na katika mtambo mwingine wa chupa 80,000 kwa saa pamoja na Vyombo zaidi vya utekelezaji mara dufu, matangi ya Bright Beer na kiwanda kingine cha matumizi. Uwekezaji huu utaimarisha jumla ya uwezo wetu kwa zaidi ya asilimia 30%.

Huku mahitaji ya wateja kwa bidhaa zetu yakiendelea kuongezeka, tunatarajia faida katika uwezo, utendaji bora na utoaji ambao utatuwezesha kuwafikia wateja zaidi ya hapo awali.

Makundi yetu ya uuzaji kila mara yanastawisha mbinu bunifu za kuafikia mahitaji ya watumiaji—Smirnoff Ice



RAEV IT UP, Guinness GREATNESS na ile ya Senator Keg ya "Tuko Mtaani na Senator" ni mifano mitatu tu ya mbinu za ushindani zilizofanikiwa.

SHUKRANI

Tunachukua nafasi hii kushukuru Halmashauri ya EABL na kutambua kwa shukrani mchango wa wakurugenzi wanaoondoka na usaidizi wa serikali za Afrika Mashariki kwa usaidizi wao wa kila mara katika eneo hili. Mchango wa watumiaji wetu wote na washirika wa biashara sharti pia utambuliwe kwa shukrani.

Tafadhali ungana nasi kusherehekea mwaka mwingine wa faida na nafasi bora kwa kampuni ya East African Breweries.

Jeremiah Kiereini

Mwenyekiti

Gerald Mahinda

Mkurugenzi Mkuu wa Kundi



KAMPUNI MOJA, UTAMADUNI MOJA

Umoya wa shirika letu ni muhimu kwa mipango yetu ya kinkakati na ufanisi. Ili kutilia maanani kindani 'Kampuni Moja, Utamaduni Moja' katika biashara yetu, tutaanzisha mpango wa bidhaa za kindani kuendeleza tabia za kampuni zinazohitajika katika robo ya kwanza ya mwaka wa matumizi ya fedha wa 2009. Tayari matokeo ya uchunguzi wa thamani zetu unadhihirisha badiliko kubwa kwa mwaka wa matumizi ya fedha wa 2008 na kiwango cha mpango wetu wa uajiri bora "Super Engagement" kote katika shirika kimeimarika kwa kiasi kikubwa.

UONGOZI

Tunaamini kwamba viongozi wenye mvuto na msukumo hujenga biashara kubwa. Tunatilia maanani uzingatiji viwango na uwezo wa uongozi wa kisasa katika wasimamizi wetu wote. Tunathamini uwezo wa uongozi kuhusu hali mbalimbali unaonuiwa kusimamia watu kuafikia ufanisi kote katika kampuni yetu na tunajitahidi kutumia washauri bora zaidi na vifaa kujenga na kukuza viongozi wetu. Kutokana na hatua hizi zote, tunaona



Wafanyakazi wanaoungwa mkono na wakfu wa EABL watoa mchango wa taalo za hedhi kupitia shirika la Red Cross kwa watu walioachwa bila makao nchini Kenya.

kuibuka kwa mielekeo ya uongozi ifaayo ambayo itawafanya viongozi wetu kuwa bora zaidi katika eneo hili la dunia na kimataifa.

KUSTAWISHA VIPAWA

Uwekezaji katika watu wetu umeanza kuzaa matunda na kwa wakati huu tunapeleka nje vipawa vyetu kwa kampuni ya Diageo; wafanyakazi wanane wa EABL

kwa wakati huu wanaendesha utekelezaji wa mipango ya mageuzo SAP huko Nigeria na Ghana. Baadhi ya wafanyakazi wengine wanafanya kazi katika nyadhifa mbalimbali katika makao makuu ya Diageo huko London. Kadhalika tumeimarisha ubadilishanaji wa vipawa kati ya Kenya na Uganda kukuza na kupanua msingi wa vipawa vyetu na kuwapeleka wafanyakazi katika mazingira tofauti ya biashara katika eneo hili.

Zaidi ya hayo, kifaa chetu cha mafunzo ya mtandao, e-learning, kinaendelea kuvutia idadi kubwa ya wafanyakazi ambao wanaweza kupata vifaa vya kujifunza vya hali ya juu vya kimataifa wakiwa kwenye meza zao kazini.

KUANZISHWA UPYA KWA MTANDAO WA KINDANI

Kwa kutambua umuhimu wa mtandao wa kindani wa kampuni yetu kama hifadhi ya habari na kifaa cha mawasiliano, tumebuni upya na kuanzisha upya mtandao huo. Mtandao wetu wa kindani sasa unavutia



Wafanyakazi wa EABL washiriki katika shughuli ya kuimarisha ufanyaji kazi pamoja kama kundi.

Masuala ya wafanyakazi

zaidi na unatumika kwa urahisi zaidi. Mtandao huo pia umewekwa chapa ya mtindo unaofahamika wa EABL na habari zilizomo ni za hivi punde na zinazovutia.

UKUAJI UNAOTOKANA NA VIHIMIZO

Kufuatia kutekelezwa kwa mpango wetu wa kihistoria wa vihimizo, tunaendelea kuimarisha juhudi zetu za kusukuma watu binafsi, vikundi na vitengo vya kibiashara kutimiza malengo ya kazi zao. Mipango ya vihimizo inasaidia kanuni yetu ya malipo yanayotegemea utendaji kazi, kupitia kwa mfumo wa Washirika wa Ukuaji, Partners for Growth (P4G). Vihimizo vimethibitisha kuwa msukumo wa thamani kubwa wa utendaji kazi katika biashara yetu na tutaendelea kuviimarisha katika siku zijazo.

MPANGO WA USAIDIZI WA UONGOZI

Kampuni inaendelea kuthamini uongozi mzuri kama msingi wa utendaji kazi wake. Kwa upande huo, tumetoa rasilimali kuhakikisha kwamba biashara inatimiza mahitaji ya udhibiti yaliyopo kindani na nje nyakati zote. Hii ni hatua inayoniwa kuhakikisha kwamba biashara hii haikiuki kanuni na sheria za kibiashara za kampuni. Kitengo hiki pia kimekabidhiwa jukumu la kuwafunza wafanyakazi kuhusu Sheria za Uendeshaji Biashara yetu kwa sababu kama biashara, tunatarajia kwamba wasimamizi wote na wafanyakazi wanapaswa kuelewa kikamilifu sheria hiyo. Utaratibu huu tayari umeanza.

MASLAHI YA WAFANYAKAZI

Tunaendelea kuimarisha maslahi ya wafanyakazi wetu na kuidhinisha mipango ya kuwaendeleza kuhakikisha kwamba kampuni yetu inapata sifa ya "mwajiri anayependelewa". Mnamo mwezi Juni 2008, EABL ilishinda tuzo kutoka kwa

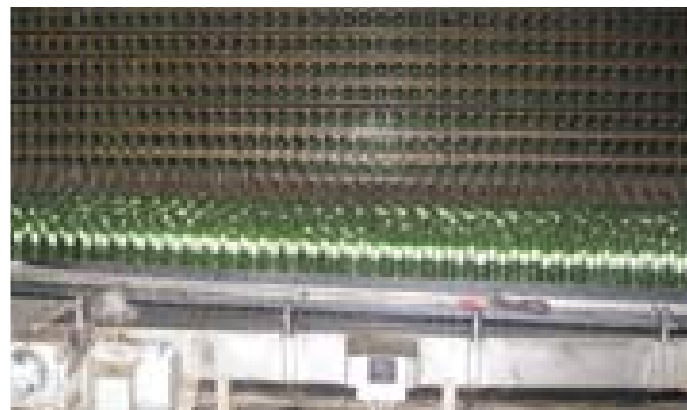


Global Business Coalition kutokana na mpango wetu wa HIV/Ukimwi kazini. Kadhalika tumetekeleza mipango ya kutodhuru yaani "zero harm" kudhihirisha kwamba hali ya "kuthaminiana" inapewa kipau mbele. Tuliajiri mshauri wa masuala ya usalama kutusaidia kuimarisha mifumo na viwango vyetu vya usalama ili

kukuza utamaduni wa usalama miongoni mwa wafanyakazi wetu na pia kwamba viwango vyetu vya usalama ni vya kiwango cha kimataifa. Kila kitengo chetu cha biashara sasa kina Meneja wa Usalama na tumekodisha rasilimali ya usalama wa eneo ili kuendeleza ajenda hii kwenye msingi wa kanda.



Mtambo wa kuosha chupa - miaka ya 1950



Mtambo wa kuosha chupa - 2008

Wakati wa kipindi cha mwaka wa matumizi ya fedha uliopita, hatua kadhaa muhimu ziliafikiwa katika kampuni ya Kenya Breweries. Muhimu zaidi miongoni mwa hatua hizi ni viwango vilivyovunja rekodi vya utoaji uliochochewa na uwekezaji wa kimbakati. Tukiangalia mbele, tunapanga baadhi ya uwekezaji ambao utaongeza uwezo wetu kwa asilimia 30% na kuimarisha uokoaji gharama na pia kudumisha ubora. Kujitolea kwetu kutengeneza vinywaji vya hali ya kimataifa na uuzaji kunaendelea bila kuyumbayumba.

Wakati wa mwaka wa matumizi ya fedha wa 2008, Kenya Breweries ilirekodi utoaji wa hali ya juu zaidi kuwahi kuafikiwa wa hektolita milioni 4.63, hili likiwa ongezeko la asilimia 15% zaidi ya mwaka wa matumizi ya fedha wa 2007. Ongezeko katika utoaji lilitokana na ufanisi katika kuwekwa kwa mtambo wa pili wa kuchujia, Mash Filter, na vyombo viwili vya utekelezaji mara dufu, Dual Purpose vessels, mnamo mwezi Oktoba 2007, uwekezaji uliokuwa wa shilingi milioni 470.

Katika nyanja ya kuchuja, biashara pia iliweka mtambo wa kuchujia mnamo mwezi November 2007 huku mwingine

ukipangiwa kuwekwa baadaye mwaka huu, ambao utaongeza uwezo wetu wa uchujaji kwa asilimia 30%. Uwekezaji wetu katika nyanja hii ulikuwa jumla ya shilingi milioni 394.

UPAKIAJI

Katika upakiaji, kampuni iliongeza uwezo wa bidhaa ya keg kwa asilimia 20% kwa gharama ya shilingi milioni 56 wakati wa kipindi cha mwaka kwa kuweka mtambo wa tano wa upakiaji. Tumeweka kwenye bajeti mtambo mwingine katika kipindi cha matumizi ya fedha cha 2009 ili kutimiza mahitaji yanayoongezeka ya bidhaa ya Senator Keg, kinywaji ambacho tulikistawisha kama kinywaji salama na cha gharama nafuu badala ya pombe haramu.

Nchini Uganda, tuliweka na kuanzisha mtambo wa pili wa upakiaji mnamo mwezi Oktoba 2007 na kuongeza uwezo wa upakiaji wa kampuni ya Uganda Breweries kwa asilimia 40% kutoka hektolita milioni 1 hadi hektolita milioni 1.4 kwa mwaka.

Katika mwaka wa matumizi ya fedha wa 2009, biashara hiyo itaweka mtambo mwingine utakaotoa chupa 80,000 kwa saa, vyombo sita vya utekelezaji maradufu,

Dual Purpose vessels, Matangi manne ya Bright Beer na kiwanda kingine cha matumizi. Uwekezaji huu utakuwa wa thamani ya shilingi bilioni 3.4. Mradi huo wote utanzishwa mwezi Novemba 2008 na utaongeza jumla ya uwezo wetu kwa zaidi ya asilimia 30%.

GHARAMA YA BIDHAHA ZILIZOUZWA (COGS)

Gharama ya Bidhaa zilizouzwa (CoGS) iliathiriwa sana na ghasia zilizozuka baada ya uchaguzi mkuu nchini Kenya na kupanda kwa gharama ya maisha kuliko athiri kawi, nguvu za umeme na gharama ya mali ghafi. Hali hiyo ingekuwa mbaya zaidi kwa EABL lakini kampuni ilichukua mtazamo wa kukabiliana nayo kupitia utaratibu, matumizi na uvumbuzi. Usimamizi madhubuti wa taka pia ulisaidia kulinda biashara dhidi ya uwezekano wa hasara.

Hatimaye, tulizindua kampeni ya Kiwanda Kamili, Perfect Plant, nchini Kenya na Uganda katika miezi ya Juni na Julai 2008, kwa lengo la kusukuma vifaa vya ubora vya utengenezaji na mbinu katika biashara yetu.

UHAKIKA WA UBORA

Tunaendelea kutumia viambato au vifaa bora zaidi katika utengenezaji wa pombe na vinywaji vyetu visivyokuwa na vileo katika eneo la Afrika Mashariki. Tunajivunia utumiaji wa shayiri ya hali ya juu zaidi inayopatikana maeneo ya joto, kimea na mali ghafi ya eneo hili.

Ili kuhakikisha ubora wakati wa utayarishaji, tumewekeza katika viwanda vya hali ya juu vya kimataifa vya utoaji na taratibu za udhibiti, ambazo zinahakikisha kwamba bidhaa zetu zinatayarishwa kuambatana na viwango vya kimataifa vya utengenezaji.

Katika vitengo vyetu vyote vya biashara, tumetekeleza mifumo ya kuhakikisha matokeo bora kuanzia mwanzo hadi mwisho, kutoka usimamizi wa mali ghafi, usimamizi wa uendeshaji shughuli, utaratibu wa ugawaji, hadi utengenezaji wa voo. Mifumo hii imejikita katika misingi ya Kitaifa, Kimataifa na Leseni ya Nchini ya kudumisha viwango vya Usalama wa Chakula Bora na Mazingira.

Pamoja na viwango vya kimataifa, kadhalika tumefikia na kupita viwango vyote vya ubora humu nchini. Kote katika Kundi la makampuni uzingatiaji mkubwa umetiliwa katika ubora wa usimamizi na vitengo vyote vimetuzwa vyeti vya ISO 9001: 2000, EMS 14001: 2004, HACCP au 22000. Vyeti hivi vinathibitisha kwamba tunaendesha viwanda vya utayarishaji vya kiwango cha juu cha kimataifa ambavyo vinahakikisha bidhaa bora za hali ya juu, ambazo zinaonyesha kujitolea kwetu kutoa bidhaa za hali ya juu kwa wateja wetu nyakati zote.



Vyombo vya utekelezaji mara dufu (DPV's) katika kiwanda cha Ruaraka.

Utamaduni wa ubora umeendelea kutiliwa kwenye nyanja zote za utoaji na kila mfanyakazi anahitajika kuwajibika kwa kuhakikisha kwamba kila bidhaa inayotoka maeneo yetu inatimiza viwango vya juu vya kimataifa.

USALAMA

Usalama wa watu wetu na washirika ni muhimu sana na katika EABL tunajitahidi



Jumba la kisasa la utengenezaji vinywaji: uwekezaji katika viwanda vipya umechangia kuimarishwa kwa usalama na ubora.

kudumisha utamaduni wa kuepusha madhara yote kwa kuendelea kuimarisha utendaji wetu katika viwango vya usalama.

USIMAMIZI WA TAKA

Katika EABL tunafahamu kwamba ufanisi wetu unategemea wajibu wetu wa kulinda na kuimarisha watu wetu, aina za bidhaa na jamii zetu. Kuambatana na haya tumejitolea kusaidia kudumisha mazingira kupitia kuendelea kuimarisha na kuzuia uchafuzi ambako kunadhihirishwa na uwekezaji wetu wa kiasi kikubwa katika kiwanda cha hali ya juu cha kisasa cha kusafisha maji machafu ya viwandani. Tumejitolea kupunguza athari ya taka zetu kwa kuongeza utumizi wa mbinu ya “punguza, tumia tena na kutengeneza kwa utumiaji tena”.

SHUGHULI ZA KUSTAWISHA BIDHAA

Ili kutimiza madhumuni yetu ya ukuaji na kuwasilisha hatua ya mabadiliko katika tajriba ya wateja, tulitekeleza uwekaji msingi na kampeni bunifu za uuzaji kote katika eneo la Afrika Mashariki na kuanzisha bidhaa mpya za kuisimua wakati wa kipindi cha mwaka. Shughuli hizi zilifurahisha wateja na kuimarisha usawa wa bidhaa zetu.

MIPANGO MUHIMU YA KUIMARISHA BIDHAA:

TUSKER

MRADI WA TUSKER PROJECT FAME

Makala ya pili ya mradi wa maonyesho wa Tusker Project Fame yalipendwa na wengi na kusababisha viwango vya juu vya msisimko na ushiriki kote katika nchi za Kenya, Uganda na Tanzania. Tusker Project Fame hutoa fursa kwa watu wa eneo la Afrika Mashariki kuonyesha vipawa vyao vya muziki, na kutoa nafasi ya kipekee kwa mshindi kutia sahihi kandarasi na kampuni ya kurekodi muziki inayotambulika kimataifa. Maonyesho ya mwaka huu yalivutia watazamaji wengi zaidi miongoni mwa watazamaji wa televisheni. Kilele chake kilikuwa kinyang'anyiro cha mwisho cha kuisimua ambapo raia wa Uganda



Sherehe ya utoaji tuzo katika Tusker Safari Sevens 2008.

aliibuka mshindi naye Mkenya akawa wa pili. Matokeo ya kieneo ya Tusker Project Fame yaliimarisha sifa ya Tusker kama bidhaa ya kuisimua na inayoongoza katika eneo la Afrika Mashariki.

UFADHILI WA MICHEZO WA TUSKER

Tuliendelea na utamaduni wa kukuza na kusherehekea vipawa kwa mashindano ya michezo iliyofadhiliwa na Tusker. Huku likitanguliwa na msururu wa matukio kote nchini, shindano la Tusker 'Night of Champions' lilishirikisha wanariadha wa

humu nchini pamoja na wa kimataifa na lilivutia watu wengi kutoka humu nchini. Shughuli hiyo ilivutia na kuelezewa kwenye vyombo mbalimbali vya habari. Baadhi ya wanariadha ambao walishindana katika shindano hilo la Tusker waliendelea na kushinda medali kwenye michezo ya Olimpiki iliyokamilika hivi majuzi.

Kwenye Kalenda ya golf, Tusker Malt Lager ilifadhili shindano la 'European Challenge Tour' ambalo ni la kipekee la golf kuandaliwa Afrika. Shindano hili la kiwango cha kimataifa lililofanyika Karen Country Club mjini Nairobi lilivutia wachezaji golf wengi wataalamu kutoka kote ulimwenguni, wakiwemo wachezaji maarufu wa golf wa Kenya. Tulitunukiwa heshima ya kuwepo kwa Rais wa Kenya Mtukufu Mwai Kibaki na Waziri Mkuu Mheshimiwa waziri Raila Odinga kwenye shughuli hiyo.

Shindano la Tusker Safari Sevens, ambalo ni tukio muhimu kwenye kalenda ya kimataifa ya ragbi ya 7-aside lilivutia timu kutoka nchi mbalimbali zikiwemo Fiji, Ufaransa, Japan na Afrika Kusini. Huu ulikuwa mwaka wetu wa 13 wa kufadhili shindano hilo. Kama ushahidi wa kujitolea



Washindani katika maonyesho ya Tusker Project Fame.

kwetu kustawisha vipawa kwa miaka hiyo, timu ya Kenya sevens ilishinda timu inayoibuka ya Boks kutoka Afrika Kusini kwenye fainali ya kulisimua sana na kuleta sifa kuu na shangwe miongoni mwa Wakenya. Shindalo hilo lilivutia vyomba vya habari vya humu nchini na vya kimataifa.

Nchini Tanzania, shindano la kandanda linalopendwa na wengi la "Tusker Challenge Cup" liliendelea kuvutia umati, na kuleta uhusiano mwema wa kiwango kikubwa baina ya Tusker na shindano hilo. Ukuaji wa bidhaa hiyo pia ulisababishwa na kuzinduliwa kwa upakiaji mpya wa 'Tusker long-neck pack' nchini Tanzania ambao ulitoa fursa ya kuwepo 'habari mpya' kuhusu Tusker lager na kusababisha kiwango kikubwa cha shauku miongoni mwa watumiaji pamoja na kuongeza mvuto.

GUINNESS

Kundi la bidhaa ya Guinness lilianzisha shughuli muhimu za uuzaji kote nchini Kenya na Uganda. Kundi hilo lilizindua awamu ya pili ya kampeni yenye matokeo bora ya UKUU yaani GREATNESS kwenye baadhi ya vyombo vya habari katika nchi zote mbili.



Pipa la Senator Keg.

Kwa kutambua ongezeko la umaarufu wa ligi ya Uingereza, English Premier League, Guinness ilikuwa mfadhili rasmi wa matangazo ya ligi hiyo kote barani Afrika. Chama cha Guinness na kandanda kilithibiti sifa za bidhaa hiyo na kusukuma viwango vya juu vya uhamasishaji wa bidhaa hiyo. Tangazo la Guinness kwenye televisheni la 'Mpinzani' yaani "Rivalry" ambalo lilitayarishiwa katika eneo hilo nchini Kenya, lilikadiriwa na mojawapo ya magazeti makuu ya humu nchini kuwa mojawapo ya matangazo bora ya televisheni na lilionyeshwa Afrika Mashariki na Magharibi.

PILSNER

Pilsner inaendelea kupata umaarufu wa kieneo katika nchi za Kenya, Uganda na Tanzania. Kuambatana na mkakati wa kuweka upya nafasi kuarifu tena watumiaji wa Pilsner lager, kundi la bidhaa hiyo lilianzisha 'sura mpya ya pilsner', "new-look Pilsner" yenye kitambulisho kipya kote katika eneo hili. Mpango huu ulisababisha viwango vya juu vya shauku ya watumiaji na kuimarisha usawa wa bidhaa hiyo.

SENATOR

Katika nchi za Kenya na Uganda, mipango ya shughuli za uuzaji zinazozingatia maeneo ya makaazi yasiyo rasmi mijini ilianzishwa. Kampeni ya uhamasishaji inayopendwa na wengi ya "Tuko Mtaani na Senator" ilizinduliwa nchini Kenya katika mitaa ya mabanda. Uhamasishaji huu uliimarisha Senator kupitia utumiaji wa muziki, michezo, vichekesho na densi. Shughuli hiyo ilitoa burudani ya kulisimua na ya hali ya juu kwa watumiaji. Vifaa vilivyotolewa kwenye uhamasishaji huo bunifu na wa kufaa – chaja ya simu ya rununu inayotumia kawi ya miale ya jua yaani solar, tochi zisizotumia betri – vilifaa mno kwa watumiaji waliolengwa na hivyo basi kuimarisha mvuto wa uhamasishaji huo. Nchini Uganda, kundi la bidhaa ya Senator lilikuza ahadi ya bidhaa hiyo ya 'kudhihirisha kustahili kuwepo na kujivunia' kupitia tamasha za kitamaduni



Kasha la Tusker Keg katika eneo la uuzaji.

za kitaifa zinazofahamika kama "Senator Cultural galas". Sherehe hizi zilizohudhuriwa kwa wingi zilitoa burudani ya kulisimua iliyohusisha mashindano baina ya makundi ya densi za kitamaduni kwenye sherehe za sehemu hiyo au eneo ambazo hatimaye zilimalizikia kwa sherehe ya kitaifa.

MALTA GUINNESS

Tangazo jipya la televisheni la Malta Guinness lilizinduliwa katika nchi za Kenya na Tanzania. Hii ilisababisha ufahamu wa hali ya juu na msisimko kwa bidhaa hiyo na kuhimiza ongezeko la unywaji wa majaribio. Bidhaa hiyo ilikuwa mfadhili wa mashindano ya viliboli ya wanawake ya 16 ya Africa Cup of Nations yaliyofanyika nchini Kenya. Mashindano hayo yalikusisha timu kuu za voliboli za Afrika kutoka nchi 9 zikiwemo Misri, Nigeria, Tunisia, Kenya na Uganda kwenye shindano la kulisimua ambapo Kenya iliibuka mshindi. Katika kipindi cha mwaka, densi ya Malta Guinness Street Dance Africa ilianza kote barani, na nchini Kenya ilitoa fursa kwa makundi kadhaa ya densi ya humu nchini kuonyesha vipawa vyao vya kupendeza. Nchini Tanzania bidhaa hiyo ilizinduliwa kwa ufanisi kwenye kifurushi kipya na ilitokea wakati ambapo utoaji ulikuwa

ukipanuliwa hadi maeneo matatu huko Dar es salaam, Arusha na Mwanza.

SMIRNOFF

Uhamasishaji wa kitaifa wa Smirnoff Ice RAEV IT UP ulisababisha shauku kubwa na ushiriki miongoni mwa watumiaji. Uhamasishaji huu ulitilia nguvu sifa za bidhaa hiyo kama kinywaji bora kikali kilichotayari kwa kunywa nchini Kenya. Nchini Uganda, Smirnoff ilizindua kampeni ya matangazo ya 'Asili waziwazi' na kuifuatilia na uhamasishaji asili wa jukwaani – changamoto ya Burudani. Karamu za mitaani za Smirnoff Street Rave pia zilizinduliwa.

UGANDA WARAGI

Kundi la bidhaa ya Uganda Waragi lilianzisha kampeni ya "uchanganyikaji" ili kuepuka vikwazo vya nguvu ya kinywaji hicho ambavyo vilikuwa vimejitokeza kihistoria.

Uhamasishaji wa Kitaifa kwa Watumiaji unaohimiza uchanganyaji yaani 'UG-Mix-A-Million' uliotekelezwa mwezi Julai uliwahimiza watumiaji kuchanganya Uganda Waragi (maarufu kama UG) na vinywaji visivyo na vileo wanavyovipendelea ili kuweza kufurahia kinywaji hicho.



Sherehe ya kuzinduliwa kwa kinywaji cha EABL kisichokuwa na kileo, Alvaro.

BELL LAGER

Nchini Uganda, watumiaji wa Bell Lager walituzwa kwa "kuleta nyumbani wanamuziki maarufu wawapendao" kupitia kwa misafara ya kitaifa ya Tuzo la PAM ambayo ilitangulia na kufuatia shughuli inayoongoza ya kijamii – PAM Awards. Misafara hiyo inayofahamika kama 'Karamu na waimbaji Nyota' ilidumu kwa miezi minne ambapo ilivutia na kuongeza mauzo ya bidhaa hiyo.

V&A

Nchini Uganda, kampeni mpya ya matangazo ya V&A ilizinduliwa. Kampeni hiyo – 'inasema mengi kukuhusu' ilijumuisha kuanzishwa kwa kitambulisho

kipya na kampeni ya televisheni, redio na magazeti. Hii ilifuatiwa punde tu na sherehe ya kijamii ya 'waimbaji mashuhuri waungana' yaani 'Divas Unite' ambayo ilihusisha kuwaandaa waimbaji watatu mashuhuri kutoka Rwanda, Uganda, na Nigeria – wanasanaa wote maarufu na sifa zao za kipekee zikiwa msukumo wao wa uhisani.

UVUMBUZI

Alvaro, kinywaji cha kimea asilia kisichokuwa na vileo kilizinduliwa mwezi Aprili mjini Nairobi, Kenya. Uzinduzi huo uliofanikiwa umesababisha matokeo ya kufurahisha miongoni mwa watumiaji katika viwango vya biashara na watumiaji.



Washindani washerehekea ushindi katika shughuli ya uhamasishaji.

Kinywaji cha Alvaro kilizinduliwa kwa ufanisi mnamo mwezi Aprili 2008. Ni kinywaji asilia cha kimea kinachotoa viputo vidogo vidogo kisichokuwa na vileo. Kinywaji hicho kiko katika aina mbili: Nanasi (Pineapple) na Pea (pear). Kufuatia kuanzishwa kwake Alvaro imepata ufanisi mkubwa huku zaidi ya chupa 8,000,000 zikiwa zimetumiwa katika muda wa miezi mitatu tangu kuanzishwa kwake. EABL kwa wakati huu inaandaa mikakati ya kuongeza uwezo wake ili kutimiza mahitaji haya ambayo hayajawahi kutokea.

Vidokezo vya Mauzo

Baada ya mwaka wenye ufanisi mkubwa katika mauzo wa EABL, yafuatayo ni baadhi ya mambo muhimu yaliyowezesha kupatikana kwa matokeo hayo bora tuliyoona. Muhimu kati ya hayo ni kuimarishwa kwa ugawaji/njiani hadi sokoni, kuzingatia biashara ya uuzaji na wateja.

KUIMARISHA UGAWAJI/NJIANI HADI SOKONI

Tuliendelea kuimarisha utaratibu wa njiani hadi sokoni, ugawaji na kukuza uwezo. Baadhi ya nyanja muhimu zilizozingatiwa ni biashara ya uuzaji na mipango ya ugawaji vinywaji visivyokuwa na vileo, Carbonated Soft Drinks (CSD). Senator Keg pia ilidhihirisha ukuaji wa hali ya juu katika kipindi cha mwaka na kutoa asilimia 40% zaidi ya jumla ya mwaka uliotangulia nchini Kenya na kufunga mwaka na ukuaji thabiti nchini Uganda.

Katika pombe kali, utaratibu wa njiani hadi sokoni uliimarishwa kupitia kuanzishwa kwa magari ya kubeba pombe kali yaliyojitolea na wagawaji nchini Kenya na Uganda. Nchini Uganda ongezeko la uzingatiaji wa pombe kali katika kipindi



EABL washirikiana na wagawaji katika warsha ya kujadili masuala muhimu ya biashara.

cha pili cha mwaka, na utendaji thabiti wa Uganda Waragi na V&A ulidhihirisha ukuaji thabiti wa pombe kali zaidi ya kipindi cha mwaka uliotangulia.

Kulikuwa pia na mfungamano zaidi wa makundi ya mauzo na uuzaji ambao ulisababisha utendaji wa hali ya juu wa mipango ya mauzo na uuzaji. Tusker Academy ilizinduliwa – hatua muhimu ya kuendeleza uwezo miongoni mwa

wagawaji na washirika wetu wa biashara rejareja katika eneo hili.

KUZINGATIA WATEJA

Wakati wa kipindi cha mwaka tuliandaa upya muundo wetu wa uuzaji na kuongeza idadi ya wafanyakazi wa mauzo kwenye kundi hilo. Wafanyakazi wa biashara ya uuzaji pia waliongezwa na kundi la kuzingatia bidhaa zizozokuwa na vileo kubuniwa.



Mauzo ya bidhaa za EABL katika eneo la uuzaji rejareja.

Mpango wa Ufadhili kwa Wagawaji ulitekelezwa na kurahisisha kupatikana kwa mikopo kwa wagawaji na hivyo basi kuimarisha mfumo wa ukusanyaji kwa biashara. Mpango huo wa ufadhili pia ulihusisha washirika wetu wa ugawaji wa Senator Keg na aina ya vinywaji visivyokuwa na vileo na hii imeimarisha ukuaji kwa kiwango kikubwa.

Wakati wa kipindi cha mwaka EABL ilinunua magari mapya 150 kwa kundi lote la uuzaji, ambayo yatahakikisha kuimarishwa kwa utoaji huduma kwa washirika wetu wakuu.

MAFANIKIO

Kampuni ya East African Maltings (EAML) ilirekodi baadhi ya mafanikio wakati wa kipindi cha mwaka, ikiwa ni pamoja na kuongezeka kwa kiasi kikubwa kwa utoaji wa kimea cha pombe yaani malt, kustawishwa kwa aina mpya za shayiri, katika mazingira ambapo afya, usalama, na viwango vya uendeshaji shughuli viliimarishwa kwa kiasi kikubwa. Mafanikio yafuatayo yalipatikana katika kipindi cha mwaka:

AINA ZA SHAYIRI

Tulitoa tani 33,000 za kimea katika kipindi cha mwaka, hili likiwa ongezeko la asilimia 13% ikilinganishwa na utoaji wa mwaka uliotangulia. Utoaji wetu uligawa mfululizo kimea kilichotengenezewa humu nchini kwa vitengo vya utengenezaji pombe vya EABL, licha ya changamoto zilizotokana na

kuvurugwa kwa soko la kimea la kimataifa ambako kulijumuisha uhaba wake na kupanda kwa bei.

EABL ilikuwa ya kwanza katika majaribio ya bima mpya ya bidhaa za mazao iliyoanzishwa hivi majuzi katika eneo la Afrika Mashariki kwa jamii ya wakulima wetu wa shayiri.

Wataalamu wetu wa kilimo walistawisha aina mbili mpya za shayiri yenye mavuno ya juu ambayo pia ina sifa zilizoimarishwa za utengenezaji pombe.

Tuliendelea kupanua uzalishaji shayiri nchini Uganda. Kwa wakati huu kuna ekari 5,000 zinazokuzwa shayiri na tumeanzisha uzalishaji wa majaribio huko Nebbi Kaskazini mwa Uganda.

Shughuli za kampuni ya EAML zilituzwa cheti cha ISO18000 na ISO22000 katika kipindi cha mwaka. Cheti cha ISO kinatambua kwamba kampuni yetu imetimiza viwango vya kimataifa vya afya kazini na udhibiti usalama, na usimamizi wa usalama wa chakula mtawalia.

UWEKEZAJI

Tukiendelea mbele, EAML inanua kuongeza utumiaji wa mtaji katika kiwanda cha kimea kuimarisha utoaji hadi zaidi ya tani 36,000, kukuza uhusiano endelevu na wakulima wa shayiri kupitia mipango ya uimarishaji ukulima wa mazao, aina zenye mavuno ya juu na mikondo thabiti ya mapato.

EAML inabuni ubia na wataalamu wa kimataifa ili kuanzisha mbinu bora za kilimo zinazoniwa kuendeleza ajenda ya ubora "mbegu kwa bidhaa uipendayo".

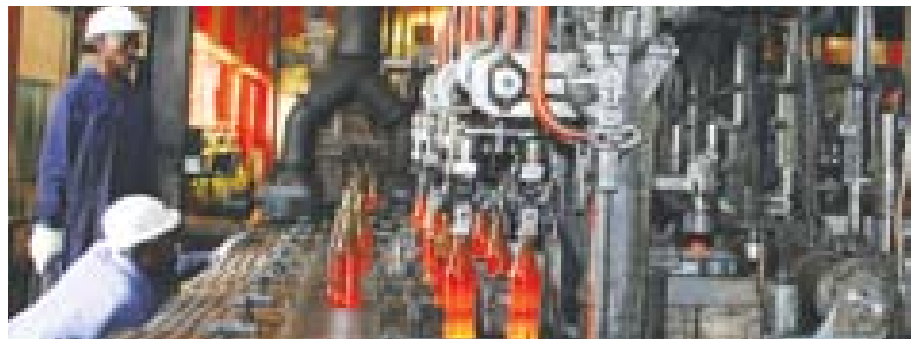
Central Glass

Tawi la utoaji wa vioo la Eabl, Central Glass Industries Limited, liliendelea kufanya vyema katika kipindi chote cha mwaka. Tuliua takriban tani 37,000 za vioo katika mwaka wa matumizi ya fedha wa 2008, huu ukiwa utendaji wetu bora zaidi katika historia ya biashara hii na tulifikia uwezo kamili wa tanuu katika mwaka wa fedha wa 2008, huku uwezo huo ukiwa umetimizwa hadi mwaka wa matumizi ya kifedha wa 2009.

KAWI

Tuliwekeza na kuanzisha mtambo mpya wa kisasa wa uchapishaji ambao unatumia gesi kuweka mapambo. Mtambo huo unaotumia gesi utasaidia kukabiliana na kuongezeka kwa gharama ya nguvu za umeme. Kadhalika tuliimarisha mifumo ya udhibiti wa kiwanda chetu katika kipindi cha mwaka, ikiwa ni pamoja na vifaa vya kuunda vioo.

Gharama za kawi zilikuwa changamoto kubwa wakati wa robo ya mwisho ya mwaka, kutokana haswa na kuongezeka kwa gharama ya mafuta mazito, heavy fuel oil (HFO). Utumiaji wa mali ghafi badalia ulitusaidia kuondoa baadhi ya shinikizo zilizotokana na ongezeko hilo.



Uundaji chupa katika kampuni ya Central Glass.

Mipango mingine ya kuokoa kawi ni pamoja na utumiaji wa mkusanyiko wa vifaa badalia kama vile calumite, inayosaidia katika uyeyushaji. Muhimu pia katika aina hizo ni chupa zilizovunjika zinazofahamika kama cullet. Central Glass kinabakia kuwa kiwanda kikubwa zaidi cha utengenezaji bidhaa upya kwa matumizi katika eneo la Afrika Mashariki.

VIWANGO

Biashara hii imeendelea kusaidia na kuimarisha mifumo yetu yote ya ubora inayojumuisha ISO 9001:2000, EMS ISO 14001:2004 (Mfumo wa Usimamizi wa

Mazingira), Kanuni za 1997 za CODEX HACCP (Uchambuzi wa Hatari na Vituo Muhimu vya Udhibiti) na OHSAS 18001:1999 (Afya Kazini na Mfumo wa Usimamizi wa Usalama). Kujitolea kwetu kudumisha ubora ndio nguzo ya uwezo wetu wa utoaji na huvutia wateja mbalimbali katika eneo la Afrika Mashariki na Kati, wakiwepo wateja kutoka Ethiopia, Malawi, Tanzania, Eritrea na Zaire na pia Angola katika eneo la Kusini mwa Afrika. Wateja wetu ni pamoja na, EABL, SABMiller, Heineken, Kampuni ya Coca Cola, Pepsi na GSK miongoni mwa wengine.

Wajibu wa Kampuni kwa Jamii

Wakfu wa EABL umekua kwa kiwango kikubwa katika muda wa miaka mitatu iliyopita na unahudumu kuimarisha maisha ya zaidi ya watu 500,000 wa Afrika Mashariki. Baadhi ya miradi yetu ya hivi pinde ni pamoja na:

MAJI KWA MAISHA

“Maji na udhibiti afya” uliidhinishwa kama ajenda ya mwaka uliopita huku Wakfu huo ukishughulikia miradi mjini Nairobi na Kampala.

MRADI WA MAJI WA MUTHURWA

Kufikia sasa, huu ndio mradi mkubwa zaidi kutekelezwa na wakfu huu. Soko la Muthurwa lipo katika sehemu yenye shughuli nyingi katika eneo la Mashariki mwa mji wa Nairobi, likipakana na kituo cha mabasi na matatu. Soko hilo na kituo hicho cha mabasi uhudumia idadi kubwa ya wafanyabiashara na wasafiri. Wakfu huu ulishirikiana na shirika lisilo la kiserikali la Maji na Ufanisi, kujenga majengo mawili ya

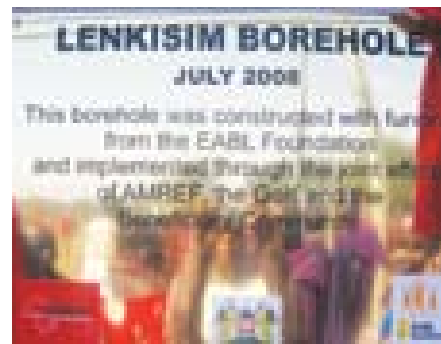
kuogea yanayojumuisha vituo vya maji ya kunywa, maeneo ya kuogea na vyoo. Jumla ya watu 100,000 wanatarajiwa kunufaika kutokana na mradi huo.

MRADI WA MAJI WA MONGO KISENYI

Zaidi ya watu 30,000 katika parokia ya Mengo walinufaika kutokana na mradi huu wa maji na udhibiti usafi ulioko katikati mwa mji wa Kampala, Uganda. Mradi huu ulitoa kwa jamii ya sehemu hiyo vyoo vitatu, vioski vya maji 18, na mabomba ya kusimama 10. Wakfu huu ulishirikiana na watu wa jamii na mpango wa Community Integrated Development Initiatives (CIDI) kujenga na kusimamia mradi huo. Mpango wa CIDI ulitoa ujuzi wa hali ya juu wa kiufundi.

MAJI KWA MAISHA EASTLEIGH

Wakfu wa EABL ulifanya kazi na Water Canada na Maji na Ufanisi kuanzisha mpango wa maji na udhibiti afya katika kijiji cha Kiambiu huko Eastleigh jijini Nairobi. Lengo la mradi huo ni kuimarisha



Bango linalodhihirisha kukamilika na kuanzishwa kwa mradi wa maji wa Lenkisim.

usafi wa wakaazi wa mtaa wa makaazi wa mabanda wa Kiambiu kupitia udumishaji huduma za maji na mazingira.

Watu wengi wanaoishi katika kijiji cha Kiambiu hutatizika kupata maji safi kwa bei nafuu. Baadhi ya vituo vya maji vilivyoko kwa sasa viko katika maeneo yasiyo safi, na kuhatarisha maisha ya watumiaji. Usafi pia ni changamoto, kwani bafu na vyoo ni chache mno. Wakfu wa EABL, Water Canada na Maji na Ufanisi zilishirikiana kutoa maji safi na majengo ya pamoja ya kuogea kwa takriban watu 20,000 huko Kiambiu.

UJUZI KWA MAISHA

HATI YA KUSIFU MPANGO WA MISAADA YA MASOMO WA EABL : DAVIS KARAMBI

Mmoja wa wanafunzi waliopokea msaada wa Masomo wa Wakfu wa EABL, Davis Karambi, alifuzu kwa shahada ya digrii ya honours kutoka Chuo Kuuu cha Strathmore mwaka uliopita. Davis alikuwa mojawapo wa wanafunzi 10 wervevu lakini wasiokuwa na uwezo wa kifedha waliopewa msaada wa masomo kupitia kwa Wakfu wa EABL mwaka wa 2003. Tangu 2003, Wakfu umetoa misaada ya masomo kwa zaidi ya wanafunzi 100 maskini.



Mkurugenzi mkuu wa Kundi Gerald Mahinda aanzisha msingi wa mradi wa maji wa Muthurwa, wakitizama (kushoto-kulia) ni Rais wa Diageo Stuart Fletcher, Meya wa Nairobi Goffrey Majiwa na PC wa Nairobi James Waweru.



Utoaji wa kompyuta kwa kituo cha polisi cha Kileleshwa wa Wakfu wa EABL

Davis alimaliza shule za msingi na sekondari kwa usaidizi na ukarimu wa waalimu wake na majirani katika mkoa wa Mashariki. Alifurahi sana kushinda msaada wa masomo wa Wakfu wa EABL kusoma masuala ya biashara katika Chuo Kikuu cha Strathmore. Davis alifanya vyema ndani na nje ya darasa, alichangia muda wake mwingi katika huduma ya jamii pamoja na masomo yake.

“Ni kupitia jamii ambapo nimeweza kupata elimu. Nahisi kwamba nahitaji kufanya wema kwa kusaidia wengine,” alisema baada ya kukabidhiwa tuzo la Vice Chancellor kwa huduma ya jamii wakati alipokuwa akihitimu.

“Kazi ya Wakfu wa EABL inaendelea kuzaa matunda. Nawashukuru kwa kunipa fursa hii,” Davis aliongeza.

Davis kwa wakati huu anafanya kazi na Mpango wa HIV/Ukimwi wa Wakfu wa Clinton na anahusika na mradi wa kujenga shule ya sekondari katika kijiji chake.

AFYA

Ajenda yetu ya afya inaendelea ipasavyo huku kituo cha matibabu ya macho huko Arusha Moshi kikikaribia kukamilika. Kitakapokamilika kituo hicho kitatoa huduma ya matibabu ya macho kwa idadi ya watu wasiopungua 30,000.

MAZINGIRA

KAMPENI YA EABL GREEN GOALS

Hali ya Mazingira imeendelea kufadhaisha katika viwango vya humu nchini na kimataifa. Kampuni kama EABL zinazingatia athari yao kwa mazingira ikiwa ni pamoja na mambo yanayoathiri mabadiliko ya hali ya anga. EABL inaamini kwamba kampuni zote zinapaswa kuchunguza shughuli zao na athari ya mazingira yaliyokaribu. Biashara zinapaswa kuchukua hatua madhubuti za kuhakikisha kuwa rasilmali zinasimamiwa kwa njia ifaayo kwa uendelevu wa siku zijazo. Kampeni ya Green Goals itasaidia EABL kuwa kampuni ya kijani zaidi na safi zaidi kufikia 2010.

Kulinda mazingira kunafaa kwa biashara bora. Kupunguza athari ya mazingira na

kutumia rasilimali kwa njia inayofaa zaidi ni bora kwa ufanisi wa kampuni. Kwa mfano, kupanda miti na kulinda udumishaji wa misitu kutanufaisha sekta ya biashara na jamii katika kipindi cha muda mrefu. Kutengeneza na kutumia upya bidhaa hubuni kazi kwa watu zaidi.

EABL ni mojawapo ya kampuni kuu katika eneo la Afrika Mashariki. Kama sehemu ya kujitolea kusadia jamii tunaendeleza kampeni ambayo lengo lake ni kutimiza mahitaji ya wateja wetu na jirani katika mazingira yafaayo na endelevu, kupitia kuanzishwa na kuendelea kudumishwa kwa viashirio vya utendaji wa kimazingira katika utafutaji utengenezaji na ugawaji.

Malengo yetu mahususi ni:

- Kufanya kazi kuzuia uchafuzi
- Kupunguza athari kwa mazingira ya bidhaa na shughuli zetu
- Kueleza uwajibikaji kwa usimamizi wa taka, uhibiti wa uchafuzi na uhifadhi kawi na kuweka mipango ya utekelezaji ya kuafikia haya.
- Timiza uhibiti wa kikazi na kisheria na kuhakikisha viwango maalumu vya



Mheshimiwa Makamu wa Rais Kalonzo Musyoka ashuhudia kujitolea kwa EABL kudumisha mazingira kupitia mpango wa Green Goals 2010.

Wajibu wa Kampuni kwa Jamii

kimazingira vya EABL vinaafikwa na hata kupitwa

- Kufanya kazi kwa ushirikiano na wanachama wa sekta, mashirika ya serikali, mashirika yanayohusika ya mazingira, wagawaji, wateja, mashirika asili na umma kuimarisha na kuafikia viwango vya juu vya utunzi wa mazingira.
- Kuwasilisha sera hii na habari nyinginezo zinazohusiana kwa wafanyakazi wote na kudumisha mpango unaoendelea wa mafunzo kuinua kiwango cha uhamasishaji na kuimarisha uelewano wa uwajibikaji kwa masuala ya mazingira.

KAMPENI YA MKEBE WA ALUMINIAMU

EABL ilianzisha kampeni ya kukusanya na kutengeneza kwa matumizi tena mikebe iliyotumiwa ya aluminiamu kama sehemu ya kampeni yetu inayoendelea ya Green Goals. Ukusanyaji wa mikebe hiyo na hatimaye utengenezaji upya unafanywa kwa ushirikiano na kampuni ya mazingira ya humu nchini, Greenloop International. Aluminiamu kutoka kwa mikebe hiyo inatumiwa kwa utengenezaji sufuria za kupikia ambazo hutumiwa sana kote katika eneo la Afrika Mashariki.

“Kulinda mazingira kumekuwa urithi muhimu zaidi ambao tunaweza kuachia vizazi vijavyo,” alisema Ken Kariuki, mdhamini mkuu wa Wakfu wa EABL. “Sio tu jambo linalofaa kufanywa, bali pia linafaa kibiashara. Utengenezaji kwa utumiaji upya na usimamizi wa kawaida hupunguza kiwango cha kaboni na pia gharama zetu za uendeshaji shughuli.”

Mradi wa utengenezaji kwa matumizi tena wa aluminiamu unasaidia kulinda mazingira na kutoa ajira ya kujipatia



mapato kwa watoto wa kurandaranda mitaani ambao hupata pesa kwa kukusanya mikebe.

KUHAMASISHA UNYWAJI WA UWAJIBIKAJI

MTU KWA BARABARA YAANI SOMEONE FOR THE ROAD

EABL imeimarisha upya juhudi zake za kuendeleza madereva walioteuliwa. Kampeni yetu mpya ya “Mtu kwa Barabara”



Mikebe ya aluminiamu iliyokusanywa ikisubiri kutengenezwa upya kuwa sufuria na vifaa vingine vya kupikia.

yaani ‘Someone for the Road’ inahimiza watu kuteua dereva kabla ya kwenda kunywa, au kujitolea kwa hiari wenyewe.

Dereva aliyeteuliwa anawajibika kuendesha marafiki zake kwenda na kutoka mahala pa unywaji. Dereva aliyeteuliwa atabakia bila kunywa kileo chochote wakati wote kuhakikisha kuwa abiria wale wengine wanafurahia vinywaji vyao na pia kurejea nyumbani salama.

Kampeni ya ‘Mtu kwa Barabara’ inahusisha kuwasilisha ujumbe nje na kwenye sehemu za unywaji na pia kampeni kwa njia ya radio. Kampeni hiyo kwa wakati huu inaendelea nchini Kenya na itaanza hivi karibuni nchini Uganda.

KAMPENI YA WE ID

Kufikia sasa, kampeni hii ya vitambulisho ya WE ID imefunza maeneo 500 kwa kutumia mpango wa utaratibu wa utoaji mafunzo wa WE ID. Uchunguzi uliofanywa hivi majuzi na Research International ulionyesha kwamba ujumbe wa unywaji wa uwajibikaji unafaa sana; maeneo yaliyopata mafunzo yameitikia vyema na uchunguzi wa kuangalia jinsi unavyochukuliwa umedhihirisha kwamba maeneo yanatekeleza vipengee mbalimbali vya mpango wa WE ID.



DIRECTORS

JG Kiereini	Group Chairman
N Blazquez*	Group Deputy Chairman
GK Mahinda	Group Managing Director
C Caldwell*	(Resigned 3 June 2008)
R Kemoli	
A Ndegwa	
WS Kalema**	
EK Mwaniki	
BA Savage***	(Resigned 6 May 2008)
W Mugane	
W Kiboro	
P Ndegwa	(Appointed 28 August 2008)
S Adetu***	(Appointed 28 August 2008)

*British

**Ugandan

***Nigerian

COMPANY SECRETARY

Agnes Murgor (Mrs)
Tusker House
Ruaraka
PO Box 30161
00100 Nairobi, GPO

AUDITORS

KPMG Kenya
16th Floor, Lonrho House
Standard Street
PO Box 40612
00100 Nairobi, GPO

ADVOCATES

Kaplan & Stratton Advocates
Williamson House
4th Ngong Avenue
PO Box 40111
00100 Nairobi, GPO

SHARE REGISTRARS

Custody & Registrar Services Limited
6th Floor, Bruce House
Standard Street
Nairobi

PRINCIPAL BANKERS

Standard Chartered Bank Kenya Limited
Kenyatta Avenue Branch
PO Box 30001- 00100 Nairobi, GPO

Commercial Bank of Africa Limited
CBA Building, Wabera & Standard Street
PO Box 30437 - 00100 Nairobi, GPO

Citibank NA
Citibank House, Upper Hill Road
PO Box 30711- 00100 Nairobi, GPO

Barclays Bank of Kenya Limited
Barclays Plaza, Loita Street
PO Box 30120 - 00100 Nairobi, GPO

REGISTERED OFFICE

East African Breweries Limited
Corporate Centre, Ruaraka
PO Box 30161 - 00100 Nairobi, GPO



Notice of Annual General Meeting

NOTICE IS HEREBY GIVEN that the EIGHTY-SIXTH ANNUAL GENERAL MEETING of East African Breweries Limited will be held at Safari Park Hotel, Ruaraka, Nairobi on 30th October 2008 at 11 a.m. for the following purposes:

1. FINANCIAL STATEMENTS

- a) To receive and adopt the audited financial statements for the financial year ended 30th June 2008 together with the report of the Directors and the Auditors' report thereon **(Resolution 1)**;
- b) To confirm the interim dividend of KShs 2.40 per ordinary share of KShs 2.00 paid on 14th April 2008 and to declare a final dividend of KShs 5.65 per ordinary share of KShs 2.00, payable on or about 3rd November 2008 to members on the Register at the close of business on 9th October 2008 **(Resolution 2)**.

2. DIRECTORS

a) Elections

To elect Directors:

- i) Mr. Peter Ndegwa, who was appointed by the Board on 28th August 2008 to fill a casual vacancy, who retires under Article 108 and, being eligible, offers himself for re-election as a director of the company **(Resolution 3)**;
- ii) Mr. Seni Adetu, who was appointed by the Board on 28th August 2008 to fill a casual vacancy, who retires under Article 108 and, being eligible, offers himself for re-election as a director of the company **(Resolution 4)**;
- iii) Dr. Nick Blazquez, who retires by rotation under Article 109 and, being eligible, offers himself for re-election as a director of the company **(Resolution 5)**;
- iv) Dr. William Kalema, who retires by rotation under Article 109 and, being eligible, offers himself for re-election as a director of the company **(Resolution 6)**; and
- v) Mr. Evanson Mwaniki, who retires by rotation under Article 109 and who offers himself for re-election as a director of the company and in respect of whom special notice has been received pursuant to section 186(5) of the Companies Act (Cap. 486 of the Laws of Kenya) of the intention to propose the following resolution as an ordinary resolution: "THAT Mr. Evanson Mwaniki, who is over the age of 70 years, be and is hereby re-elected a director of the company." **(Resolution 7)**

b) Remuneration

To note that the Directors are not seeking any increase in their remuneration, which, accordingly, remains as, stated in the financial statements.

3. AUDITORS

To appoint KPMG Kenya, the company's Auditors for the period ending with the next annual general meeting of the company and to authorise the directors to determine their remuneration (Resolution 8).

4. TO TRANSACT ANY OTHER BUSINESS THAT MAY LEGALLY BE TRANSACTED AT THE MEETING.

By Order of the Board

A. Murgor (Mrs)

Company Secretary

28th August 2008

A member entitled to attend and vote at the meeting is entitled to appoint one or more proxies to attend and vote on his behalf. A proxy need not be a member.

A tear-out form of Proxy is given on page 91 for use by members who do not propose to be present at the meeting. A Form of Proxy must be returned to the Company Secretary by no later than 11am on Tuesday 28th October 2008, being not less than 48 hours before the time appointed for the meeting.

Pursuant to Article 107 of the company's Articles of Association, any member may by notice duly signed by him and delivered to the Company Secretary of the company not less than seven days and not more than twenty-eight days before the day appointed for this meeting propose any other person for election to the Board. Such notice must be accompanied by a notice signed by the person proposed, indicating his willingness to be elected.



ARIFA INATOLEWA HAPA kwamba MKUTANO MKUU WA KILA MWAKA WA THEMANINI NA SITA wa kampuni ya East African Breweries Limited utafanyika katika hoteli ya Safari Park, Ruaraka, Nairobi tarehe 30 Oktoba 2008 saa tano asubuhi kwa madhumuni yafuatayo:

1. TAARIFA ZA KIFEDHA

- Kupokea na kuidhinisha taarifa za kifedha zilizokaguliwa za mwaka uliomalizika tarehe 30 Juni 2008 pamoja na taarifa ya Wakurugenzi na taarifa ya Wakaguzi iliyomo **(Azimio 1)**;
- Kuthibitisha mgao wa faida wa muda wa shilingi 2.40 kwa kila hisa ya kawaida ya shilingi 2.00 uliolipwa tarehe 14 Aprili 2008 na kutangaza mgao wa faida wa mwisho wa shilingi 5.65 kwa kila hisa ya kawaida ya shilingi 2.00 utakaolipwa wenyehisa mnamo au kufikia tarehe 3 Novemba 2008 kwa wanachama walio kwenye kitabu cha usajili kufikia kufungwa kwa shughuli za kibiashara mnamo tarehe 9 Oktoba 2008 **(Azimio 2)**;

2. WAKURUGENZI

a) Uchaguzi

- kuchagua tena Bw. Peter Ndegwa ambaye aliteuliwa na halmashauri tarehe 28 Agosti 2008 kujaza nafasi iliyoachwa wazi na ambaye anastaafu kulingana na kifungu cha sheria nambari 108 na kwa kuwa amehitimu, anajiwasilisha kuchaguliwa tena kama mkurugenzi wa kampuni **(Azimio 3)**;
- kuchagua tena Bw. Seni Adetu ambaye aliteuliwa na Halmashauri tarehe 28 Agosti 2008 kujaza nafasi iliyoachwa wazi na ambaye anastaafu kulingana na kifungu cha sheria nambari 108 na kwa kuwa amehitimu, anajiwasilisha kuchaguliwa tena kama mkurugenzi wa kampuni **(Azimio 4)**;
- kumchagua tena Dkt. Nick Blazquez ambaye anastaafu kwa zamu kulingana na kifungu cha sheria nambari 109 na kwa kuwa amehitimu, anajiwasilisha kuchaguliwa tena kama mkurugenzi wa kampuni **(Azimio 5)**;
- kumchagua tena Dkt. William Kalema ambaye anastaafu kwa zamu kulingana na kifungu nambari 109 na kwa kuwa amehitimu, anajiwasilisha kuchaguliwa tena kama mkurugenzi wa kampuni **(Azimio 6)**; na
- Bw. Evanson Mwaniki ambaye anastaafu kwa zamu kulingana na kifungu cha sheria nambari 109 na ambaye anajiwasilisha kuchaguliwa tena kama mkurugenzi wa kampuni na ambaye arifa maalum imepokelewa kumhusu kulingana na kifungu 186(5) cha Sheria za Makampuni (Cap. 486 za sheria za Kenya) kwa lengo la kupendekeza yafuatayo kama azimio la

kawaida: "KWAMBA Bw. Evanson Mwaniki, ambaye ana umri wa zaidi ya miaka 70, awe na hapa amechaguliwa upya kuwa mkurugenzi wa kampuni" **(Azimio 7)**

b) Malipo

Kufahamu kwamba Wakurugenzi hawatafuti nyongeza ya malipo yao ambayo kwa hivyo yatasalia kama yalivyoelezewa kwenye taarifa za kifedha;

3. WAKAGUZI

Kuteua KPMG Kenya, Wakaguzi wa kampuni kwa kipindi kinachomalizika na mkutano mkuu ujao wa kila mwaka wa kampuni na kuidhinisha wakurugenzi kuamua malipo yao **(Azimio 8)**;

4. KUENDESHA SHUGHULI NYINGINE ZOTOTE AMBAZO ZINAWeza KUENDESHA KIHALALI KWENYE MKUTANO HUO.

Kwa Amri ya Halmashauri,

A Murgor (Bi)

Katibu

28 Agosti 2008

Mwanachama anayeruhusiwa kuhudhuria na kupiga kura kwenye mkutano ameruhusiwa kumteua mwakilishi mmoja au zaidi kuhudhuria na kupiga kura kwa niaba yake. Mwakilishi sio lazima awe mwanachama.

Fomu inayoweza kukatwa ya uwakilishi imewekwa kwenye ukurasa wa 91 kutumiwa na wanachama ambao hawataweza kuhudhuria mkutano huo. Fomu ya uwakilishi lazima irejeshwe kwa Katibu wa Kampuni kabla ya tarehe 28 mwezi Oktoba 2008, ukiwa muda usiopungua masaa 48 kabla ya wakati uliowekwa kwa mkutano huo kufanywa.

Kuambatana na kifungu nambari 107 cha sheria za kampuni mwanachama yeyote anaweza, kupitia kwa arifa iliyotiwa sahihi ipasavyo na kuwasilishwa kwa Katibu wa Kampuni katika muda usiopungua siku saba na usiozidi siku ishirini na nane kabla ya siku iliyowekwa kwa mkutano huo, kupendekeza mtu mwingine yeyote kwa uchaguzi kujiunga na Halmashauri. Arifa kama hiyo ni lazima iandamane na arifa ya mtu aliyependekezwa, ikidhihirisha nia yake ya kutaka kuchaguliwa.

Board of Directors



Jeremiah G. Kiereini EGH, EBS, SS - Group Chairman (79)

Mr. Kiereini was appointed Chairman of the Board in 1988. He worked with the Kenya Civil Service for 30 years where he held various senior positions culminating in his appointment as Chief Secretary, Head of Civil Service and Secretary to the Cabinet. After retirement, he ventured into commercial life and is now a member of many boards, the main ones being Unga Group Limited, CMC Holdings group of companies, CFC/Stanbic Bank Limited, Heritage Insurance Company and CFC Life Insurance Company.



Gerald K. Mahinda MBS - Group Managing Director (49)

Mr. Mahinda was appointed Group Managing Director in January 2004. He served a one-year assignment at Guinness Nigeria Plc as the Strategy and Change Director in 2003. Between 1999 and 2002 he served as the EABL Group Finance and Strategy Director. Before joining EABL he worked for Standard Chartered Bank Kenya Limited as the Executive Director, Finance with responsibilities for Kenya, Uganda and Tanzania. He holds a Bachelor of Commerce Degree from the University of Nairobi and is a Certified Public Accountant.



Dr. Nick Blazquez (British) - Group Deputy Chairman (47)

Dr Blazquez was appointed as a director and Deputy Chairman of the company in August 2005. He holds a Bachelor of Science from the University of Aberdeen and a Ph.D from the University of Bristol. He is the Managing Director of Diageo Africa, and has recently been appointed Chairman of the Private Investors for Africa.



Seni Adetu - Non Executive Director (45)

Mr. Seni Adetu joined Diageo in August 2006 as Managing Director/Vice Chairman, Guinness Ghana Breweries Limited (GGBL). Before joining GGBL, Mr. Adetu worked with the Coca-Cola Company where he enjoyed a highly successful 14 year career. While at Coca-Cola, he held various senior positions including Country General Manager and Marketing Director. His responsibilities covered various markets across Africa including Kenya and Ghana. Until his resignation from the company, he held the position of the Commercial Director, for the Nigerian Bottling Company PLC. Mr. Adetu is a Chemical Engineering graduate of the University of Lagos, Nigeria, and holds a post-graduate degree, M.B.A (with specialisation in Marketing) from the same university.



Wanjiku Mugane MBS - Non Executive Director (44)

Ms Mugane joined the Board in 2001. She is an investment banker by profession and holds an LLM (Georgetown) and LLB (UON) and various accounting and finance credits. She is an Attorney and Counsellor of Law of New York State and an advocate of the High Court of Kenya. She previously worked with SG Warburg in London and Johannesburg and is the co-founder of the First Africa Group, a leading Sub-Saharan Africa investment banking advisory services firm with offices in Johannesburg and Nairobi, which group is part owned by Standard Chartered Bank. She is the managing director of its East African operations.



Andrew S. Ndegwa - Non Executive Director (40)

Mr. Mr. Ndegwa joined the Board in August 2004. He graduated from the University of Oxford with a Bachelor of Arts in Philosophy, Politics and Economics. He is currently an executive director of First Chartered Securities Limited (FCS), a Kenyan investment holding company. Prior to joining FCS in 1994, he worked in the banking industry for four years, firstly with Citibank and then with the African Mercantile Banking Company. He holds several directorships among which are NIC Bank Limited and Unga Group Limited.

Board of Directors



Wilfred Kiboro – Non Executive Director (64)

Mr Kiboro serves on the boards of Nation Media Group, Standard Chartered Bank, Greening Kenya Trust and is the Chairman of Wilfay Investments Limited. He has worked with Rank Xerox and in various capacities within Shell and Esso. He holds a Bachelor of Science degree in Civil Engineering from the University College of Nairobi.



Richard Kemoli HSC, MBE - Non Executive Director (73)

MMr. Kemoli has been a member of the Board since 1996. He has over 36 years of experience both locally and internationally. He had a long and successful career with Commonwealth Development Corporation where he worked for 33 years before retiring. In recognition of the contributions he has made over the years, he was made a Member of the Order of the British Empire (MBE) in 1995. He has held directorships several private and public sector institutions and is currently Chairman of Lafarge Bamburi Cement Limited, Unga Group Ltd., Kenya Open Golf Ltd., and is a director of CMC Holdings Limited, Kakuzi Limited and Johnson Wax (EA) Limited, among others.



Dr. William S. Kalema (Ugandan) - Non Executive Director (56)

Dr. Kalema is an engineer by profession. He joined the Board in 2000. He is a Director and former chairman of the DFCU Group, a financial institution in Uganda. He is Chairman of Uganda Breweries and a Director of several companies including Multichoice Uganda and UAP Insurance Uganda. He is Chairman of the Uganda Gatsby Trust and the Kilimo Trust. Dr. Kalema holds a Ph.D Degree in Chemical Engineering from California Institute of Technology and Bachelor and Masters degrees in Chemical Engineering from Cambridge University, England.



Evanson Mwaniki - Non Executive Director (70)

Mr. Mwaniki joined the Board in 2000. He is a reputable business leader in Kenya and has had extensive experience both locally and internationally. He is the chairman of British American Tobacco (Kenya) Limited, Kenya Airways and a director of Lion of Kenya Insurance Company and East African Packaging Industries Limited. He holds a Bachelor of Arts Degree from the University of London.



Peter Ndegwa – Group Finance Director (39)

Mr. Ndegwa's experience spans sales, strategy, business advisory and finance in a variety of sectors including retail, manufacturing, banking and insurance and general services. He joined EABL as Head of Group Strategy in January 2004. Thereafter he was appointed as Change Director Sales in March 2006, to head a radical change programme within the sales and commercial area. He then held the position of EABL Sales Director, Kenya, before being appointed to the position of EABL Group Finance Director. Before joining EABL, he trained and worked with PricewaterhouseCoopers, for 11 years, in a variety of senior roles both in Eastern Africa and in the UK. His last role was as Associate Director in the Corporate Finance and Strategy practice. He holds an MBA (Strategy and finance) from the London Business School, and an Economics degree from the University of Nairobi. He is also a Certified Public Accountant.



Agnes Murgor - Legal Counsel/ Group Company Secretary (45)

Mrs Murgor is a lawyer by profession and holds a Bachelor of Laws Degree from the University of Buckingham. She was admitted to the Roll of Advocates in 1987, and began her career at Hamilton Harrison and Mathews Advocates after which she served as a State Counsel in the Attorney General's Chambers in the Treaties and Agreements Department. At the time of her appointment, she was a partner in the firm of Murgor and Murgor Advocates. She is an Advocate of the High Court of Kenya and a member of the Law Society of Kenya and the Institute of Certified Public Secretaries of Kenya.



Corporate Governance Statement

At East African Breweries Limited, we appreciate that our business performance is dependant upon our duties and responsibilities to our stakeholders and to the interests of the community. As such we continue to demonstrate our commitment to ethical leadership and business practices by increased accountability transparency and responsiveness in the pursuit of our key business objectives.

BOARD OF DIRECTORS

The Board of Directors is responsible for the Group's corporate governance agenda and it maintains effective control and is ultimately accountable and for all activities, strategy and performance. The Board of Directors consists of the Chairman, who has non-executive responsibilities, eight non-executive directors and two executive directors and meets at least four times a year.

The following standing committees of the Board meet quarterly or as required.

BOARD CORPORATE GOVERNANCE COMMITTEE

The Committee is responsible for monitoring the Group's compliance with corporate governance standards. Its members are Ms. Wanjiku Mugane (Chairperson), Mr. Richard Kemoli, Mr. Evanson Mwaniki and Mr. Wilfred Kiboro. During the year the committee ensured implementation of a Board Dashboard to enable the Board of Directors monitor their performance as specified in the Group's Strategy and business objectives.

BOARD AUDIT AND RISK MANAGEMENT COMMITTEE

The Committee reviews the financial and internal reporting and monitors all internal controls and risk management of the Group. Its members are Mr. Richard Kemoli (Chairman), Dr. Nick Blazquez and Mr. Andrew Ndegwa. During the year, the focus of the Committee was the enhancement of health and safety processes, and in the strengthening of internal controls. The committee also considered internal risk assessments, business continuity planning and technical compliance programmes.

BOARD REMUNERATION COMMITTEE

The Committee is responsible for the review and approval of remuneration for Directors and senior management and staff

incentive schemes. Its members are Dr. Nick Blazquez (Chairman), Mr. Evanson Mwaniki and Dr. William Kalema. The Committee also considers the staff remuneration structure across the Group and the implementation of staff reward schemes, in addition to evaluating and making of recommendations to the Board on overall executive remuneration.

BOARD NOMINATIONS COMMITTEE

The Committee is responsible for the structure composition and size of the Board and its committees and makes recommendations of appointments to the Board as appropriate. In keeping with its planning of success mandate, the committee also identifies and considers potential candidates for Board vacancies as necessary. Its membership comprises Dr Nick Blazquez (Chairman), Dr. William Kalema, Mr. Richard Kemoli and Ms. Wanjiku Mugane.

BUSINESS ETHICS

The staff of EABL are committed to conducting business in accordance with the Company's Code of Business Conduct, which sets out high standards of ethical values, which together with other policies and procedures, all relevant laws and regulations, enhances business performance across the Group.

DIRECTORS' SHAREHOLDING AS AT 30TH JUNE 2008

	Name	Shares
1	Nicholas Blazquez	6,000
2	Richard Kemoli	42,480
3	William Kalema	27,208
4	Evanson Mwaniki	1,800
5	Jeremiah Kiereini	1,451,520
6	Gerald Mahinda	45,456*
7	Wilfred David Kiboro	3,720

*excludes entitlement of 405,744 units and available options of 127,146 under the EABL Employee share option program.



Katika kampuni ya East African Breweries, tunaridhika kwamba utendaji kazi wa biashara yetu unategemea kazi na majukumu yetu kwa washika dau wetu na kwa maslahi ya jamii. Kutokana na hayo tunaendelea kudhihirisha kujitolea kwetu kwa uongozi unaozingatia maadili na utekelezaji wa kibiashara kwa kuongeza uwajibikaji, uwazi na uitikiaji katika kufuatilia madhumini muhimu ya biashara yetu.

HALMASHAURI YA WAKURUGENZI

Halmashauri ya Wakurugenzi inawajibikia ajenda ya uongozi wa Kundi la makampuni na inadumisha udhibiti ufao na hatimaye inawajibika kwa shughuli zote, mikakati na utendaji kazi. Halmashauri ya wakurugenzi inajumuisha Mwenyekiti, ambaye ana majukumu yasiyo na mamlaka, wakurugenzi wanane wasio na mamlaka, wakurugenzi wawili wenye mamlaka na hukutana takriban mara nne kwa mwaka.

Kamati zifuatazo za Halmashauri hukutana kila baada ya miezi mitatu au inapohitajika.

KAMATI YA HALMASHAURI YA UONGOZI WA KAMPUNI

Kamati hii ina jukumu la kukagua kutimizwa na Kundi la makampuni kwa viwango vya uongozi wa kampuni. Wanachama wake ni Bi. Wanjiku Mugane (Mwenyekiti), Bw. Richard Kemoli, Bw. Evanson Mwaniki na Bw. Wilfred Kiboro. Katika kipindi cha mwaka, kamati hii ilihakikisha utekelezaji wa mbinu za kuwezesha Halmashauri hiyo ya wakurugenzi kukagua utendaji kazi kama ilivyofafanuliwa kwenye mikakati ya Kundi la makampuni na madhumuni ya biashara.

KAMATI YA HALMASHAURI YA UKAGUZI NA USIMAMIZI WA MASHAKA

Kamati hii huchunguza utoaji taarifa za kifedha na kuchunguza mbinu zote za kindani za udhibiti na usimamizi wa mashaka wa Kundi la makampuni. Wanachama wake ni Bw. Richard Kemoli (Mwenyekiti), Dkt. Nick Blazquez na Bw. Andrew Ndegwa. Wakati wa kipindi cha mwaka swala la uzingatiaji la kamati hiyo lilikuwa uimarishaji wa afya na taratibu za usalama, na uimarishaji wa udhibiti wa kindani. Kamati hiyo kadhalika ilitafakari ukadiriaji wa mashaka ya kindani, upangaji mfululizo wa biashara na mipango ya kutimiza mahitaji ya kiufundi.

KAMATI YA HALMASHAURI YA MALIPO

Kamati hii inahusika na kuchunguza na kuidhinisha malipo ya Wakurugenzi na wasimamizi wakuu na mipango ya vihimizo kwa wafanyakazi. Wanachama wake ni Dkt. Nick Blazquez (Mwenyekiti), Bw. Evanson Mwaniki na Dkt. William Kalema. Kamati hiyo pia hufikiria muundo wa malipo ya wafanyakazi kote katika Kundi la makampuni na utekelezaji wa mipango ya kuwatuza wafanyakazi, pamoja na kutathmini na kutoa mapendekezo kwa Halmashauri kuhusu malipo ya wasimamizi wakuu kwa ujumla.

KAMATI YA HALMASHAURI YA UTEUZI

Kamati hii ina wajibu wa kuamua muundo, umbo na ukubwa wa halmashauri na kamati zake na kutoa mapendekezo ya kuteuliwa kwenye Halmashauri inavyohitajika. Kuambatana na kibali chake cha kupanga ufanisi, kamati hii pia hutambua na kufikiria watu wanaoweza kujiunga na Halmashauri nafasi inapotokea. Wanachama wake wanajumuisha Dkt Nick Blazquez (Mwenyekiti), Dkt. William Kalema, Bw. Richard Kemoli na Bi. Wanjiku Mugane.

MAADILI YA KIBIASHARA

Wafanyakazi wa EABL wamejitolea kuendesha biashara yao kuambatana na Sheria za Kampuni za Uendeshaji biashara, ambazo zimeweka kiwango cha juu cha maadili, ambayo pamoja na sera nyingine na taratibu, sheria zote zinazohusika na kanuni, zinaimarisha utendaji kazi wa Kundi.

USHIKAJIHISA WA WAKURUGENZI HADI TAREHE 30 JUNI 2008

Jina	Hisa
1 Nicholas Blazquez	6,000
2 Richard Kemoli	42,480
3 William Kalema	27,208
4 Evanson Mwaniki	1,800
5 Jeremiah Kiereini	1,451,520
6 Gerald Mahinda	45,456*
7 Wilfred David Kiboro	3,720

*Inaondoa umiliki wa kiasi cha 405,744 na haki ya zilizopo 127,146 chini ya mpango wa haki ya umiliki hisa wa wafanyakazi wa EABL.

The directors have pleasure in presenting their report together with the audited financial statements for the year ended 30 June 2008, which disclose the state of affairs of the group and company.

1. ACTIVITIES

East African Breweries Limited remains a holding company with subsidiaries involved in the marketing, brewing/manufacturing and selling of drinks, glass containers, malt and barley.

2. RESULTS

The results for the year are set out on page 46.

3. DIVIDENDS

The directors recommend a final dividend of KShs 5.65 per ordinary share to be paid on or about 3 November 2008 to those members on the register at the close of business on 9 October 2008. This, together with the interim dividend of KShs 2.40 per ordinary share paid on 14 April 2008, brings the dividend for the year to KShs 8.05 per issued ordinary share (2007 – Dividend per share KShs 7.34).

4. DIRECTORS

The directors who served since 1 July 2007 are set out on page 35.

5. AUDITORS

The auditors, KPMG Kenya, have indicated their willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act (Cap.486).

6. EMPLOYEES

The directors are pleased, once again, to record their appreciation for the untiring efforts of all employees of the company and its subsidiaries.

7. APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved at a meeting of the directors held on 28 August 2008.

BY ORDER OF THE BOARD

Director: G K Mahinda

Date: 28 August 2008

Wakurugenzi Wanafuraha kuwasilisha taarifa yao ya kifedha iliyokaguliwa kwa mwaka uliomalizika tarehe 30 Juni 2008, ambayo inaonyesha hali ya mambo ya Kundi na Kampuni.

1. SHUGHULI

Kampuni ya East African Breweries inaendelea kuwa kampuni kuu yenye kampuni tanzu zinazohusika na utengenezaji na uuzaji wa vinywaji, vyombo vya kioo, kimea na shayari.

2. MATOKEO

Matokeo ya mwaka yamechapishwa katika ukurasa wa 46.

3. MGAO WA FAIDA

Wakurugenzi wanapendekeza mgao wa faida wa mwisho wa shilingi 5.65 kwa kila hisa ya kawaida utakaolipwa mnamo au kufikia tarehe 3 Novemba 2008 kwa wenyehisa kwenye kitabu cha usajili kufikia kufungwa kwa shughuli za kikazi tarehe 9 Oktoba 2008. Malipo haya, pamoja na yale ya mgao wa faida wa muda wa shilingi 2.40 kwa kila hisa ya kawaida uliolipwa tarehe 14 Aprili 2008, unafanya mgao wa faida wa mwaka kuwa shilingi 8.05 kwa kila hisa ya kawaida (2007 – Mgao wa Faida kwa hisa ulikuwa shilingi 7.34).

4. WAKURUGENZI

Wakurugenzi ambao walihudumu tangu tarehe 1 Julai 2007 wamechapishwa katika ukurasa wa 35.

5. WAKAGUZI WA KIFEDHA

Wakaguzi, KPMG Kenya, wamedhihirisha nia yao ya kuendelea na kazi hiyo kuambatana na kifungu cha 159(2) cha sheria za Makampuni nchini Kenya (Cap.486).

6. WAFANYAKAZI

Wakurugenzi wanafuraha, kwa mara nyingine, kuelezea kuridhishwa kwao na juhudi zisizo na kifani za wafanyakazi wote wa Kampuni kuu na matawi yake tanzu.

7. KUIDHINISHWA KWA TAARIFA ZA KIFEDHA

Taarifa za kifedha ziliidhinishwa kwenye mkutano wa wakurugenzi uliofanywa tarehe 28 Agosti 2008.

KWA AMRI YA HALMASHAURI

Katibu: G K Mahinda

Tarehe: 28 Agosti 2008



The Directors are responsible for the preparation and presentation of the group financial statements of East African Breweries Limited set out on pages 46 to 88 which comprise the balance sheets of the group and the company at 30 June 2008, and the group's income statement, statement of changes in equity and cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory notes.

The Directors responsibility includes: determining that the basis of accounting described in Note 2 is an acceptable basis for preparing and presenting the financial statements in the circumstances; designing, implementing and maintaining internal control relevant to the preparation and presentation of these financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Under the Kenyan Companies Act the Directors are required to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the group and the company as at the end of the financial year and of the operating results of the group for that year. It also requires the Directors to ensure the group keeps proper accounting records which disclose with reasonable accuracy the financial position of the group and the company.

The Directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and the company and of the group operating results.

The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The Directors have made an assessment of the group and the company's ability to continue as a going concern and have no reason to believe the group and the company will not be a going concern for at least the next twelve months from the date of this statement.

APPROVAL OF THE FINANCIAL STATEMENTS

The financial statements, as indicated above, were approved by the Board of Directors on 28 August 2008 and were signed on its behalf by:

Director: P Ndegwa

Director: G K Mahinda

Wakurugenzi wana jukumu la kutayarisha na kuwasilisha taarifa za kifedha za kundi la Kampuni ya East African Breweries zilizochapishwa kwenye kurasa kutoka 46 hadi 88 ambazo zinajumuisha mizania ya kundi na kampuni kufikia tarehe 30 Juni 2008, na taarifa za mapato ya kampuni, taarifa za mabadiliko katika usawa wa kifedha na taarifa za mtiririko wa kifedha kwa mwaka uliomalizika na muhtasari wa sera za uhasibu na maelezo mengine ya ufafanuzi.

Majukumu ya Wakurugenzi yanajumuisha: kuamua kwamba msingi wa uhasibu ulioelezewa katika Ukumbusho 2 ni msingi unaokubalika kwa utayarishaji na uwasilishaji wa taarifa za kifedha katika hali ilivyo; kubuni, kutekeleza na kudumisha udhibiti wa kindani unaohusika wa kutayarisha na kuwasilisha taarifa hizi za kifedha ambazo hazina taarifa za kupotosha, iwapo zinatokana na udanganyifu au makosa, kuchagua na kutumia sera zifaazo za uhasibu; na kufanya makadirio ya uhasibu ambayo yanafaa katika hali ilivyo..

Kulingana na Kifungu cha Sheria za makampuni nchini Kenya, wakurugenzi wanahitajika kutayarisha taarifa za kifedha kwa kila mwaka wa matumizi ya kifedha ambazo zinaonyesha mtazamo halisi na wa haki wa hali ya mambo katika Kundi na Kampuni kufikia mwisho wa mwaka wa matumizi ya fedha na za matokeo ya uendeshaji shughuli za Kundi kwa mwaka huo. Pia inahitaji Wakurugenzi kuhakikisha Kundi linaweka vitabu vifaavyo vya uhasibu ambavyo vinadhihirisha kwa usahihi hali ya kifedha ya Kundi na Kampuni.

Wakurugenzi wanakubali kuwajibika kwa taarifa za kifedha za mwaka, ambazo zimetayarishwa kwa kutumia sera za uhasibu zinazofaa na kuungwa mkono na maamuzi ya uangalifu na ya busara na makadirio, kuambatana na viwango vya utoaji taarifa za kifedha vya kimataifa na kwa njia inayohitajika na kifungu cha sheria za makampuni nchini Kenya. Wakurugenzi wanaonelea kwamba taarifa za kifedha zinatoa mtazamo halisi na wa haki wa hali ya mambo ya Kundi na Kampuni na matokeo ya uendeshaji shughuli ya Kundi.

Wakurugenzi kadhalika wanakubali kuwajibika kwa udumishaji wa vitabu vya uhasibu ambavyo vinaweza kutegemewa katika utayarishaji wa taarifa za kifedha, pamoja na mifumo ya kutosha ya udhibiti wa kindani wa kifedha.

Wakurugenzi wamekadiria uwezo wa Kundi na Kampuni wa kuendelea kutekeleza biashara na hawana sababu ya kuamini kwamba Kundi na Kampuni hazitaweza kutekeleza biashara kwa muda wa miezi kumi na miwili ijayo kuanzia tarehe ya taarifa hii.

KUIDHINISHWA KWA TAARIFA ZA KIFEDHA

Taarifa za kifedha zilizo hapo juu, zilizidhinishwa na Halmashauri ya Wakurugenzi tarehe 28 Agosti 2008 na kutiwa sahihi kwa niaba yao na:

Mkurugenzi: P Ndegwa

Mkurugenzi: G K Mahinda



Report of the Independent Auditors

We have audited the group financial statements of East African Breweries Limited set out on pages 46 to 88 which comprise the balance sheets of the group and the company at 30 June 2008, and the group's income statement, statement of changes in equity and cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory notes.

DIRECTORS' RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

As stated on page 43, the directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatements, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

OPINION

In our opinion, the financial statements give a true and fair view of the financial position of the group and the company at 30 June 2008, and the group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

REPORT ON OTHER LEGAL REQUIREMENTS

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- (i) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit.
- (ii) In our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- (iii) The balance sheet of the company is in agreement with the books of account.

KPMG Kenya
Certified Public Accountants
P. O. Box 40612 - 00100
Nairobi

Date: 28 August 2008



Tumekagua taarifa za kifedha za Kundi la East African Breweries Limited zilizochapishwa ukurasa wa 46 hadi 88 ambazo zinajumuisha mizania ya Kundi na kampuni kufikia tarehe 30 Juni 2008, na taarifa za mapato ya Kundi, taarifa za mabadiliko katika usawa wa kifedha na taarifa ya mtiririko wa pesa taslimu kwa mwaka uliomalizika, na muhtasari wa sera muhimu za uhasibu na maelezo mengine ya ufafanuzi.

JUKUMU LA WAKURUGENZI KWA TAARIFA ZA KIFEDHA

Kama ilivyotajwa katika ukurasa wa 43, wakurugenzi wanawajibika kwa utayarishaji na uwasilishaji haki wa taarifa hizo za kifedha kuambatana na viwango vya utoaji taarifa za kifedha vya kimataifa. Wajibu huu unajumuisha: kubuni, kutekeleza na kudumisha udhibiti wa kindani unaohusika na utayarishaji na uwasilishaji sawa wa taarifa za kifedha ambazo hazina taarifa za kupotosha, ziwe za udanganyifu au makosa, kuchagua na kutumia sera zifaazo za uhasibu; na kufanya makadirio ya uhasibu ambayo yanafaa kwa hali ilivyo.

MAJUKUMU YA WAKAGUZI

Jukumu letu ni kutoa maoni kuhusu taarifa hizi za kifedha kulingana na ukaguzi wetu. Tulifanya ukaguzi wetu kuambatana na viwango vya kimataifa vya ukaguzi. Viwango hivi vinatuhitaji kutimiza maadili yanayohitajika na kupanga na kufanya ukaguzi kupata hakikisho lenye maana iwapo taarifa hizo za kifedha hazina taarifa za kupotosha.

Ukaguzi unahusisha kutekeleza taratibu za kupata ushahidi wa ukaguzi kuhusu idadi na hesabu zilizo katika taarifa za kifedha. Taratibu zinazochaguliwa zinategemea uamuzi wetu, ikiwa ni pamoja na ukadiriaji wa mashaka ya kuwepo taarifa za kupotosha ziwe zinatokana na udanganyifu au makosa. Katika ukadiriaji huo wa mashaka, tunafikiria udhibiti wa kindani wa kampuni unaohusika na utayarishaji na uwasilishaji wa haki wa taarifa za kifedha ili kubuni taratibu za ukaguzi ambazo zinafaa katika hali ilivyo, lakini sio kwa lengo la kutoa maoni kuhusu kufaa kwa mfumo wa udhibiti wa kindani wa kampuni hiyo. Ukaguzi pia unahusisha kutathmini kufaa kwa sera za uhasibu zilizotumiwa na kufaa kwa makadirio ya uhasibu yaliyofanywa na wasimamizi, pamoja na kutathmini uwasilishaji kwa ujumla wa taarifa za kifedha.

Tunaamini kwamba ushahidi wa ukaguzi tuliopata unatosha na unafaa kutoa msingi kwa maoni yetu.

MAONI

Kwa maoni yetu, taarifa za kifedha zinatoa mtazamo wa kweli na wa haki wa hali ya kifedha ya Kundi na kampuni kufikia tarehe 30 Juni 2008, na utendaji wa kifedha wa Kundi na mtiririko wa pesa taslimu kwa mwaka uliomalizika uliambatana na viwango vya kimataifa vya utoaji taarifa za kifedha na kifungu cha sheria za Makampuni nchini Kenya.

TAARIFA KUHUSU MAHITAJI MENGINE YA KISHERIA

Kama inavyohitajika kulingana na kifungu cha sheria za makampuni nchini Kenya tunatoa taarifa kwenu, kuambatana na ukaguzi wetu kwamba:

- (i) Tumepata habari na maelezo yote ambayo kwa maoni yetu tunaamini yalihitajika kwa lengo la ukaguzi wetu.
- (ii) Kwa maoni yetu, vitabu vifaavyo vya uhasibu vimewekwa na kampuni kama inavyoonekana kutokana na uchunguzi wetu wa vitabu hivyo.
- (iii) Mizania ya kampuni inaafikiana na vitabu vya uhasibu.

KPMG Kenya

Certified Public Accountants

P.O. Box 40612 - 00100

Nairobi

Tarehe: 28 Agosti 2008

Consolidated Income Statement FOR THE YEAR ENDED 30 JUNE 2008

	Notes	2008 Kshs'000	2007 Kshs'000 Restated
Net revenue	6	32,488,112	25,870,696
Cost of sales		(15,112,832)	(11,610,475)
Gross profit		17,375,280	14,260,221
Other operating income/(expense)	7	(493,531)	(247,331)
Selling costs		(2,163,860)	(1,483,730)
Administrative expenses		(3,834,055)	(3,054,762)
Operating profit	8	10,883,834	9,474,398
Net finance income	10	624,077	495,333
Share of associate's profit after tax		808,421	734,634
Reorganisation costs		-	(68,594)
Profit before income tax		12,316,332	10,635,771
Income tax expense	11	(3,131,947)	(3,106,880)
Profit for the period		9,184,385	7,528,891
Attributable to:			
Equity holders of the company		7,553,794	6,133,215
Minority interest		1,630,591	1,395,676
Profit for the period		9,184,385	7,528,891
Earnings per share:			
- basic (2007 Restated)		9.55	7.76
- diluted (2007 Restated)		9.55	7.76

The notes set out on pages 53 to 88 form an integral part of these financial statements.

Consolidated Balance Sheet AT 30 JUNE 2008

	Notes	2008 Kshs'000	2007 Kshs'000
CAPITAL EMPLOYED (Pages 49 & 50)			
Share capital	13	1,581,547	1,317,957
Share premium	13	1,691,151	1,959,100
Revaluation surplus	14	1,473,289	1,500,350
Retained earnings		10,509,910	9,294,786
Proposed dividends	12	4,467,873	4,388,798
Translation reserve		257,010	341,677
Total equity attributable to equity holders of the company		19,980,780	18,802,668
Minority interest		2,136,063	2,048,108
Total equity		22,116,843	20,850,776
Non-current liabilities			
Deferred income tax liabilities	15	2,269,487	2,051,597
		24,386,330	22,902,373
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	16(a)	12,494,040	10,317,328
Intangible asset – software	17(a)	901,750	944,453
Prepaid operating lease rentals	18(a)	31,358	32,452
Investment in associate company	20(a)	1,170,516	1,030,765
Other investments	20(c)	10,400	10,400
Goodwill	17(b)	648,664	648,664
Deferred income tax asset	15	463,006	18,886
		15,719,734	13,002,948
Current assets			
Inventories	22	5,934,152	5,438,580
Receivables and prepayments	23(a)	4,112,469	4,427,318
Income tax recoverable		318,779	208,988
Term deposits	28(b)	6,503,024	6,945,585
Cash and bank balances	28(b)	666,090	1,082,776
		17,534,514	18,103,247
Current liabilities			
Payables and accrued expenses	24(a)	8,202,987	7,280,319
Current income tax payable		386,603	751,009
Dividends payable		278,328	172,494
		8,867,918	8,203,822
Net current assets		8,666,596	9,899,425
		24,386,330	22,902,373

The financial statements on pages 46 to 88 were approved by the Board of Directors on 28 August 2008 and were signed on their behalf by:

Director: P Ndegwa

Director: G K Mahinda

The notes set out on pages 53 to 88 form an integral part of these financial statements.

Company Balance Sheet AT 30 JUNE 2008

	Notes	2008 Kshs'000	2007 Kshs'000
CAPITAL EMPLOYED (Page 51)			
Share capital	13	1,581,547	1,317,957
Share premium	13	1,691,151	1,959,100
Revaluation surplus	14	109,693	109,693
Retained earnings		6,467,941	6,596,533
Proposed dividends	12	4,467,873	4,388,798
Shareholders' funds		14,318,205	14,372,081
Non-current liabilities			
Deferred income tax liability	15	156,812	60,350
		14,475,017	14,432,431
REPRESENTED BY			
Non-current assets			
Property, plant and equipment	16(b)	315,008	331,859
Intangible assets – software	17(a)	901,750	944,453
Prepaid operating lease rentals	18(b)	1,758	1,837
Investment in subsidiaries	19	4,324,783	4,324,783
Investment in associate company	20(b)	3,971,232	3,769,745
Other investments	20(c)	10,400	10,400
		9,524,931	9,383,077
Current assets			
Receivables and prepayments	23(b)	2,561,358	3,271,322
Current income tax recoverable		209,840	106,657
Term deposits		3,650,000	1,970,000
Cash and bank balances		124,148	308,206
		6,545,346	5,656,185
Current liabilities			
Payables and accrued expenses	24(b)	1,316,932	434,337
Dividends payable		278,328	172,494
		1,595,260	606,831
Net current assets		4,950,086	5,049,354
		14,475,017	14,432,431

The financial statements on pages 46 to 88 were approved by the Board of Directors on 28 August 2008 and were signed on their behalf by:

Director: P Ndegwa

Director: G K Mahinda

The notes set out on pages 53 to 88 form an integral part of these financial statements

Consolidated Statement of Changes in Equity FOR THE YEAR ENDED 30 JUNE 2008

2007:

At 1 July 2006 **1,317,957** **1,959,100** **1,573,221** **339,317** **8,967,173** **2,734,762** **16,891,530** **1,694,040** **18,585,570**

Exchange differences on translation of foreign subsidiaries	-	-	-	132,625	-	-	132,625	2,794	135,419
Net profit for the year	-	-	-	-	6,133,215	-	6,133,215	1,395,676	7,528,891
Exchange differences on translation of foreign associate	-	-	-	(130,265)	-	-	(130,265)	-	(130,265)
Impairment of property, plant and equipment	-	-	(104,102)	-	-	-	(104,102)	-	(104,102)
Deferred tax on impairment	-	-	31,231	-	-	-	31,231	-	31,231

Total recognized income and expense for the year **-** **-** **(72,871)** **2,360** **6,133,215** **-** **6,062,704** **1,398,470** **7,461,174**

Dividends:

- 2006 final paid	-	-	-	-	-	(2,734,762)	(2,734,762)	(555,282)	(3,290,044)
- 2007 interim declared and paid	-	-	-	-	(1,416,804)	-	(1,416,804)	(489,120)	(1,905,924)
- 2007 final proposed	-	-	-	-	(4,388,798)	4,388,798	-	-	-

At 30 June 2007 **1,317,957** **1,959,100** **1,500,350** **341,677** **9,294,786** **4,388,798** **18,802,668** **2,048,108** **20,850,776**

The translation reserve comprises the transfer of the cumulative foreign exchange differences arising from the translation of financial statements of foreign operations.

The notes set out on pages 53 to 88 form an integral part of these financial statements.

Consolidated Statement of Changes in Equity FOR THE YEAR ENDED 30 JUNE 2008

2008:

At 1 July 2007 **1,317,957** **1,959,100** **1,500,350** **341,677** **9,294,786** **4,388,798** **18,802,668** **2,048,108** **20,850,776**

Exchange differences on translation of foreign subsidiaries	-	-	-	(42,009)	-	-	(42,009)	(867)	(42,876)
Net profit for the year	-	-	-	-	7,553,794	-	7,553,794	1,630,591	9,184,385
Exchange differences on translation of foreign associate	-	-	-	(42,658)	-	-	(42,658)	-	(42,658)
Impairment of property, plant and equipment	-	-	(14,287)	-	14,287	-	-	-	-
Revaluation reserve realized on disposal of property, plant and equipment	-	-	(12,774)	-	12,774	-	-	-	-
Total recognized income and expense for the year	-	-	(27,061)	(84,667)	7,580,855	-	7,469,127	1,629,724	9,098,851
Bonus issue of shares	263,590	(263,590)	-	-	-	-	-	-	-
Bonus issue of shares - costs	-	(4,359)	-	-	-	-	(4,359)	-	(4,359)
Dividends:									
- 2007 final paid	-	-	-	-	-	(4,388,798)	(4,388,798)	(901,328)	(5,290,126)
- 2008 interim declared and paid	-	-	-	-	(1,897,858)	-	(1,897,858)	(640,441)	(2,538,299)
- 2008 final proposed	-	-	-	-	(4,467,873)	4,467,873	-	-	-
At 30 June 2008	1,581,547	1,691,151	1,473,289	257,010	10,509,910	4,467,873	19,980,780	2,136,063	22,116,843

The translation reserve comprises the transfer of the cumulative foreign exchange differences arising from the translation of financial statements of foreign operations.

The notes set out on pages 53 to 88 form an integral part of these financial statements.

Company Statement of Changes in Equity FOR THE YEAR ENDED 30 JUNE 2008

	Share capital Kshs'000	Share premium Kshs'000	Revaluation reserves Kshs'000	Retained earnings Kshs'000	Proposed dividends Kshs'000	Total Kshs'000
At 1 July 2006	1,317,957	1,959,100	109,693	7,462,757	2,734,762	13,584,269
Profit for the year	-	-	-	4,939,378	-	4,939,378
Dividends:						
- Final for 2006 paid	-	-	-	-	(2,734,762)	(2,734,762)
- Interim for 2007 declared and paid	-	-	-	(1,416,804)	-	(1,416,804)
- Proposed final for 2007	-	-	-	(4,388,798)	4,388,798	-
At 30 June 2007	1,317,957	1,959,100	109,693	6,596,533	4,388,798	14,372,081
Profit for the year	-	-	-	6,237,139	-	6,237,139
Bonus issue of shares	263,590	(263,590)	-	-	-	-
Bonus issue of shares - costs	-	(4,359)	-	-	-	(4,359)
Dividends:						
- Final for 2007 paid	-	-	-	-	(4,388,798)	(4,388,798)
- Interim for 2008 declared and paid	-	-	-	(1,897,858)	-	(1,897,858)
- Proposed final for 2008	-	-	-	(4,467,873)	4,467,873	-
At 30 June 2008	1,581,547	1,691,151	109,693	6,467,941	4,467,873	14,318,205

The notes set out on pages 53 to 88 form an integral part of these financial statements.

Consolidated Cash Flow Statement FOR THE YEAR ENDED 30 JUNE 2008

	Notes	2008 Kshs'000	2007 Kshs'000
Operating activities			
Cash generated from operations	28(a)	12,552,696	9,851,928
Finance income	10	652,323	495,333
Finance cost	10	(28,246)	-
Income tax paid		(3,868,138)	(1,795,008)
Net cash generated from operating activities		9,308,635	8,552,253
Investing activities			
Purchase of property, plant and equipment	16(a)	(3,027,936)	(1,939,250)
Purchase of intangibles – software	17(a)	(18,159)	(960,461)
Proceeds from disposal of property, plant and equipment and prepaid operating lease rental		18,006	644
Dividends received from associate		587,157	613,120
Net cash used in investing activities		(2,440,932)	(2,285,947)
Financing activities			
Dividends paid to shareholders		(6,180,822)	(4,099,717)
Dividends paid to minority interest		(1,541,769)	(1,044,402)
Bonus shares issue costs		(4,359)	-
Net cash used in financing activities		(7,726,950)	(5,144,119)
(Decrease)/increase in cash and cash equivalents		(859,247)	1,122,187
Movement in cash and cash equivalents			
At 1 July		8,028,361	6,906,174
(Decrease)/increase		(859,247)	1,122,187
At 30 June	28(b)	7,169,114	8,028,361

The notes set out on pages 53 to 88 form an integral part of these financial statements.

1. REPORTING ENTITY

The company is incorporated as a limited company in Kenya under the Kenyan Companies Act and is domiciled in Kenya. The address of its registered office is as follows:

East African Breweries Limited
Corporate Centre
Ruaraka
PO Box 30161
00100 Nairobi GPO

2. BASIS OF PREPARATION

(i) *Statement of compliance*

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs).

(ii) *Basis of measurement*

The consolidated and company financial statements have been prepared on the historical cost basis as modified by the revaluation of certain property, plant and equipment.

The methods used to measure fair values are discussed further in the significant accounting policy notes.

(iii) *Use of estimates and judgements*

The preparation of financial statements in conformity with IFRSs requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent liabilities at the date of financial statements and the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on the directors' best knowledge of current events, actual results may ultimately differ from those estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to the accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period or in the period of revision and future periods if the revision affects both current and future periods.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the consolidated financial statements is included in the following notes:

- Note 3(a) – business combination
- Note 15 – utilisation of tax losses
- Note 21 – measurement of defined benefit obligations
- Note 3(l) – measurement of share-based payments
- Notes 24 and 25 provisions and contingencies
- Note 3(h) – valuation of financial instruments

(iv) Functional and presentation currency

The consolidated and company financial statements are presented in Kenya shillings (KShs), which is the Group's functional currency. Except as indicated, financial information presented in Kenya shillings has been rounded to the nearest thousand.

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in the consolidated and company financial statements, and have been applied consistently by Group entities.

(a) Basis of consolidation

(i) Subsidiaries

Subsidiaries are those entities controlled by the Group. Control exists when the Group has the power, directly or indirectly, to govern the financial and operating policies of an enterprise so as to obtain the benefits from its activities. In assessing control, potential voting rights that currently are exercisable are taken into account. The financial statements of the subsidiaries are included in the consolidated financial statements from the date that control commences until the date that control ceases.

(ii) Associates

An associated company is that in which the Group has significant influence, but not control, over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20 and 50 percent of the voting power of another entity. The consolidated financial statements include the Group's share of the income and expenses and equity movements of equity accounted investees, after adjustments to align the accounting policies with those of the Group, from the date that significant influence or joint control commences until the date that significant influence or joint control ceases. When the Group's share of losses exceeds its interest in an equity accounted investee, the carrying amount of that interest (including any long-term investments) is reduced to nil and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee. Consolidation adjustments are also made to ensure consistency with the group's accounting policies. Associates are accounted for using the equity method and are initially recognised at cost.

(b) Revenue recognition

(i) Goods sold and services

Revenue represents the fair value of the consideration receivable for sales of goods and services, and is stated net of rebates and discounts. Revenue is recognised when the significant risks and rewards of ownership have been transferred to the buyer, recovery of the consideration is probable, the associated costs and possible return of goods can be estimated reliably, there is no continuing management involvement with the goods, and the amount of revenue can be measured reliably.

Sales of goods are recognised in the period in which the company delivers products to the customer, the customer has accepted the products and collectability of the related receivables is reasonably assured.

(ii) Dividends

Dividend income is recognised as income in the period in which the right to receive payment is established.

(c) Finance income and expenses

Finance income comprises interest income and is recognised in profit or loss on a time proportion basis using the effective interest method.

Finance expenses comprise interest expense and are recognised in profit or loss using the effective interest method.

(d) Foreign currency

(i) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the income statement in the year in which they arise.

Translation differences on non-monetary items, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non-monetary items, such as equities classified as available-for-sale financial assets, are included in the fair value reserve in equity.

(ii) Group companies

The results and financial position of all the group entities that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- i. assets and liabilities for each balance sheet presented are translated at the closing rate at the date of that balance sheet;
- ii. income and expenses for each income statement are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and
- iii. all resulting exchange differences are recognised as a separate component of equity.

On consolidation, exchange differences arising from the translation of the net investment in foreign entities, and of borrowings and other currency instruments designated as hedges of such investments, are taken to shareholders' equity. When a foreign operation is sold, such exchange differences are recognised in the income statement as part of the gain or loss on sale.

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate.

(e) **Property, plant and equipment**

All categories of property, plant and equipment are initially recorded at cost. Property, plant and equipment is subsequently shown at a revalued amount, being its fair value at the date of revaluation less any subsequent accumulated depreciation and impairment losses. Periodic valuations are performed by external independent valuers.

Increases in the carrying amount arising on revaluation are credited to a revaluation surplus reserve in equity. Decreases that offset previous increases of the same asset are charged against the revaluation surplus; all other decreases are charged to the income statement.

Keg barrels in circulation are recorded within plant, property and equipment at cost net of accumulated depreciation less any impairment loss. During the year, the company reclassified keg containers from inventory to property, plant & equipment in line with group policies.

Depreciation is recognised in profit or loss on a straight-line basis to write down the cost of each asset, or the revalued amount, to its residual value over its estimated useful life as follows:

buildings	25 years or the unexpired period of the lease
plant and machinery	5 - 33 years
equipment and motor vehicles	4 - 5 years

Freehold land is not depreciated.

Depreciation methods, useful lives and residual values, if not insignificant, is reassessed annually at each reporting date.

Property, plant and equipment are reviewed annually for impairment. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognised net within "other income" in profit or loss.

(f) **Intangible assets**

(i) **Computer software**

Acquired computer software licences are capitalised on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised over their estimated useful lives of intangible asset from the date that they are available for use. The estimated useful life is three to five years.

(ii) **Goodwill**

Goodwill arising on acquisition of subsidiaries and associates is stated at cost less accumulated impairment losses (Note (s)). At the balance sheet date, the group assesses the goodwill carried in the books for impairment.

(g) Investment property

Buildings, or part of a building, (freehold or held under a finance lease) and land (freehold or held under an operating lease) held for long term rental yields and/or capital appreciation and which are not occupied by the company are classified as investment property under non-current assets. Investment property is carried at fair value, representing open market value determined annually by external valuers. Changes in fair values are included in other operating income in the income statement.

(h) Financial instruments

A financial instrument is a contract that gives rise to both a financial asset of one enterprise and a financial liability of another enterprise. Financial instruments held by the group include term deposits and receivables arising from day to day sale of goods and services and cash and bank balances.

Management determines the appropriate classification of its financial instruments at the time of purchase and re-evaluates its portfolio every balance sheet date to ensure that all financial instruments are appropriately classified.

Financial instruments are measured initially at cost, including transaction costs.

Loans and receivables which include term deposits and receivables arising from day to day sale of goods and services, are measured at amortised cost less impairment losses. Amortised cost is calculated on the effective interest rate method.

A financial asset is derecognised when the group loses control over the contractual rights that comprise that asset. This occurs when the rights are realised, expire or are surrendered. A financial liability is derecognised when it is extinguished.

(i) Leased assets

Leases in terms of which the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. Upon initial recognition the leased asset is measured at an amount equal to the lower of its fair value and the present value of the minimum lease payments. Subsequent to initial recognition, the asset is accounted for in accordance with the accounting policy applicable to that asset.

Other leases are operating leases and, except for investment property, the leased assets are not recognised on the Group's balance sheet.

Payments made under operating leases are recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease.

(j) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the weighted average method. The cost of finished goods and work in progress comprises raw materials, direct labour, other direct costs and related production overheads (based on normal operating capacity), but excludes borrowing costs. Net realisable value is the estimate of the selling price in the ordinary course of business, less the costs of completion and selling expenses.

(j) Inventories (continued)

Returnable containers in trade are held as inventories with an equivalent deposit in line with group policies

During the year, the company reclassified keg containers from inventory to property, plant and equipment in line with group policies.

Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

(k) Receivables

Receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. A provision for impairment of receivables is established when there is objective evidence that the company will not be able to collect all the amounts due according to the original terms of receivables. The amount of the provision is the difference between the carrying amount and the present value of expected cash flows, discounted at the effective interest rate. The amount of the provision is recognised in the income statement.

(l) Employee benefits

(i) Retirement benefit obligations

The group operates defined contribution retirement benefit schemes for some of its employees. The defined benefit scheme that existed in the prior years was transferred to the group defined contribution retirement benefit scheme. The assets of all schemes are held in separate trustee administered funds, which are funded by contributions from both the group and employees. The group and all its employees also contribute to the National Social Security Fund, which is a defined contribution scheme.

The group's contributions to the defined contribution schemes are charged to the income statement in the year to which they relate. The company has no further obligation once the contributions have been paid.

For the defined benefit scheme, the pension costs are assessed using the projected unit credit method. Under this method the cost of providing pensions is charged to the income statement so as to spread the regular cost over the service lives of employees in accordance with the advice of actuaries who carry out a full valuation of the plan every three years. The pension obligation is measured as the present value of the estimated future cash outflows. Actuarial gains and losses are recognised over the average remaining service lives of employees.

(ii) Other entitlements

The estimated monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

(l) Employee benefits (continued)

(iii) Share-based payment transactions

The grant date fair value of options granted to employees is recognised as an employee expense, with a corresponding increase in equity, over the period that the employees become unconditionally entitled to the options. The amount recognised as an expense is adjusted to reflect the actual number of share options for which the related service and non-market vesting conditions are met. The group acquired shares from the market and recognised the expense in the profit and loss upfront.

The fair value of the amount payable to employees in respect of share appreciation rights, which are settled in cash, is recognised as an expense with a corresponding increase in liabilities, over the period that the employees become unconditionally entitled to payment. The liability is remeasured at each reporting date and at settlement date. Any changes in the fair value of the liability are recognised as personnel expense in profit or loss.

Share-based payment arrangements in which the Group receives goods or services as consideration for its own equity instruments are accounted for as equity-settled share-based payment transactions, regardless of how the equity instruments are obtained by the Group.

The market value of EABL share as at 30 June 2008 on the Nairobi Stock Exchange was KShs 199.

(m) Income tax

Income tax expense comprises current and deferred tax. Income tax expense is recognised in profit or loss except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is recognised using the balance sheet method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences: the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit, and differences relating to investments in subsidiaries and jointly controlled entities to the extent that it is probable that they will not reverse in the foreseeable future. In addition, deferred tax is not recognised for taxable temporary differences arising on the initial recognition of goodwill. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date. Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Additional income taxes that arise from the distribution of dividends are recognised at the same time as the liability to pay the related dividend is recognised.

(n) Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

(o) Segmental reporting

Segment information is presented in respect of the group's geographical segments, which is the primary format and is based on the countries in which the group operates. The group has no distinguishable significant business segments.

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Inter-segment pricing is determined on an arms length basis.

(p) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability.

(q) Offsetting of financial assets and liabilities

Financial assets and liabilities are offset and the net amount reported on the balance sheet when there is a legally enforceable right to set-off the recognised amount and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

(r) Impairment

The carrying amounts of the group's assets other than inventories (Note (j)) and deferred tax (Note (m)) are reviewed at each balance sheet date to determine whether there is any indication of impairment. If any such indication exists, the asset's recoverable amount is estimated and an impairment loss recognised in the income statement whenever the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount.

(i) Calculation of recoverable amount

The recoverable amount of the group's investments in held-to-maturity securities and receivables is calculated as the present value of expected future cash flows, discounted at the original effective interest rate inherent in the asset. Receivables with short duration are not discounted.

The recoverable amount of other assets is the greater of their net selling price and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs.

(r) Impairment (continued)

(ii) Reversals of impairment

An impairment loss in respect of a held-to-maturity security or receivable is reversed if the subsequent increase in recoverable amount can be related objectively to an event occurring after the impairment loss was recognised.

An impairment loss in respect of goodwill is not reversed unless the loss was caused by a specific external event of an exceptional nature that is not expected to recur, and the increase in recoverable amount relates clearly to the reversal of the effect of that specific event.

(iii) Reversals of impairment

In respect of other assets, an impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount.

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

However, an impairment loss on a revalued asset is recognised directly against any revaluation surplus for the asset to the extent that the impairment loss does not exceed the amount held in the revaluation surplus for the same asset.

(s) Cash and cash equivalents

For the purposes of the cash flow statement, cash and cash equivalents comprise cash in hand, bank balances, and deposits held at call with the banks net of bank overdrafts.

(t) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, which comprise convertible notes and share options granted to employees.

(u) Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

(v) New standards and interpretations not yet adopted

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 30 June 2008, and have not been applied in preparing these consolidated financial statements:

- IFRS 8 Operating Segments introduces the “management approach” to segment reporting. IFRS 8, which becomes mandatory for the Group’s 2009 consolidated financial statements, will require a change in the presentation and disclosure of segment information based on the internal reports regularly reviewed by the Group’s Chief Executive in order to assess each segment’s performance and to allocate resources to them.
- IAS 23 Borrowing Costs removes the option to expense borrowing costs and requires that an entity capitalise borrowing costs directly attributable to the acquisition, construction or production of a qualifying asset as part of the cost of that asset. The revised IAS 23 will become mandatory for the Group’s 2009 consolidated financial statements and will constitute a change in accounting policy for the Group. In accordance with the transitional provisions, the Group will apply the revised IAS 23 to qualifying assets for which capitalisation of borrowing costs commences on or after the effective date. Therefore there will be no impact on prior periods in the Group’s 2009 consolidated financial statements.
- IFRIC 13 Customer Loyalty Programmes addresses the accounting by entities that operate, or otherwise participate in, customer loyalty programmes under which the customer can redeem credits for awards such as free or discounted goods or services. IFRIC 13, which becomes mandatory for the Group’s 2009 consolidated financial statements, is not expected to have any impact on the consolidated financial statements.
- Revised IAS 1 Presentation of Financial Statements (2007) introduces the term total comprehensive income, which represents changes in equity during a period other than those changes resulting from transactions with owners in their capacity as owners. Total comprehensive income may be presented in either a single statement of comprehensive income (effectively combining both the income statement and all non-owner changes in equity in a single statement), or in an income statement and a separate statement of comprehensive income. Revised IAS 1, which becomes mandatory for the Group’s 2009 consolidated financial statements, is expected to have a significant impact on the presentation of the consolidated financial statements. The Group plans to provide total comprehensive income in a single statement of comprehensive income for its 2009 consolidated financial statements.
- Amendments to IAS 32 Financial Instruments: Presentation and IAS 1 Presentation of Financial Statements – Puttable Financial Instruments and Obligations Arising on Liquidation requires puttable instruments, and instruments that impose on the entity an obligation to deliver to another party a pro rata share of the net assets of the entity only on liquidation, to be classified as equity if certain conditions are met. The amendments, which become mandatory for the Group’s 2009 consolidated financial statements, with retrospective application required, are not expected to have any impact on the consolidated financial statements.

(v) New standards and interpretations not yet adopted (continued)

- Revised IFRS 3 Business Combinations (2008) incorporates the following changes that are likely to be relevant to the Group's operations:
 - The definition of a business has been broadened, which is likely to result in more acquisitions being treated as business combinations.
 - Contingent consideration will be measured at fair value, with subsequent changes therein recognised in profit or loss.
 - Transaction costs, other than share and debt issue costs, will be expensed as incurred.
 - Any pre-existing interest in the acquiree will be measured at fair value with the gain or loss recognised in profit or loss.
 - Any non-controlling (minority) interest will be measured at either fair value, or at its proportionate interest in the identifiable assets and liabilities of the acquiree, on a transaction-by-transaction basis. Revised IFRS 3, which becomes mandatory for the Group's 2010 consolidated financial statements, will be applied prospectively and therefore there will be no impact on prior periods in the Group's 2010 consolidated financial statements.
- Amended IAS 27 Consolidated and Separate Financial Statements (2008) requires accounting for changes in ownership interests by the Group in a subsidiary, while maintaining control, to be recognised as an equity transaction. When the Group loses control of a subsidiary, any interest retained in the former subsidiary will be measured at fair value with the gain or loss recognised in profit or loss. The amendments to IAS 27, which become mandatory for the Group's 2010 consolidated financial statements, are not expected to have a significant impact on the consolidated financial statements.
- Amendment to IFRS 2 Share-based Payment – Vesting Conditions and Cancellations clarifies the definition of vesting conditions, introduces the concept of non-vesting conditions, requires non-vesting conditions to be reflected in grant-date fair value and provides the accounting treatment for non-vesting conditions and cancellations. The amendments to IFRS 2 will become mandatory for the Group's 2009 consolidated financial statements, with retrospective application. The Group has not yet determined the potential effect of the amendment.

4. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

Overview

The Group's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, liquidity, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

This note presents information about the Group's exposure to financial risks, the Group's objectives, policies and processes for measuring and managing risk. Further quantitative disclosures are included throughout these financial statements.

The Board has established a risk management committee made up of senior management which is responsible for developing and monitoring the Group's risk management policies which are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities.

4. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

The Group has established an internal audit function, which carries out regular and ad hoc reviews of risk management controls and procedures. The results of this are reported to senior management.

(a) Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's receivables from customers.

Trade and other receivables

The Group's exposure to credit risk is influenced mainly by the individual characteristics of each customer. The demographics of the Group's customer base, including the default risk of the industry and country in which customers operate, has less of an influence on credit risk.

The Group has established a credit policy under which each new customer is analysed individually for creditworthiness before the Group's standard payment and delivery terms and conditions are offered. The Group's review includes external ratings, where available, and in some cases bank references. Purchase limits are established for each customer, which represents the maximum open amount. These limits are reviewed quarterly.

In monitoring customer credit risk, customers are classified according to their credit characteristics, including whether they are an individual or legal entity, whether they are a wholesale, retail or end-user customer, geographic location, maturity and existence of previous financial difficulties.

The Group establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables and investments. The main components of this allowance are a specific loss component that relates to individually significant exposures. The collective loss allowance is determined based on historical data of payment statistics for similar financial assets.

Investments

The Group limits its exposure to credit risk by only investing in liquid securities. Our main investment is in term deposits with local financial institutions. The carrying amount of financial assets represents the maximum credit exposure.

The maximum exposure to credit risk at the reporting date was:

Group:	2008 Kshs'000	2007 Kshs'000
Receivables and prepayments	4,112,469	4,427,318
Cash and cash equivalents	7,169,114	8,028,361
Other investments	10,400	10,400
	11,291,983	12,466,079

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

4. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(a) Credit risk (Continued)

The ageing of receivables and prepayments at the reporting date was:

	Gross 2008 Kshs'000	Impairment 2008 Kshs'000	Net 2008 Kshs'000	Gross 2007 Kshs'000	Impairment 2007 Kshs'000	Net 2007 Kshs'000
Current	2,315,655	-	2,315,655	2,341,516	-	2,341,516
0-30 days	1,208,985	-	1,208,985	1,382,931	-	1,382,931
31-120 days	905,058	(317,375)	587,683	999,781	(296,910)	702,871
120 days and above	136,415	(136,269)	146	38,014	(38,014)	-
Note 23(a)	4,566,113	(453,644)	4,112,469	4,762,242	(334,924)	4,427,318

The movement in the allowance for impairment in respect of trade receivables during the year was as follows:

	2008 Kshs'000	2007 Kshs'000
Balance at 1 July	(334,924)	(256,265)
Impairment loss recognised in income statement (Note 7)	(118,720)	(78,659)
Balance at 30 June	(453,644)	(334,924)

The impairment loss recognised relates to the customer debtors provision. During the year the Group did not renegotiate the terms of a trade receivable from any long-standing customer.

Company:

	2008 Kshs'000	2007 Kshs'000
Receivables and prepayments	2,561,358	3,271,322
Cash and cash equivalents	3,774,148	2,278,206
	6,335,506	5,549,528

	Gross 2008 Kshs'000	Impairment 2008 Kshs'000	Net 2008 Kshs'000	Gross 2007 Kshs'000	Impairment 2007 Kshs'000	Net 2007 Kshs'000
Current	2,166,042	-	2,166,042	2,897,162	-	2,897,162
0-30 days	395,316	-	395,316	374,160	-	374,160
31-120 days	-	-	-	-	-	-
120 days and above	-	-	-	-	-	-
Note 23(b)	2,561,358	-	2,561,358	3,271,322	-	3,271,322

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

4. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(b) Liquidity risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The Group ensures that it has sufficient cash on demand to meet expected operational expenses, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters.

The Group had no credit facility arrangement with any institution as at 30 June 2008.

Group:

The following are the contractual maturities of financial liabilities, including interest payments and excluding the impact of netting agreements:

In Kshs'000	Total amount	Current	0-30 days	31 days and above
2008:				
Trade and other payables Note 24(a)	8,202,987	4,835,405	1,911,373	1,456,209
2007:				
Trade and other payables Note 24(a)	7,280,319	4,526,930	1,860,431	892,958

Company:

The following are the contractual maturities of financial liabilities, including interest payments and excluding the impact of netting agreements:

In Kshs'000	Total amount	Current	0-30 days	31 days and above
2008:				
Trade and other payables Note 24(b)	1,316,932	1,009,564	307,368	-
2007:				
Trade and other payables Note 24(b)	434,337	434,337	-	-

4. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and equity prices will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

(i) Foreign currency risk

Foreign currency risk arises on sales, purchases and borrowings denominated in currencies other than Kenya Shillings. Repayments of foreign currency denominated borrowings are financed by receipts of foreign currency debtors.

The table below summarises the Group's exposure to foreign currency risks:

Group:

2008	EUR '000	GBP '000	TZS '000	UGX '000	USD '000	ZAR '000
Monetary assets						
Cash and bank balances	51	7	-	-	1,427	-
Trade and other receivables	10,184	1,024	2,346,845	26	4,366	2,559
Monetary liabilities						
Trade and other payables	(1,543)	(3,123)	(44,224)	(4,989,480)	(6,082)	(988)
Net open position	8,692	(2,092)	2,302,621	(4,989,454)	(289)	1,571

2007:

Monetary assets						
Cash and bank balances	18	8	-	-	2,404	-
Trade and other receivables	2,383	2,678	365,570	-	5,928	3,227
Monetary liabilities						
Trade and other payables	(2,255)	(2,148)	-	(7,305,057)	(2,873)	(2,880)
Net open position	146	538	365,570	(7,305,057)	5,459	347

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

4. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Market risk

(i) Foreign currency risk - continued

Company:

2008:	EUR '000	GBP '000	TZS '000	UGX '000	USD '000	ZAR '000
Monetary assets						
Cash and bank balances	32	7	-	-	575	-
Trade and other receivables	12	18	2,346,845	-	76	27
Monetary liabilities						
Trade and other payables	(33)	(241)	-	(214,887)	(3,621)	(5)
Net open position	11	(216)	2,346,845	(214,887)	(2,970)	22
2007:						
Monetary assets						
Cash and bank balances	11	8	-	-	2,399	-
Trade and other receivables	-	20	365,570	-	1,093	-
Monetary liabilities						
Trade and other payables	(150)	(884)	-	(314,380)	(29)	(746)
Net open position	(139)	(856)	365,570	(314,380)	3,463	(746)

The following exchange rates were applied during the year:

Currency	Average rate		Closing rates	
	2008	2007	2008	2007
EUR-KSHS	97.42	91.93	103.21	90.25
EUR-UGX	2,519.45	2,299.59	2,555.21	2,154.92
GBP-KSHS	132.1	136.09	130.05	134.03
GBP-UGX	3,415.97	3,398.77	3,219.56	3,189.28
KSHS-TZS	18.16	18.28	17.91	18.76
USD-KSHS	65.65	70.05	65.35	66.66
USD-UGX	1,697.67	1,774.45	1,617.87	1,586.71
KSHS-UGX	25.89	25.37	24.76	23.87
ZAR-UGX	232.97	239.97	206.64	225.07
KSHS-ZAR	9.00	9.73	8.34	9.46

Sensitivity analysis on foreign currency rates

A 5 percent strengthening of the Kenya shilling against the following currencies at 30 June 2008 would have increased/ (decreased) profit or loss by the amounts shown below. This analysis assumes that all other variables, in particular interest rates, remains constant. The analysis is performed on the same basis for 2007.

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

4. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Market risk (Continued)

(i) Foreign currency risk - continued

Group:

Effect in Kenya shillings thousands

As at 30 June	Income statement	
	2008	2007
EUR	(19,773)	6,642
GBP	13,606	(4,055)
TZS	(6,143)	(1,704)
UGX	(3,431)	(14,839)
USD	(13,589)	(20,493)
ZAR	733	(130)
	(28,597)	(34,579)

Company:

Effect in Kenya shillings thousands

As at 30 June	Income statement	
	2008	2007
EUR	98	-
GBP	1,548	6,950
TZS	(6,267)	(1,705)
UGX	(319)	(647)
USD	13,094	(4,641)
ZAR	11	556
	8,165	513

A 5 percent weakening of the Kenya shilling against the above currencies at 30 June 2008 would have had an equal but opposite effect on the above currencies to the amounts shown above, on the basis that all other variables remain constant.

(ii) Interest rate risk

The Group has term deposits that earn interest at fixed interest rates.

The table below summarises the interest rate profile of the group's financial assets and liabilities.

Group:

	Effective interest rate	Total	On demand	Due between three and twelve months	Due between one year and five years	Due after five years
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
2008:						
Deposit	8.018%	6,503,024	4,478,024	2,025,000	-	-
2007:						
Deposit	6.295%	6,945,585	5,927,891	1,017,694	-	-

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

4. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Market risk (Continued)

(ii) Interest rate risk - continued

Company:	Effective interest rate Kshs'000	Total Kshs'000	On demand Kshs'000	Due between three and twelve months Kshs'000	Due between one year and five years Kshs'000	%
2008:						
Deposit	7.958%	3,650,000	2,490,000	1,160,000	-	-
2007:						
Deposit	7.932%	1,970,000	1,220,000	750,000	-	-

Sensitivity analysis on interest rates

An increase of 1 percentage point in interest rates at the reporting date would have increased/(decreased) profit and loss by the amounts shown below. This analysis assumes that all other variables, in particular foreign currency rates, remain constant. This analysis is performed on the same basis for 2007.

Group:

	Income statement	
Effect in Shillings thousands As at 30 June	2008 Kshs'000	2007 Kshs'000
Deposits	7,028	5,277
Bank overdraft	-	-
	7,028	5,277

Company:

	Income statement	
As at 30 June	2008 Kshs'000	2007 Kshs'000
Deposits	1,989	1,518
Bank overdraft	-	-
TOTAL	1,989	1,518

(iii) Equity price risk

The investments are unquoted and there is no readily available market for valuation.

(d) Capital management

The Board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital, which the Group defines as total shareholders' equity.

There were no changes in the Group's approach to capital management during the year. The Group is not subject to externally imposed capital requirements

(e) Fair value

The fair values of significant financial assets and liabilities is the same as the carrying amounts as shown in the balance sheet.

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

5. SEGMENTAL REPORTING

	Kenya		Uganda		Tanzania		Eliminations		Consolidated	
	2008	2007	2008	2007	2008	2007	2008	2007	2008	2007
	Kshs'000	Restated Kshs'000	Kshs'000	Restated Kshs'000	Kshs'000	Restated Kshs'000	Kshs'000	Restated Kshs'000	Kshs'000	Restated Kshs'000
External sales	25,873,574	20,179,148	6,614,538	5,691,548	-	-	-	-	32,488,112	25,870,696
Inter segment sales	3,253,556	3,118,245	-	-	-	-	(3,253,556)	(3,118,245)	-	-
Total sales	29,127,130	23,297,393	6,614,538	5,691,548	-	-	(3,253,556)	(3,118,245)	32,488,112	25,870,696
Segment profit from operations	9,689,881	8,387,336	1,193,953	1,087,062	-	-	-	-	10,883,834	9,474,398
Net finance income/costs	527,710	409,083	96,367	86,250	-	-	-	-	624,077	495,333
Share of associate profits	-	-	-	-	808,421	734,634	-	-	808,421	734,634
Profit before reorganisation costs and tax	10,217,591	8,796,419	1,290,320	1,173,312	808,421	734,634	-	-	12,316,332	10,704,365
Reorganisation costs	-	(68,594)	-	-	-	-	-	-	-	(68,594)
Income tax expense	(2,651,604)	(2,695,986)	(480,343)	(410,894)	-	-	-	-	(3,131,947)	(3,106,880)
Segment results	7,565,987	6,031,839	809,977	762,418	808,421	734,634	-	-	9,184,385	7,528,891
Minority results	-	-	-	-	-	-	-	-	(1,630,591)	(1,395,676)
Net profit for the year	7,565,987	6,031,839	809,977	762,418	808,421	734,634	-	-	7,553,794	6,133,215
OTHER INFORMATION										
Segment assets	26,513,783	26,711,443	4,909,832	5,273,962	-	-	-	-	31,423,615	31,985,405
Segment liabilities	8,076,016	8,361,598	1,708,285	2,080,821	-	-	-	-	9,784,301	10,442,419
Capital expenditure	2,761,118	2,473,197	284,977	426,514	-	-	-	-	3,046,095	2,899,711
Depreciation expense	1,081,567	588,208	178,698	178,622	-	-	-	-	1,260,265	766,830
Impaired assets written down through reserves and profit and loss	-	(11,233)	-	-	-	-	-	-	-	(11,233)

Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period.

Segment revenue is based on the geographical location of both customers and assets.

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

	2008 Kshs'000	2007 Restated Kshs'000
6. ANALYSIS OF REVENUE		
Gross sales	54,606,503	46,061,967
Indirect taxes	(22,118,391)	(20,191,271)
	32,488,112	25,870,696
7. OTHER OPERATING (EXPENSES)/ INCOME		
Royalty income from associate	105,823	74,835
Rental income	18,863	20,536
Transactional foreign exchange gains	215,346	67,168
Transactional foreign exchange losses	(53,251)	(71,960)
Profit on asset disposal	828	618
Loss on property, plant and equipment impairment	(107,891)	(8,551)
Stock obsolescence	(290,321)	(109,071)
Research and development costs	(89,579)	(74,172)
Impairment losses movement – bad debts	(118,720)	(78,659)
Sale of scrap items	14,618	24,637
Other expenses	(189,247)	(92,712)
	(493,531)	(247,331)
8. OPERATING PROFIT		
The following items have been charged/(credited) in arriving at operating profit:		
Depreciation on property, plant and equipment (Note 16(a))	1,039,847	750,444
Amortisation of intangible asset – software (Note 17(a))	219,916	16,008
Impairment/(reversal) of property, plant and equipment	107,891	(8,551)
Profit on disposal of property, plant and equipment	(828)	(618)
Operating lease rentals (Note 18(a))	502	378
Staff costs (Note 9)	3,101,107	2,358,777
Auditors' remuneration – Current year	14,880	13,851
– Under provision in prior years	1,000	-
9. STAFF COSTS		
The following items are included within staff costs:		
Salaries and wages	2,619,967	2,071,808
Defined contribution scheme	20,015	18,677
Defined benefit scheme	399	-
National Social Security Fund	32,054	27,886
Other	428,672	240,406
	3,101,107	2,358,777

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

	2008 Kshs'000	2007 Kshs'000
10. FINANCE INCOME/(COSTS)		
Finance income:		
Interest income	652,323	495,333
Finance cost:		
Interest expense	(28,246)	-
Net finance income	624,077	495,333

11. INCOME TAX		
Income tax		
Current income tax	3,406,329	2,840,443
Prior year (over)/under provision	(70,443)	5,995
	3,335,886	2,846,438
Deferred tax		
Current year	(223,370)	214,607
Prior year under/(over) provision	19,431	45,835
	(203,939)	260,442
Income tax expense	3,131,947	3,106,880

The tax on the group's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

		2008 Kshs'000		2007 Kshs'000
Profit before income tax		12,316,332		10,635,771
Tax calculated at the statutory income tax rate of 30% (2007 - 30%)	30.0%	3,694,900	30.0%	3,190,731
Tax effect of:				
Expenses not deductible for tax purposes/income not taxable	1.4%	181,228	0.7%	75,367
Tax losses in subsidiary not previously recognised	(3.7%)	(456,576)	-	-
Unrelieved tax losses	-	-	0.1%	9,342
Effect of share of associate profit	(1.9%)	(236,593)	(2.1%)	(220,390)
Under/(over) provision in prior year				
– income tax	(0.6%)	(70,443)	0.1%	5,995
Under/(over) provision in prior year				
– deferred tax	0.2%	19,431	0.4%	45,835
Income tax expense	25.4%	3,131,947	29.2%	3,106,880

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

12. DIVIDENDS PER SHARE

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting.

A final dividend in respect of the year ended 30 June 2008 of KShs 5.65 per share amounting to a total of KShs 4,467,873,100 has been proposed. During the year an interim dividend of KShs 2.40 per share, amounting to a total of KShs 1,897,858,454 was paid. The total dividend for the year is therefore KShs 8.05 per share (2007 – KShs 7.34), amounting to a total of KShs 6,365,731,554 (2007 – KShs 5,805,601,730).

Payment of dividends is subject to withholding tax at a rate of 0%, 5% or 10% depending on the residence of the respective shareholders.

13. SHARE CAPITAL

	Number of shares (Thousands)	Ordinary shares Kshs'000	Share premium Kshs'000
Balance at 1 July 2007	658,979	1,317,957	1,959,100
Bonus shares issued during the year	131,795	263,590	(263,590)
Bonus shares issue – cost	-	-	(4,359)
Balance at 30 June 2008	790,774	1,581,547	1,691,151

The total authorised number of ordinary shares is 1,000,000,000 with a par value of KShs 2 per share. All issued shares are fully paid.

14. REVALUATION SURPLUS

The revaluation surplus represents the surplus on the revaluation of plant, property and equipment, freehold land and buildings net of deferred income tax and is non-distributable.

15. DEFERRED INCOME TAX

- (a) Deferred income tax is calculated using the enacted income tax rate of 30% (2007 – 30%). The movement in the deferred income tax account is as follows:

	2008 Kshs'000	2007 Kshs'000
Group		
At 1 July 2007 and 2006	2,032,711	1,787,412
Charge / (credit) to income statement (Note 11)		
- Current year	(223,370)	214,607
- Prior year under provision	19,431	45,835
Recognised in equity	-	(31,231)
Currency changes	(22,291)	16,088
At 30 June	1,806,481	2,032,711
Made up of:		
Deferred income tax assets	(463,006)	(18,886)
Deferred income tax liabilities	2,269,487	2,051,597
Company		
At 1 July 2007 and 2006	60,350	(9,691)
Net credit to income statement	96,462	70,041
At 30 June	156,812	60,350

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

15. DEFERRED INCOME TAX (Continued)

- (b) Deferred income tax assets and liabilities and deferred income tax charge/(credit) in the income statement are attributable to the following items:

Group	1.7.2007 Kshs'000	Prior year under/(over) provision Kshs'000	Charged/ (credited) to income statement Kshs'000	Currency changes Kshs'000	30.6.2008 Kshs'000	
2008:						
Deferred income tax liabilities						
Property, plant and equipment	2,176,630	3,458	240,886	(22,291)	2,398,683	
Unrealised exchange gain	36,489	-	92,602	-	129,091	
Tax losses carried forward	54,492	8,253	(28,888)	-	33,857	
Provisions	(216,014)	7,720	(83,850)	-	(292,144)	
	2,051,597	19,431	220,750	(22,291)	2,269,487	
Deferred income tax assets						
Property, plant and equipment	201,342	-	(76,410)	-	124,932	
Tax losses carried forward	(154,320)	-	(339,757)	-	(494,077)	
Unrealised exchange gain	3,111	-	(18,111)	-	(15,000)	
Provisions	(69,019)	-	(9,842)	-	(78,861)	
	(18,886)	-	(444,120)	-	(463,006)	
Net deferred income tax liability	2,032,711	19,431	(223,370)	(22,291)	1,806,481	
	1.7.2006 Kshs'000	Prior year under/(over) provision Kshs'000	Charged/ (credited) to income statement Kshs'000	Recognised in equity Kshs'000	Currency changes Kshs'000	30.6.2007 Kshs'000
2007:						
Deferred income tax liabilities						
Property, plant and equipment	2,033,391	41,512	132,958	(31,231)	-	2,176,630
Unrealised exchange gain	83	(5,632)	42,037	-	-	36,488
Tax losses carried forward	(51,397)	-	105,890	-	-	54,493
Provisions	(151,611)	-	(64,403)	-	-	(216,014)
	1,830,466	35,880	216,482	(31,231)	-	2,051,597
Deferred income tax assets						
Property, plant and equipment:	200,212	-	(14,958)	-	16,088	201,342
Tax losses carried forward	(156,194)	1,874	-	-	-	(154,320)
Unrealised exchange gain	3,111	-	-	-	-	3,111
Provisions	(90,183)	8,081	13,083	-	-	(69,019)
	(43,054)	9,955	(1,875)	-	16,088	(18,886)
Net deferred income tax liability	1,787,412	45,835	214,607	(31,231)	16,088	2,032,711

A deferred tax asset composed mainly of tax losses of KShs 437,019,746 (2007- KShs 375,924,990) associated with a subsidiary, EABL International (Formerly Castle Brewing Kenya Limited), has been recognised in the balance sheet as the company resumed trading during the year. It is the opinion of the directors that the temporary differences are likely to reverse in the foreseeable future.

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

15. DEFERRED INCOME TAX (Continued)

Company

	1.7.2007 Kshs'000	Prior year under/(over) provision Kshs'000	Charged/ (credited) to income statement Kshs'000	30.6.2008 Kshs'000
2008:				
Deferred income tax (assets)/liabilities				
Property, plant and equipment	86,687	1,617	47,041	135,345
Provisions	(17,369)	14,372	14,580	11,583
Unrealised exchange gains/(losses)	(8,968)	-	18,852	9,884
	(26,337)	14,372	33,432	21,467
Net deferred income tax (assets)/liabilities	60,350	15,989	80,473	156,812
	1.7.2006 Kshs'000	Charged/ (credited) to income statement Kshs'000	Currency changes Kshs'000	30.6.2007 Kshs'000
2007:				
Deferred income tax (assets)/liabilities				
Property, plant and equipment	31,895	54,792	-	86,687
Provisions	15,086	(32,455)	-	(17,369)
Unrealised exchange losses	(56,672)	47,704	-	(8,968)
	(41,586)	15,249	-	(26,337)
Net deferred income tax (assets)/liabilities	(9,691)	70,041	-	60,350

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

16. PROPERTY, PLANT AND EQUIPMENT

(a) Group	Freehold property Kshs'000	Leasehold buildings Kshs'000	Plant & equipment Kshs'000	Motor vehicles Kshs'000	Capital work in progress Kshs'000	Total Kshs'000
2008:						
Cost or valuation						
At 1 July 2007	1,436,266	1,270,327	11,598,394	234,061	1,324,390	15,863,438
Reclassification	515,817	(58,168)	95,313	(224,127)	-	328,835
Cost restated	1,952,083	1,212,159	11,693,707	9,934	1,324,390	16,192,273
Exchange differences	-	(15,912)	(78,241)	-	(13,025)	(107,178)
Additions	-	-	402,286	-	2,625,650	3,027,936
Transfers from work in progress	-	1,901	1,430,527	-	(1,432,428)	-
Reclassification from work in progress to intangibles (Note 17 (a))	-	-	-	-	(159,054)	(159,054)
Reclassification from lease rentals (Note 18)	-	70	-	-	-	70
Transfers from inventories	-	-	547,051	-	-	547,051
Impairment of assets	(27,317)	(4,149)	(346,983)	(4)	-	(378,453)
Disposals	(20,828)	-	-	-	-	(20,828)
At 30 June 2008	1,903,938	1,194,069	13,648,347	9,930	2,345,533	19,101,817
Depreciation						
At 1 July 2007	60,986	154,501	5,163,469	167,154	-	5,546,110
Reclassification	352,096	6,019	127,947	(157,227)	-	328,835
Depreciation restated	413,082	160,520	5,291,416	9,927	-	5,874,945
Exchange differences	-	(3,112)	(29,167)	-	-	(32,279)
Charge for the year	84,719	36,093	919,035	-	-	1,039,847
On disposals	(3,651)	-	-	-	-	(3,651)
On impaired assets written down	(10,191)	147	(261,038)	(3)	-	(271,085)
At 30 June 2008	483,959	193,648	5,920,246	9,924	-	6,607,777
Net book amount						
At 30 June 2008	1,419,979	1,000,421	7,728,101	6	2,345,533	12,494,040

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

16. PROPERTY, PLANT AND EQUIPMENT (Continued)

(a) Group - continued	Freehold property	Leasehold buildings	Plant & equipment	Motor vehicles	Capital work in progress	Total
	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000	Kshs'000
2007:						
Cost or valuation						
At 1 July 2006	1,376,152	1,343,684	10,731,972	254,429	325,172	14,031,409
Exchange differences	-	24,651	117,139	-	96	141,886
Additions	12,606	-	101,090	-	1,825,554	1,939,250
Transfers	47,574	8,776	770,082	-	(826,432)	-
Reclassified to intangibles						
- software (Note 17(a))	-	-	(126,741)	-	-	(126,741)
Impairment of assets	-	(106,784)	-	-	-	(106,784)
Disposals	(66)	-	(5)	(20,368)	-	(20,439)
Impairment reversal	-	-	4,857	-	-	4,857
At 30 June 2007	1,436,266	1,270,327	11,598,394	234,061	1,324,390	15,863,438
Depreciation						
At 1 July 2006	32,974	125,512	4,551,188	187,513	-	4,897,187
Exchange differences	-	4,962	47,047	-	-	52,009
Reclassified to intangibles – software	-	-	(126,741)	-	-	(126,741)
Charge for the year	28,066	24,027	698,351	-	-	750,444
On disposals	(54)	-	-	(20,359)	-	(20,413)
Impairment reversal	-	-	(6,376)	-	-	(6,376)
At 30 June 2007	60,986	154,501	5,163,469	167,154	-	5,546,110
Net book amount						
At 30 June 2007	1,375,280	1,115,826	6,434,925	66,907	1,324,390	10,317,328

Management reviewed the useful lives of some of the group's operating assets during the year resulting in minor adjustments in depreciation rates in line with Diageo Plc group depreciation policies.

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

16. PROPERTIES, PLANT AND EQUIPMENT (Continued)

(b) Company

	Leasehold buildings Kshs'000	Plant and equipment Kshs'000	Capital work in progress Kshs'000	Total Kshs'000
2008:				
Cost or valuation				
At 1 July 2007	154,500	90,511	162,957	407,968
Reclassified to intangibles				
- software (Note 17(a))	-	-	(159,054)	(159,054)
Impairment	-	(1,867)	-	(1,867)
Additions	-	9,236	145,480	154,716
At 30 June 2008	154,500	97,880	149,383	401,763
Depreciation				
At 1 July 2007	13,019	63,090	-	76,109
Impairment	-	(1,814)	-	(1,814)
Charge for the year	5,799	6,661	-	12,460
At 30 June 2008	18,818	67,937	-	86,755
Net book amount				
At 30 June 2008	135,682	29,943	149,383	315,008
2007:				
Cost or valuation				
At 1 July 2006	154,500	213,634	54,460	422,594
Intercompany transfers	-	(54,791)	-	(54,791)
Reclassified to intangibles				
- software (Note 17(a))	-	(126,741)	-	(126,741)
Additions	-	58,409	108,497	166,906
At 30 June 2007	154,500	90,511	162,957	407,968
Depreciation				
At 1 July 2006	8,385	187,550	-	195,935
Reclassified to intangibles				
- software	-	(126,741)	-	(126,741)
Charge for the year	4,634	2,281	-	6,915
At 30 June 2007	13,019	63,090	-	76,109
Net book amount				
At 30 June 2007	141,481	27,421	162,957	331,859

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

16. PROPERTY, PLANT AND EQUIPMENT (Continued)

- (c) In 2004, Knight Frank (Kenya) Limited professionally valued the group's land and buildings in Kenya on the existing use basis. The resulting surplus was credited to a revaluation surplus account in June 2004. The valuations and appraisals were carried out in accordance with RICS Appraisal and Valuation manual ("The Red Book") and were based on expected use. The land and buildings in Uganda is still carried at the professional valuation of 1998 on the open market value for existing use. Other items of property, plant and equipment were revalued by Lloyd and Masika Limited on the basis of open market value for existing use as at 30 June 1996.

As at 30 June 2008, there were no assets pledged by the group to secure liabilities.

During the year, management carried out an asset verification exercise. The recommendations of the exercise were adopted during the period.

If the buildings and freehold land were stated on the historical cost basis, the amounts would be as follows:

Group					
	Freehold properties Kshs'000	Leasehold buildings Kshs'000	Plant and equipment Kshs'000	Motor vehicles Kshs'000	Total Kshs'000
Cost	2,009,116	1,112,127	11,999,768	9,930	15,130,941
Accumulated depreciation	(483,959)	(193,648)	(5,761,459)	(9,924)	(6,448,990)
Net book amount At 30 June 2008	1,525,157	918,479	6,238,309	6	8,681,951
At 30 June 2007	550,643	646,449	7,653,089	13	8,850,194
Company					
			Leasehold buildings Kshs'000	Plant and equipment Kshs'000	Total Kshs'000
Cost			154,500	97,882	252,382
Accumulated depreciation			(18,819)	(67,938)	(86,757)
Net book amount At 30 June 2008			135,681	29,944	165,625
At 30 June 2007			141,480	27,421	168,901

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

17. INTANGIBLE ASSET

(a) Software – Group and Company

	2008 Kshs'000	2007 Kshs'000
Cost		
At 1 July 2007 & July 2006	1,087,202	-
Additions	18,159	960,461
Reclassified from property, plant and equipment (Note 16(b))	159,054	126,741
	1,264,415	1,087,202
Amortisation		
At 1 July 2007	142,749	126,741
Amortisation during the year	219,916	16,008
	362,665	142,749
Net carrying value		
At 30 June 2008 & June 2007	901,750	944,453

(b) Goodwill – Group

	UBL Kshs'000	EABLI Kshs'000	TBL Kshs'000	UDV(K) Kshs'000	IDU Kshs'000	Total Kshs'000
Cost						
At 1 July 2007 and 30 June 2008	116,415	334,249	2,129,421	461,662	260,324	3,302,071
Amortisation						
At 1 July 2007 and 30 June 2008	116,415	334,249	2,129,421	46,166	27,156	2,653,407
Net book amount						
At 30 June 2007 and 2008	-	-	-	415,496	233,168	648,664

The goodwill represents the excess of cost of acquisitions over the fair value of identifiable assets and liabilities of the respective companies.

Impairment testing for cash-generating units containing goodwill

For the purpose of impairment testing, goodwill is allocated to the Group's operating divisions which represent the lowest level within the Group at which the goodwill is monitored for internal management purposes.

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

18. PREPAID OPERATING LEASE RENTALS

Leases of land have been classified as operating leases.

	2008 Kshs'000	2007 Kshs'000
(a) Group		
Cost		
At 1 July 2007 and 1 July 2006	38,671	38,671
Impairment	(676)	-
Reclassification to PPE (Note 16 (a))	(70)	-
	37,925	38,671
Amortisation		
At 1 July 2007 and 1 July 2006	(6,218)	(5,841)
Impairment	153	
Amortisation for the year	(502)	(378)
	(6,567)	(6,219)
At 30 June	31,358	32,452
(b) Company		
Cost		
At 1 July 2007 and 1 July 2006	2,250	2,250
Amortisation		
At 1 July 2007 and 1 July 2006	(413)	(391)
Amortisation for the year	(79)	(22)
	(492)	(413)
At 30 June 2008	1,758	1,837

19. INVESTMENTS IN SUBSIDIARIES

	Effective interest	2008 Kshs'000	2007 Kshs'000
At cost:			
Kenya Breweries Limited	80%	1,806,847	1,806,847
Salopia Limited	100%	200	200
Allsopps (EA) Sales Limited	100%	2	2
East African Breweries (Mauritius) Limited	100%	389	389
Central Glass Industries Limited	100%	790,288	790,288
Uganda Breweries Limited	98.20%	687,647	687,647
International Distillers Uganda Limited	100%	300,000	300,000
East African Maltings Limited (Formerly Kenya Maltings Limited)	100%	-	-
UDV (Kenya) Limited	46.32%	589,410	589,410
EABL International Limited (Formerly Castle Brewing Kenya Limited)	100%	150,000	150,000
		4,324,783	4,324,783

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

20. INVESTMENTS IN ASSOCIATES

(a) Group	Effective interest	2008 Kshs'000	2007 Kshs'000
Tanzania Breweries Limited	20%	1,170,516	1,030,765
At 1 July 2007 and 1 July 2006		1,030,765	1,039,516
Group's share of profit after tax		808,421	734,634
Currency translation adjustment		(81,513)	(130,265)
Dividend received by the group		(587,157)	(613,120)
At 30 June		1,170,516	1,030,765

The above represents the Group share of net assets of the associated company.

(b) Company	2008 Kshs'000	2007 Kshs'000
Tanzania Breweries Limited (58,985,693 ordinary shares of Tshs 100 each)	3,971,232	3,769,745

Effective 12 December 2002, the company purchased 20% of the issued share capital of Tanzania Breweries Limited, which has been accounted for on an equity basis.

(c) Other investments (group and company)	2008 Kshs'000	2007 Kshs'000
Unquoted: at cost		
4,000 ordinary shares (representing 20%) in Sen-Tech Limited	400	400
20% investment in Challenge Fund Limited who in turn have subscribed to 50% in Central Depository and Settlement Corporation Limited	10,000	10,000
	10,400	10,400

There are no material differences between fair value and cost for these investments.

21. EMPLOYEES BENEFIT

Defined benefit asset

The defined benefit schemes that existed in the prior years have been wound up and transferred to the group defined contribution retirement benefits.

Equity compensation benefits

The directors, through an independent Trust, are empowered to grant share options to group employees. These options are granted for a maximum period of ten years and a minimum period of three years at a price determined by the market value ruling on the Nairobi Stock Exchange on the day preceding the day on which the options are granted. The shares to be exercised within this Trust have been issued directly through the company and also purchased at the stock exchange.

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

21. EMPLOYEES BENEFIT (Continued)

Executive share option scheme

Movements in the number of share options held for the employees under the Executive Option Scheme are as follows:

	Number of shares 2008	Number of shares 2007
Outstanding at 1 July 2007 and 2006	963,766	1,059,013
Bonus issue of shares	85,894	-
	1,049,660	1,059,013
Additional shares as a result of share split	-	-
	1,049,660	1,059,013
Granted during the year	278,338	136,871
Lapsed	(23,339)	(16,658)
Exercised	(190,500)	(215,460)
Outstanding at 30 June	1,114,159	963,766
Exercise price per share – Kshs	102.88	24.04

Options may be exercised at prices ranging between Kshs 24.04 and Kshs 165 (2007 – Kshs 12.63 and Kshs 148.60).

Employee Share Save Scheme

As at 30 June 2008, the Trust's obligation to members under the employee share save scheme stood at 624,443 shares (2007 – 686,240). During the year, 207,428 (2007 – 908,105) shares were exercised by employees. The exercise price per share is Kshs 12.13 (2007 – Kshs 12.13).

22. INVENTORIES

Group	2008 Kshs'000	2007 Kshs'000
Raw materials	2,125,214	2,368,635
Consumables	2,715,504	2,260,680
Finished goods	1,093,434	655,516
Goods in transit	-	153,749
	5,934,152	5,438,580

23. RECEIVABLES AND PREPAYMENTS

(a) Group

Trade receivables	2,827,313	2,182,970
Barley advances	20,362	94,601
Other receivables	1,183,499	2,091,309
Receivable from related parties (Note 29)	81,295	58,438
	4,112,469	4,427,318

(b) Company

Other receivables	395,316	374,425
Receivable from related parties (Note 29)	2,166,042	2,896,897
	2,561,358	3,271,322

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

24. PAYABLES AND ACCRUED EXPENSES

	2008 Kshs'000	2007 Kshs'000
(a) Group		
Trade payables	2,779,256	2,349,425
VAT and excise duty payable	1,941,860	1,581,624
Other creditors	2,384,798	2,283,704
Payable to related parties (Note 29)	1,097,073	1,065,566
	8,202,987	7,280,319
(b) Company		
Other payables	307,368	318,242
Payable to related parties (Note 29)	1,009,564	116,095
	1,316,932	434,337

25. CONTINGENT LIABILITIES – Group

Contingent liabilities incurred in the ordinary course of business:

Guarantees in respect of bank advances to barley farmers	189,628	85,706
Pending legal cases	181,988	69,775
Other liabilities	131,384	118,610
	503,000	274,091

26. COMMITMENTS

Capital commitments – Group

Capital expenditure contracted for at the balance sheet date but not recognised in the financial statements is as follows:

	2008 Kshs'000	2007 Kshs'000
Contracted but not provided for	823,013	1,907,270
Authorised but not contracted for	1,100,810	374,400

27. OPERATING LEASE COMMITMENTS

(a) Group leases as lessee

Two subsidiaries in the Group (Kenya Breweries Limited and Uganda Breweries Limited) have entered into operating lease agreements for leasing of commercial and non-commercial vehicles. Lease payments cover principal rentals, maintenance fees, fleet management costs and insurance costs.

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

27. OPERATING LEASE COMMITMENTS (Continued)

Future minimum lease payments under these operating leases are as follows:

	2008 Kshs'000	2007 Kshs'000
Not later than 1 year	424,648	370,353
Later than 1 year and not later than 5 years	735,460	801,253
	1,160,108	1,171,606

(b) Group leases as lessor

The group has entered into operating lease agreements for leasing part of its properties.

Future minimum lease receipts under these operating leases are as follows:

	2008 Kshs'000	2007 Kshs'000
Not later than 1 year	10,770	10,590
Later than 1 year and not later than 5 years	18,981	15,903
	29,751	26,493

28. CASH GENERATED FROM OPERATIONS

(a) Reconciliation of profit before income tax to cash generated from operations

	2008 Kshs'000	2007 Kshs'000
Profit before income tax	12,316,332	10,635,771
Adjustments for:		
Interest income (Note 10)	(652,323)	(495,333)
Interest expense (Note 10)	28,246	-
Income from associates	(808,421)	(734,634)
Depreciation (Note 16 (a))	1,039,847	750,444
Amortisation of intangible asset – software (Note 17(a))	219,916	16,008
Amortisation of prepaid operating lease rentals	502	378
Exchange differences	106,641	61,630
Profit on sale of property, plant and equipment	(828)	(618)
Reversal/loss on impairment of property, plant and equipment	107,891	(8,551)
Net decrease in gratuity provisions	-	(75,234)
Changes in working capital:		
– receivables and prepayments	314,850	(2,070,882)
– inventories	(495,572)	(1,390,512)
– inventories reclassified to property, plant and equipment	(547,051)	-
– payables and accrued expenses	922,666	3,163,461
Cash generated from operations	12,552,696	9,851,928

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

28. CASH GENERATED FROM OPERATIONS (Continued)

	2008 Kshs'000	2007 Kshs'000
(b) Cash and cash equivalents		
Term deposit	6,503,024	6,945,585
Cash and bank balances	666,090	1,082,776
	7,169,114	8,028,361

29. RELATED PARTY TRANSACTIONS

The company is controlled by Diageo plc incorporated in the United Kingdom. There are other companies that are related to East African Breweries Limited through common shareholdings or common directorships.

The following transactions were carried out with related parties:

	2008 Kshs'000	2007 Kshs'000
(a) Sale of goods and services		
Other related parties	145,041	27,617
(b) Purchase of goods and services		
Parent company	2,805,256	1,907,393
Other related parties	1,432,247	170,511
	4,237,503	2,077,904

Sales and purchases to/from related parties were made at terms and conditions similar to those offered to major customers.

(c) Outstanding balances arising from sale and purchase of goods/services

	2008 Kshs'000	2007 Kshs'000
(i) Group		
Receivables from related parties	81,295	58,438
Payable to related parties	1,097,073	1,065,566
(ii) Company		
Receivables from subsidiaries	2,107,046	2,896,897
Receivables from related parties	58,996	-
	2,166,042	2,896,897
Payables to subsidiaries	783,952	-
Payables to related parties	225,612	116,095
	1,009,564	116,095

Notes to the Consolidated Financial Statements FOR THE YEAR ENDED 30 JUNE 2008

29. RELATED PARTY TRANSACTIONS (Continued)

(d) Directors' remuneration

	2008 Kshs'00	2007 Kshs'000
(i) Group		
Fees for services as a director	13,170	10,612
Other emolument	198,548	159,619
	211,718	170,231
(ii) Company		
Fees for services as a director	12,364	9,390
Other emoluments	71,626	51,264
	83,990	60,654

30. ULTIMATE HOLDING COMPANY

The ultimate holding company is Diageo Plc, which is incorporated in the United Kingdom.

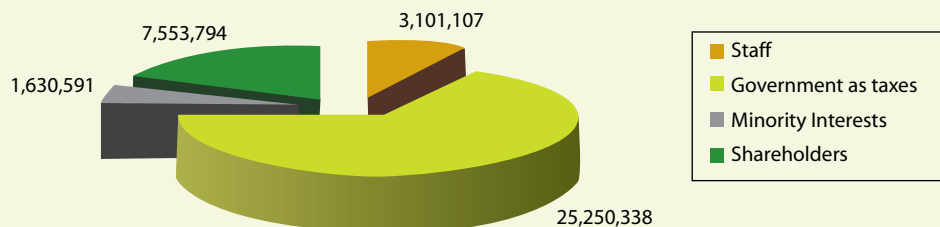
Statement of Value Added

	2008 Kshs'000	2007 Kshs'000
Value Generated		
Derived from turnover	54,606,503	46,061,967
Bought in materials and services	(17,879,094)	(13,610,782)
Value Added	36,727,409	32,451,185
Shared of associate profit	808,421	734,634
Total Funds available for allocation	37,535,830	33,185,819

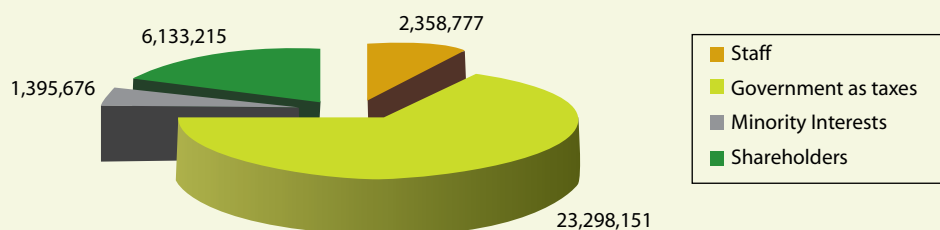
This was shared as follows

	2008 Kshs'000	%	2007 Kshs'000	%
Staff	3,101,107	8.26%	2,358,777	7.11%
Government as taxes	25,250,338	67.27%	23,298,151	70.21%
Minority Interests	1,630,591	4.35%	1,395,676	4.20%
Shareholders	7,553,794	20.12%	6,133,215	18.48%
	37,535,830	100.00%	33,185,819	100.00%

Available Funds Allocation 2008 in Kshs'000



Available Funds Allocation 2007 in Kshs'000



Shareholding

LARGEST 10 SHAREHOLDERS AS AT 30TH JUNE 2008

	Name	No. of shares	%
1	Diageo Kenya Limited	338,618,340	42.82%
2	Board of Trustees NSSF Board	37,103,520	4.69%
3	Diageo Holdings Netherlands B.V.	35,952,396	4.55%
4	Guinness Overseas Ltd	20,628,804	2.61%
5	Barclays Bank Kenya Nominee Ltd. A/c 9011	19,522,532	2.47%
6	Stanbic Nominees Kenya Ltd - A/c NR 70001	19,045,638	2.41%
7	Barclays (K) Nominees Ltd A/c 9326	12,648,354	1.60%
8	Barclays (K) Nominees Ltd Non Resident A/c 9002	10,752,818	1.36%
9	Kenya Reinsurance Corporation Ltd	8,832,088	1.12%
10	Kanaksinh Karsandas & Kusum Kanaksinh Babla Babla	7,475,392	0.95%
TOTAL NUMBER OF SHARES		510,579,882	64.58%
OTHER SHAREHOLDERS 26,878		280,194,474	35.42%
SHARES ISSUED		790,774,356	100.00%

Proxy

Fomu ya Uwakilishi

I/We _____

Share A/c No. _____

of (address) _____

being a member(s) of East African Breweries Limited, hereby appoint _____

or failing him the duly appointed Chairman of the meeting to be my/our proxy, to vote on my/our behalf at the 86th Annual General Meeting of the Company to be held on 30th October 2008 at 11:00 a.m. or at any adjournment thereof.

As witness to my/our hands

This _____ day of October 2008.

Signature(s) _____

Notes:

1. This proxy is to be delivered to the Company Secretary not later than 11:00 a.m. on 28th October 2008 failing which it will be invalid.
2. In case of a corporation, the proxy must be under its common seal.

Mimi/Sisi _____

Nambari ya akaunti ya hisa _____

anwani _____

kama mwanahisa/wanahisa wa East African Breweries namteua/tunamteua _____ wa (anwani) _____

na akikosa yeye, namteua/tutamteu Mwenyekiti wa mkutano kama mwakilishi wangu/wetu, kupiga kura kwa niaba yangu/ yetu kwenye Mkutano Mkuu wa mwaka wa Themanini na sita wa Kampuni utakaofanyika tarehe 30 Oktoba saa tano asubuhi ama siku yoyote ile endapo mkutano huo utaahirishwa.

Sahihi hii/hizi imewekwa/zimewekwa

Tarehe _____ ya Oktoba 2008.

Sahihi _____

Maelezo muhimu:

1. Iwapo hutaweza kuhudhuria mkutano huu wewe mwenyewe binafsi, ni lazima fomu hii ya uwakilishi ijazwe kikamilifu na kufikishwa kwa Katibu wa Kampuni kabla ya 28 Oktoba saa tano asubuhi na isipofikia wakati huo, uteuzi wako/wenu wa uwakilishi hautafaa.
2. Iwapo mteuaji ni shirika, fomu hii ya uwakilishi ni lazima ipigwe muhuri wa kampuni hiyo.

ADMISSION CARD

PLEASE ADMIT _____

To the Annual General Meeting of East African Breweries Limited which will be held at Safari Park Hotel, Ruaraka, Nairobi on 30th October 2008 at 11:00 am.

This admission card must be produced by the Shareholder or proxy in order to obtain entrance to the Annual General Meeting.

A Murgor (Mrs.)
Company Secretary

Name of shareholder _____

Address of shareholder _____

Number of shares held _____

Fold 2
Pili Kunja Hapa

Company Secretary
East African Breweries Limited
P O Box 30161
00100 Nairobi
Kenya

Fold 1
Kwanza Kunja Hapa

Fold 3
Halafu Kunja Hapa

At EABL we are Proud of what we do. We act sensitively with the highest standards of integrity and social responsibility. We enjoy and benefit from diversity.





**EAST
AFRICAN
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LIMITED**



EABL LAUNCHES GREEN GOALS 2010 INITIATIVE